

African Development Bank



GRUPE DE LA BANQUE AFRICAINE
DE DEVELOPPEMENT
AFRICAN DEVELOPMENT BANK GROUP

Operations Procurement Manual

Part A, Volume 2: Specialized Procurement

November 2018





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Note for Users

Structure

1. This OPM is presented in two Parts. Part A is structured in three Volumes, with Volume 1 taking into account key general considerations. These include procurement governance, assessments, project procurement management and the project cycle, procurement methods and procedures for goods, works and non-consulting services, as well as the processes for acquisition of consulting services. Part A concludes with a discussion on contract management.



Part A-Volume 1-General Considerations



Part A-Volume 2-Specialized Procurement



Part A-Volume 3-Annexes



Part B-Role & Responsibilities of the Bank
& the Borrower

2. Volume 2 of Part A covers specialized procurement including procurement under programme-based operations, procurement under loans guaranteed by the Bank, procurement under loans to financial intermediaries, procurement in emergency and disaster situations, procurement in fragile and conflict affected situations, procurement of commodities, use of procurement agents, construction managers and inspection agents, procurement from United Nations organizations, procurement of spare parts, procurement under petroleum funding, procurement Involving community participation, procurement of information technology, procurement of text-books, and, finally, procurement of drugs and of Pesticides and Insecticides.
3. Volume 3 of Part A contains annexes, formats, sample outlines and checklists supporting Volumes 1 and 2.
4. OPM Part B explains the roles and responsibilities of the Bank and Borrowers and provides detailed guidance on executing the procurement function in terms of the supervision and oversight of Borrower activities in the use of loan and grant funds.
5. The OPM is a dynamic document that is designed to accommodate changes within the context of the Bank's operations, as the lending environment changes, and as new policies,

procedures, and new ways of doing business are approved and adopted by the Bank. The OPM may be modified at any time by; (i) adding new sections; (ii) updating sections to take into consideration new policies and procedures approved by the Board; and (iii) redrafting certain sections to further streamline and simplify them.

How to Navigate?

6. Staff, whether Bank's or Borrowers', using the OPM must first be familiar with the provisions laid out in the principles-based Procurement Policy and Methodology. This is because the OPM essentially provides more details of the methods and procedures to be followed by Borrowers and the Bank.
7. Staff, irrespective of their interest in any specific stage of the project cycle, are advised to be thoroughly familiar with the Bank's general requirements regarding eligibility, conflict of interest, prohibited practices (including fraud and corruption), sanctions, mis-procurement, co-financing, and procurement planning. These are detailed in the OPM Part A, Volume 1 Chapter A, and their perusal provides the background and starting point for any substantive use of the OPM.
8. More particularly, the details of risk-based assessments fundamental to the Bank's procurement engagement with Borrowers are elaborated in Part A Volume 1 Chapter B to which those staff specifically tasked with undertaking risk-based assessments are referred. Part A Chapter C introduces project procurement management and the project cycle. This presents a detailed overview of key steps during project identification, processing and implementation and is a must for staff executing any part of the project cycle. Chapters D & E, building on Chapter C, details procurement methods and procedures for goods, works, non-consulting services and consulting services. Each of these chapters provide detailed explanations, examples, formats checklists, where appropriate, and also outlines case studies to illustrate application of the policy in greater detail.
9. Users of the OPM are advised to access the Guidance Notes and other formats and checklists comprising the Procurement Toolkit for hands-on assistance in specific transactions.

Acronyms

A

ADB	African Development Bank
ADF	African Development Fund

B

BD	Bidding Document
BDS	Bid Data Sheet
BEPCs	Bid Evaluation Procedures and Criteria
BER	Bid Evaluation Report
BOQ	Bills of Quantities
BOO	Build Own Operate
BOOT	Build, Own, Operate and Transfer
BOT	Build, Own and Transfer
BPAR	Borrower Procurement Assessment Report
BPS	Borrowers Procurement System
BTP	Bio-data Technical Proposal

C

CBIP	Community-Based Investment Project or Programme
CDD	Community Driven Development
CICA	Confederation of International Contractors' Association
CIP	Carriage and Insurance Paid to Destination
COI	Conflict of Interest
CPAR	Country Procurement Assessment Report
CPT	Carriage Paid To
CQS	Consultants Qualifications-Selection
CSC	Consultant Selection Committee
CSP	Country Strategy Paper
CT	Country Team
CV	Curriculum Vitae

D

DAM	Delegation of Authority Matrix
DB	Design and Build
DBO	Design, Build & Operate
DDP	Delivered Duty Paid
DP	Direct Procurement (single or sole-sourcing and direct contracting)
DRB	Dispute Resolution Board
DRO	Deviations, Reservations and Omissions
DRM	Dispute Resolution Mechanism
DSI	Design Supply and Install

E

EA	Executing Agency
EAPA	Executing Agency Procurement Assessment
EIC	European International Contractors
ENAA	Engineering Advancement Association of Japan

EPC	Engineer Procurement and Construction
ERA	Emergency Relief Assistance
ESRP	Environmentally and Socially Responsive Procurement
EU	European Union
EXW	Ex Works

F

FA	Financing Agreement
FBS	Fixed-Budget Selection
FCA	Free Carriage
FCS	Fragile or Conflict Affected Situations /Enclaves
F&C	Fraud and Corruption
FfP	Fit for Purpose
FIDIC	International Federation of Consulting Engineers
FPA	Fiduciary Principles Agreement
FrA	Framework Agreement (aka as FrC – Framework Contract)
FTP	Full Technical Proposal

G

GAP	Global Action Plan
GCC	General Conditions of Contract
GOE	Government-Owned Enterprise
GPN	General Procurement Notice

I

ICT	Information & Communications Technology
IDIQ	Indefinite delivery, indefinite quantity contract
IFB	Invitation for Bid
ILCB	International Limited Competitive Bidding
IOP	Indicative Operational Programme
IPR	Independent Procurement Reviews
ITB	Instructions to Bidders

J

JV	Joint Venture
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L

LCB	Limited /Restricted Competitive Bidding
LCC	Life Cycle Cost(ing)
LCS	Least Cost Selection
LICUS	Low-Income Countries under Stress

M

MAF	Manufacturer Authorization Form
MAPS	Methodology for Assessment of Procurement Systems
MAR	Main Assessment Report
MBD	Model Bidding Documents
MDB	Multi-lateral Development Bank
M&E	Monitoring and Evaluation

MIC	Middle-Income Countries
MIS	Management Information System
MOA	Matrix of Activities
MOU	Memorandum of Understanding
MPD	Model Procurement Documents
MRA	Mutual Reliance Agreement

N

NCS	Non-Consulting Services
NEC	New Engineering Contract
NGOs	Non-governmental Organizations
NSD	National Standard Solicitation Documents
NTF	Nigeria Trust Fund
NPM	National Procurement Methods
NPP	National Procurement Procedures

O

OBA	Output Based Aid
OBC	Output Based Contracting
OBD	Output Based Disbursements
OCB	Open Competitive Bidding
OCBN	Open Competitive Bidding National
OCBI	Open Competitive Bidding International
OPM	Operations Procurement Manual
ORPC	Operations and Regional Policies Department

P

PAR	Project Appraisal Report
PBC	Performance-Based Contract
PBO	Programme Based Operations
PCC	Particular Contract Conditions
PCN	Project Concept Note
PCR	Project Completion Report
PDAP	Procurement Development Action Plan
PDOs	Project Development Objectives
PEP	Politically Exposed Person
PIAC	Integrity and Anti-Corruption Department
PID	Project Information Document
PIP	Project Implementation Plan
PIM	Project Implementing Manual/Document
PIU	Project Implementing Unit
PMs	Procurement Methods
PMM	Price Monitoring Mechanism
PMP	Procurement Methods and Procedures
PPrs	Procurement Procedures
PP	Procurement Plan
PPF	Project Preparation Facility
PPR	Project Procurement Report
PPRA	Project Performance Risk Assessment
PPRR	Project Procurement Risk Rating
PPSN	Project Procurement Strategy Note
PQ	Pre-qualification

PQDs	Pre-qualification Documents
PROCRAm	Procurement Risk Assessment and Management
PFM	Public Financial Management
PSM	Public Sector Management
PS	Procurement Specialist/Officer
P4P	Pay for Performance

Q

QBS	Quality-Based Selection
QCBS	Quality-Cost-Based Selection

R

REOI	Request for Expressions of Interest
RFP	Request for Proposals
RFQ	Request for Quotations
RISP	Regional Integration Strategy Paper
RMC	Regional Member Country
RPC	Regional Procurement Coordinator

S

SAI	Supreme Audit Institution
SBD	Standard/ Model Bidding Documents
SD	Solicitation Documents
S&I	Supply and Install
SMEs	Small and Medium-size Enterprises
SNFI	Fiduciary Service & Inspection Department
SOE	State-Owned Enterprise
SPN	Specific Procurement Notice
SPV	Special Purpose Vehicle or Company
SRFP	Standard/Model Request for Proposal
SSD	Standard Solicitation Documents
SSS	Single-Source Selection
STP	Simplified Technical Proposal

T

TA	Technical Assistance
TERs	Technical Evaluation Reports
TF	Trust Fund
TM	Task Manager
TOR	Terms of Reference

U

UN	United Nations
UNCAC	United Nations Commission on Anti-Corruption
UNCITRAL	United Nations Commission on International Trade Law
UNDB	United Nations Development Business

V

VfM	Value for Money
VO	Variation Order

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Chapter G

Procurement from United Nations Organizations

G1. Introduction

- G1.1. This Chapter provides the references and tools for selecting and using Organizations or Partners of the United Nations (UN) System in the context of Bank-financed projects. It presents and discusses the circumstances and cases when a Project's implementation and procurement arrangements warrant reliance on the involvement of certain UN Organizations. It also specifies how UN Organizations are selected and employed, and the relevant specific agreements for their involvement.
- G1.2. It highlights the key provisions of the Procurement Policy, and in particular the Methodology for Implementation of the Procurement Policy --the Methodology-- which define the framework for employment of UN Organizations (procurement standards, procurement procedures and eligibility criteria, acceptance of their procurement rules and procedures). It provides guidance relevant to UN involvement in Bank-financed projects.
- G1.3. It also provides the key features of the standard agreements, documents and components which form the legal and institutional framework for the employment of UN Organizations in the context of Bank-financed projects. In addition to the Financing Agreement between the Bank and the Borrower, this framework includes the following: (i) the Fiduciary Principles Agreement - FPA - between the Bank and certain UN Organizations; (ii) the Standard Form of Agreement between a Borrower and a UN Organization (formally attached as an Annex to the FPA); (iii) a Model Tripartite Fiduciary and Implementation Agreement between the Bank, the Borrower and a UN Organization; and (iv) Agreements between a Borrower and a UN Organization for specific procurement processes [i.e. supply and provision of health-related goods and related services, and in exceptional cases technical assistance (TA) services] based on a Model Agreement negotiated between the Bank and said UN Organization.
- G1.4. This Chapter of the OPM is complemented by the following other chapters of the OPM (Procurement under Emergency Relief Assistance operations (ERA); and Procurement in Fragile and Conflict Affected Situations (FCS).

G2. Approach and Principles

General Considerations

- G2.1. Organizations¹ of the United Nations (UN) System may be uniquely or exceptionally qualified in their specific areas of expertise under certain situations and in specific circumstances, e.g.: (i) to provide highly-specialized technical assistance and advisory services; or (ii) to supply goods and equipment, such as health-related goods; or (iii) to provide small works. As such they may be selected under projects and programmes funded by the Bank.
- G2.2. UN Organizations typically participate in donor-funded activities (using their own resources or others') in one of the following ways:

¹ The term refers to all Agencies and Programmes of the UN (Paragraph 5.3(e) and FN 28 of the Procurement Policy)

- Implementing all or part of projects' activities on behalf of a country (possibly with insufficient capacity to do so, particularly in emergency or crisis situations);
- Acting as a supplier of critical goods (e.g., vaccines, drug and pharmaceuticals) to the Borrower; and
- Providing technical assistance to the Borrower as part of broad development programmes and projects, alone or in collaboration with other donors/MDBs.

G2.3. UN Organizations may be called upon to administer general procurement activities in the following exceptional cases when they are uniquely operational and functional to handle specific circumstances and situations in the Borrower's country:

- In response to natural disasters and emergency situations declared by the Borrower and recognized by the Bank --Emergency Relief Assistance (ERA); or
- In Fragile or Conflict-Affected Situations/Enclaves (FCS) (See Chapter I - Procurement under IRA & FCS // Volume 2 of Part I of this OPM); or
- When the capacity of the Borrower is highly limited to the point of not being in a position to administer its responsibilities and risks are unusually significantly high (as per the capacity and risks assessments carried out by the Bank --see Chapter B of Volume 1 of Part I of this OPM).

G2.4. Other circumstances include the procurement of:

- Health-related goods for the treatment of humans and animals, including vaccines, drugs and pharmaceuticals, preventive health and contraceptive devices, and biomedical equipment, provided that the number of suppliers is limited and when a formal standard form of agreement between Borrowers and the UN Organization has been reached with the Bank;
- Small quantities of off-the-shelf goods, primarily in the fields of education and health, and exceptionally in either emergency and/or fragile situations (See Chapter I - Procurement under IRA & FCS // Volume 2 of Part I of this OPM);
- Small value contracts² for works of a simple nature when the UN agencies act as contractors, or directly hire small contractors, and skilled or unskilled labour; and
- Small consultancy services assignments in their specific areas of expertise when competition is not warranted by the circumstances (FCS or ERA situations or unique qualifications).

G2.5. Direct Contracting and Single-Sourcing UN Organizations by Borrowers is the only procurement method that applies given their privileges and immunities and the related approach of not participating in OCB or even LCB processes. The only exception concerns UNDP when they are acting as procurement agents or suppliers of off-the-shelf goods.

² The determination of small in terms of monetary values is made according to the Market Analysis conducted for the Project at stake, taking into account the nature and complexity of the works; the capacity, experience and performance of the EA; risks; and the broad country procurement environment.

Fiduciary Principles Agreement (FPA)

- G2.6.** In order to optimize service delivery and to improve assistance and support to Borrowers through the projects it finances, the Bank supports the involvement of UN Organizations when they are uniquely qualified and positioned to assist in the implementation of the projects. To facilitate this involvement when needed, the Bank has established a Fiduciary Principles Agreement (FPA) with certain UN Organizations (FPA)³ which seeks to achieve closer cooperation with UN Organizations in a more effective and sustainable manner, in accordance with their respective mandates.
- G2.7.** Annex I of the FPA outlines the key fiduciary principles underlying the Agreement that the parties have in common, comprising financial management principles, procurement policies and procedures, implementation and monitoring arrangements. Component 2 of Annex 1 spells out the key procurement principles, procedures and rules. Component 4 addresses how to deal with Fraud and Corruption (F&C) provisions.
- G2.8.** Annex 2 of the FPA entails an agreement between the Borrower Country and a specific UN Organization for the agreed procurement activities (See below). It includes a Model Tripartite Funding and Implementation Agreement, binding the Bank, the Borrower and the UN Organization, which outlines the purpose of the cooperation between the three parties, the roles of each of the party, and the modalities for implementation of the common project or programme. Unlike Annex 1 which is generic, Annex 2 is project-specific.
- G2.9.** The FPA recognizes that each party; (i) has a unique role in providing development as well as humanitarian assistance; (ii) has comparative advantages in particular aspects of such assistance; (iii) is governed by its own constitution or charter; (iv) is accountable to its governing body; and (v) has fiduciary duties with respect to funds entrusted to it.
- G2.10.** The FPA stipulates that the specific UN Organization may apply its own procurement rules, regulations and procedures including eligibility criteria for:
- The selection of any sub-consultants and individual experts;
 - The supply of (typically health-related, see conditions below) goods and related services; and
 - The execution of (generally small value, see conditions below) works.
- G2.11.** The FPA aims at reducing transaction costs for countries and increasing the effectiveness and impact of the assistance that the Bank and UN provide. The FPA applies to Loans and Grants or Trust Funds administered by the Borrower or by the Bank, provided it satisfies the following conditions:
- They are covered by the Procurement Policy and the Bank's Revised Policy Guidelines and Procedures for ERA, and General Regulations of the Special Relief Fund (ADB/BD/WP/2008/211/Rev.1 and ADF/BD/WP/2008/173/Rev.1) of January 2009;
 - The involvement of a UN Organization is the result of a request from a Borrower, typically because of insufficient capacity, in particular to respond to an emergency;

³ The FPA between the Bank and Certain Organizations of the United Nations System is a Model Agreement signed on a case by case basis.

- The proposed UN Organization has signed a specific FPA with the Bank; and
 - The funds are from Loans or Grants under Trust Funds (multi-donor trust funds) of the Bank.
- G2.12.** The fiduciary principles agreed in the FPA state specifically that each party's procurement policies and procedures require that:
- Procurement actions are undertaken on the basis of the Procurement Policy principles;
 - Procurement procedures (PPRs) include, but are not limited to, competitive bidding, invitations to bid for goods issued to prequalified suppliers selected by the Organization, and single-sourcing when duly justified;
 - Contract documentation, in particular Solicitation Documents (SDs), clearly define the contracting parties rights and obligations;
 - Procurement processes are transparent, in particular through the publication of bidding opportunities, evaluation results, and contracts awards;
 - Clear authority to take procurement decisions and accountability for such actions are stipulated;
 - Appropriate processes and structures are in place for the monitoring and evaluation of procurement actions and performance;
 - Appropriate mechanisms are in place to ensure the reporting and timely handling of complaints; and
 - Adequate structures are in place to address fraud and corruption, and in particular there is cross-application of sanctions by the Bank.
- G2.13.** The FPA further stipulates that the Bank will rely on the UN Organization's assurance of the soundness of its fiduciary, accountability and oversight framework. Therefore, funds so disbursed will be received, administered, managed, expended, reported on, and audited, in accordance with the regulations, rules, procedures and administrative practices of the UN Organization, including those relating to direct and indirect costs (including indirect programme support costs) and interest, and will be documented using the Standard Funding and Implementation Agreement of the UN Organization.
- G2.14.** FPAs may be used to transfer funds that are administered by a Borrower or by the Bank to a UN Organization implementing the needed activities. These transfers can be affected either directly from the Bank, or passing through a Borrower's government. In these cases, the Bank, from a procurement point of view, has a role similar to a fiscal agent. Since the FPA is designed as a "reciprocal" framework, it would also apply to the more infrequent situations when the Bank implements activities under funds administered by a UN Organization. When a UN Organization acts as an implementing agency in a situation not covered by an FPA, specific rules of engagement and procurement arrangements apply.
- G2.15.** Finally, when the delegation of implementation includes management of funds by a UN Organization or any public or private entity – including NGOs, a Project Agreement between the Bank or Borrower and the entity should set

out the procurement procedures to be used for executing the delegated component or package of activities.

Main Provisions of the Procurement Policy and/or Methodology

- G2.16.** Provision 5.3 (e) of the Procurement Policy regulates interactions with Bank partners as an exception to its general principles on eligibility (5.1) and conditions of participation (5.2).
- G2.17.** It stipulates that “Where international organizations such as those of the United Nations (UN) execute Bank-financed contracts under an agreement signed with the Borrower, the Bank may accept the procurement procedures and eligibility criteria of such international organizations to apply and firms and individuals from all countries may be permitted to offer goods, works and consulting services.”
- G2.18.** Such applies to UN departments, UN specialized agencies and their regional offices, funds and programmes, as well as international organizations recognized as UN Partners). Firms and individuals from all countries may be permitted to offer goods, works and consulting services to the UN Organization, provided the Bank is satisfied that such procedures provide satisfactory fiduciary assurance, in reference to the general procurement standard of the Bank.
- G2.19.** The Methodology (refer in particular to the Matrix of Activities) stipulates that the best fit for purpose (FfP) Procurement Methods and Procedures (PMPs) may be from third parties such as UN Organizations. More precisely, Paragraph 3.1.11 of the Methodology stipulates that the process also permits specific transactions being procured under a third party’s system (such as a specialized agency, like those of the UN who are mandated to follow their own systems while implementing projects).
- G2.20.** Bank-specific Procurement Policy requirements (eligibility including UN Charter...etc.) and specific bidding and contract requirements set in the Procurement Policy [e.g., covering: (i) eligible expenditures, including taxes; (ii) exceptions for Government-owned enterprises (GOE) and civil servants; (iii) COI requirements; and (iv) other specific requirements, such as Joint ventures, taxation, currency, and language] do not typically apply (except when a UN Organizations acts as a procurement agent or specific circumstances when a UN Organization participates in a competitive procurement process), although the Bank may take into account such elements when considering the involvement of UN Organizations in the implementation of the projects it finances. The same holds true of the type of SDs and Forms of Contracts.
- G2.21.** The Tripartite Agreement of the FPA provides definitions of prohibited practices of fraud and corruption (F&C), and includes the following relevant provisions:
- Obligation of consultation between the three parties (Borrower, UN Organization, and the Bank);
 - The allegations are first screened by the party receiving them;
 - If found to be credible (by the screening party), the allegation is referred for investigation to the relevant party; and
 - This party then investigates promptly and takes follow up actions.

- G2.22.** Each party investigates in accordance with its own applicable policies, rules, regulations, procedures and guidelines for investigating allegations when they involve this party's own staff and/or activities. The Parties agree and acknowledge that no Party will have the authority to investigate information relating to the possible prohibited practices of the other Parties.
- G2.23.** In line with the Bank's Procurement Policy, UN Organizations apply their own anti F&C policies and follow their own investigation procedures, subject to terms and conditions agreed with the Bank, including an obligation to periodically inform the Bank of the decisions and actions taken. The Bank retains the right to invoke suitable remedies.
- G2.24.** The Model Agreement does not, however, give the Bank the right to undertake the following:
- Impose sanctions in the event of fraud and corruption. Instead the sanctions to be imposed would be those of the UN Organization;
 - Require provisions in Bank-financed contracts allowing it to inspect and audit records and accounts of suppliers and service providers and their sub-contractors and sub-consultants because the UN Organization's requirements are those that apply; and
 - Require Borrowers to use standard forms of contract containing conditions that provide a balanced allocation of risks and liabilities, because the Model Agreement is itself balanced in terms of the distribution of risks.
- G2.25.** In addition, Article V Section 5.01 of the Tripartite Implementation Agreement stipulates that: "Procurement of the goods, works and services required for the Programme and to be financed out of the proceeds of the Grant will be effected in accordance with the UN Partner's applicable regulations, rules and procedures for procurement of goods, works and services. For avoidance of doubt, it is expressly acknowledged that, exceptionally, the UN Partner's procurement eligibility rules will apply".
- G2.26.** When it is appropriate to place greater reliance on, or to delegate part or whole of project implementation to, a UN Organization, direct procurement for goods and works and single-source selection for consulting services may be used in accordance with Sections 8.5 and 8.6, respectively of the Policy. Furthermore, in such cases, specific provisions apply regarding the employees of these UN Organizations as well as the contracts between them and their suppliers and service providers.

G3. Implementation Arrangements

General Considerations

- G3.1.** There are four categories of implementation arrangements and distribution of roles and responsibilities, with different institutional frameworks and corresponding (legal) agreements.
- G3.2.** The selection of the UN Organization is typically made on a single source basis (see exception below when a UN Organization acts as procurement agent), but its acceptance depends on the specific conditions of the country/ sector/ project as documented and recommended in the capacity, risk and

market assessments.

- G3.3.** The UN Organization acts as implementation agent for parts of the Bank-financed Project. This arrangement is warranted under the circumstances highlighted in Section G1.1. above, i.e. natural disasters and emergency situations --ERA (See Chapter H of Volume 2 of Part I of this OPM), FCS cases (See Chapter I of Volume 2 of Part I of this OPM), or when the Borrower totally lacks the capacity to implement a particular Project (broad institutional and legal framework lacking, no capable Executing Agency (EA), and/or highly significant risks --See Sub-Chapter B4 Project-level Assessments of Chapter B of Volume 1 of Part I of this OPM). The UN Organization may be, in limited cases of extreme FCS situations, called upon being fully in charge of implementation of the Bank-financed Project.
- G3.4.** The scope of services under this category of arrangement includes procurement activities --signing and administering the contracts (on behalf of the Borrower). The UN Organization procures works, goods, and non-consulting and consulting services, and manages the ensuing contracts on the Borrower's behalf. The UN Organization issues the SDs, sign and administer the contracts with contractors, suppliers, service providers, and consultants as the case may be.
- G3.5.** The prevailing procurement rules and procedures that apply depend on the context. They typically are those of the concerned UN Organization -- considered as a partner-- based on standard agreements and forms negotiated with the Bank as indicated above. There may be, however, specific caveats in regard to critical provisions of the Bank's Procurement Policy (as referred to in Section G2.20 above in regard to specific Bank requirements and policy provisions such as eligibility or F&C).
- G3.6.** The corresponding framework reflects the above-captioned FPA approach:
- The Financing Agreement (Loan or Grant Agreement) between the Bank and the Borrower
 - A Form of Tripartite Agreement (based on the Standard FPA agreed with the relevant UN Organization) between the Borrower, the Bank and UNO; and
 - An Agreement between the Borrower's government and the UN Organization for the procurement of works, goods, and non-consulting and consulting services and the management of the associated contracts.
- G3.7.** The second type of arrangement regards projects under which the UN Organization is directly in charge of implementing parts of the project, that is that the Organization is responsible for the provision of works, goods and/or services.
- G3.8.** The modalities are fairly similar to the above in the sense that the same framework is relied upon but the UN Organization not only fully uses its own procurement rules and procedures to do so, but it may directly administers contracts as a "general contractor" (e.g. "food for work" programmes, labour-based road works, etc.), or "supplier" (relying on its own corporate procurement rules and procedures).
- G3.9.** The third type of arrangement is when the UN organization acts solely as a procurement agent because of a lack of capacity of the Project's EA and/or significant risks. There is no framework per se as the UN Organization is contracted on the basis of a "standard" service provider contract.

- G3.10. This arrangement typically refers to UNOPS as no other UN Organization is truly uniquely qualified to do so); it also constitutes the only exception to single-sourcing UN organizations, that is when the UN Organization may be invited to compete with private sector firms, provided a level-playing field is established. The only difference with private sector procurement agents is that the UN Organization retains its immunities and privileges, which means that a Bank-approved Model Contract Agreement is used.
- G3.11. In such cases, all Bank procurement Policy provisions and its standard PMPs fully apply. The modalities are equivalent to those that would apply when procurement services are outsourced to a private sector entity. The Bank Procurement Policy, all its provisions, its operational rules and procedures, and the standard PMPs and SDs fully apply under all circumstances.
- G3.12. The fourth type of arrangement regards the involvement of specific UN organizations as suppliers of specific health-related goods and providers of related services. The selection of the appropriate UN Organization depends on the specific goods and broad international market assessments conducted by the Bank. It requires that a particular "Agreement between the Government of the Borrower country and a UN Organization for the procurement of supplies (and the providing of certain services)" has been negotiated between the Bank and the concerned UN Organizations (i.e. UNICEF and UNFPA) for use by the Borrowers when they enter, following a direct procurement process (DP), into contracts for the supply of health-related goods (e.g., vaccines, pharmaceuticals) and related equipment and/or services with a specific UN Organization.
- G3.13. The corresponding framework basically relies on what is de facto a single standard form of contract based on the above-captioned standard Model Agreement adapted to the nature of goods and the particular UN Organization uniquely qualified and positioned to procure and supply the goods.
- G3.14. These agreements make reference to the specific mandate, activities and Governance authorizing environment of the concerned UN Organization in the UN system, including authorization to enter into arrangements with Governments to undertake activities on their behalf (such as procurement). They typically include specific provisions on privileges and immunities as well as special payment arrangements, and provide the details of the contractual relationship and has many similarities with a standard contract.
- G3.15. The standard document used with several organizations contains eight Annexes as follows: (1) Supplies; (2) Handling fees; (3) Procurement Request by the Government; (4) Cost Estimates; (5) Template for Payment Requests; (6) Template for Acceptance Document; (7) Template for Financial Utilization Report; (8) Services (Terms of References, Timing, Deliveries, Estimated cost).
- G3.16. Other Provisions (relatively straightforward and similar to those of regular contracts with customization to fit specifics) include: (a) Warranties, Liability and Claims; (b) Force Majeure; (c) Interpretation; (d) Privilege and Immunities; (e) Settlement of Disputes between the parties; (f) Term and termination of the Agreement; (g) amendment, modifications, notices, confidentiality and Public relations.
- G3.17. Such agreements provide a balanced allocation of risks between the Borrower and the UN Organization, through specific contractual clauses and robust agreed mechanisms to monitor outputs and payments. They also

include mandatory provisions for the UN Organization to provide to the Borrower, in a timely fashion, documentation pertaining to both supplies and services, such as invoices, delivery schedules, and warranties. The Borrower keeps this documentation as part of its project records for Bank monitoring and/or audit purposes.

- G3.18. Any resulting subsequent contract with suppliers/ contractors/ consultants is signed by the UN Organization which manages the interactions with them and ensure that due payments are made in a timely manner.
- G3.19. This approach requires, to be effective, that the Bank's project teams, the Borrower, and the UN Organization plan procurement activities adequately during project design. It also maintains the need (and right) for the Bank to exercise regular supervision during project implementation. The Bank has indeed the obligation to review and provide the necessary oversight for contracts procured and implemented by the UN Organization, through monitoring of outputs instead of Bank standard prior and post reviews of individual transactions.
- G3.20. This type of arrangement may also apply when the UN Organization acts as an Advisory Services /Technical Assistance (TA) provider. The modalities and the corresponding framework are similar to those above, based on a standard form of "consultancy" contract to be signed between the Borrower and the UN Organization based on the relevant Model Agreement adapted to the nature of the UN Organization (i.e. WHO, FAO).

Other Features of the Arrangements

Mutual Assurance

- G3.21. A key feature of those arrangements is the mutual assurance that each party has a sound fiduciary framework and accountability/ oversight framework (covering among other things financial management; procurement; programme design; implementation and monitoring; prevention of F&C). It makes available to the Bank copies of audited financial statements and audit reports.
- G3.22. The UN Organization must notify and inform the Bank through the provision of information that indicates the need for further scrutiny and/or actions being taken or to be taken. If needed, additional senior level consultations are held and assurance is given at that level. Conversely, if the UN Organization is no longer able to honour its commitment, it notifies the other party and withdraws from the agreement.

Disbursement

- G3.23. The Government remains responsible for authorizing (or directly making) payments to the UN Organization. Disbursements may, however, be made by the Bank directly at the request of the Government and upon approval by the Bank (no other party may derive any right to the proceeds).
- G3.24. In disbursing funds, the Bank relies on the UN Organization's assurance of the soundness of its fiduciary framework and accountability and oversight framework, including for those funds relating to direct and indirect costs (for administration of the programme) and interest. The UN Organization must furnish annual and final implementation reports, as well as audited financial reports and audit reports (and eventually six month interim unaudited reports) for both programmes and projects implemented under any arrangement.

- G3.25.** At the request of the UN Organization, and upon fulfilment of specific conditions (if any), the Bank disburses the funds directly in one or several tranches (reference to Annex III on disbursement schedule). The UN Organization submits six months Statements of Expenditures to the Bank, especially before each funding request (when several tranches). Funds unutilized or unexpended are returned to the Bank, after a certified final statement has been issued by the UN Organization.
- G3.26.** While the use of the funds by the UN Organization is subject exclusively to its internal and external audit regulations, the UN Organization is to make available to the two other parties (Borrower and Bank) all information specific to the concerned Project activities for them to conduct their own internal and external audits.

Implementation

- G3.27.** Subject to having received the funds, the UN Organization administers and expends the proceeds according to the policies, regulations, rules and procedures specific in Section G3.1 above. All works, goods, and consulting and non-consulting services financed under the Project must be used exclusively for the intended purposes and affected to the Project.
- G3.28.** The UN Organization exchanges views and information with the Borrower and the Bank (subject to its policy on access to information and disclosure, including on confidential information).
- G3.29.** If and when there is a need for a substantive change in the Project activities, it is subject to prior approval by the Bank. The Bank may activate remedies, including the suspension of Loan / Grant Agreement proceeds in case of major deviations from the agreed activities and/or when audits and reports are not delivered.
- G3.30.** In case of the UN Organization acting as a supplier or service provider, the process follows specific steps:
- Step 1: The EA files blanket withdrawal applications (for the total funding ceiling) and send it to the Bank;
 - Step 2: The EA issues procurement requests to the UN Organization;
 - Step 3: The UN Organization submits cost estimates for the supply of concerned goods (original cost estimates must have been prepared during Project preparation);
 - Step 4: The EA reviews and accepts/rejects cost estimates (in case of a rejection, it usually means that another procurement arrangement must be found and eventually a regular/competitive procurement process takes place);
 - Step 5: The UN Organization request up-front payment (directly to the Bank on behalf of the EA or to the EA);
 - Step 6: The Bank disburses funds; and
 - Step 7: The UN Organization initiates the procurement actions.
- G3.31.** It also follows specific and pre-agreed provisions regarding the supply of the goods in regard to adjusting quantities to offset increase in prices, designation of a consignee, shipping and quality assurance documents (invoices, bill of lading, packing list,...etc.), insurance (under CIP or other agreed Incoterms), delivery and port of entry as needed, and custom

clearance and final acceptance.

- G3.32.** The UN Organization furnishes a financial utilization report (each 6 months) and a supplemental status report upon request as well as a final Statement of Accounts (with the total cost) for determining the final balance of funds (positive or negative) and how to settle the balance.

G4. Toolkit References relevant to Procurement from UN Organizations

- G4.1.** The Toolkit provides the full text of the various relevant documents listed below. It also a list (not exhaustive) of UN Organizations and Partners which can be considered, with their respective roles and unique qualifications / focus; and some external references similar to those developed by the Bank (e. g. by the World Bank).

- G4.2.** Relevant documents include:

- The full text of the “Fiduciary Principles Agreement - FPA - between the African Development Bank, the African Development Fund and Certain Organizations of the United Nations System”, including Annex 1 which develops fiduciary principles
- A Model Tripartite Funding and Implementation Agreement, binding the three parties (Bank, UN Organization and Borrower), attached to the FPA as Annex 2.
- A Model (Standard) Agreement between the Borrowing Country and the specific UN Organization for the procurement of supplies or the provision of services, as appropriate
- A list of Organizations (and Partners) which could be involved in the implementation of projects and programmes financed by the Bank and other MDBs (main domain of activity, experience and expertise, circumstances and conditions for their involvement, Web links and contact points): UNICEF, UNFPA, UNESCO, WHO, FAO, UNOPS, ILO, UNAIDS, UN-Habitat, UNWRA, UNHCR, and UNDP.
- External References and documents similar to those of the Bank, and which could be consulted and considered if needed, especially those developed by the World Bank (with UNESCO, UNICEF, UNFPA, WHO, FAO) and posted on its external website.

Chapter H

Procurement Involving Community Participation

H1. Introduction and Principles

General Considerations

- H1.1. Many Bank-financed projects involve community participation to an extent or another. The significant role that can be played by the Community, from a broad point of view, in the oversight of Borrowers' procurement, is particularly recognized (The Role of the Community -- Part II of this OPM - Volume 1: Roles and Responsibilities of the Bank and the Borrower). This refers to the involvement of the civil society in the transparency aspects of the procurement processes and also in regard to the handling of complaints.
- H1.2. The term Community covers the following groups:
- Associations or groups with legal status, with or without separate legal personality as a group (e.g. villages in rural areas);
 - Small and local level organizations with no legal status (e.g. in urban zones or districts under a Local Government entity);
 - Co-operatives or pre-co-operatives, associations, users associations, and local or small commercial organizations (e.g. small scale artisans, associations disadvantaged because of a lack of adequate financial assets or institutional capacity); and
 - Formal or informal groups of beneficiaries, including disadvantaged individuals.
- H1.3. Nongovernmental organizations (NGOs) which support and facilitate the implementation of a project may be considered when they are local representations of populations or groups of the above-captioned categories, and have been assessed as truly serving local interests and communities as defined above.
- H1.4. This chapter focused on the very significant role that communities and community groups increasingly play in the implementation of Bank-financed development projects, and in particular in Community-Based Investment Projects (CBIPs), and their procurement arrangements and management. This reflects in particular an approach to investments in rural development in Africa that focuses on decentralized schemes and participatory policies, rules and procedures under which many decision making and management responsibilities are delegated to communities.
- H1.5. These projects involve a range of benefits from the full application of flexibility to select and apply the appropriate procurement methods and procedures (PMPs), including provisions specifically designed for such projects taking local culture, norms, and capacity into account. The latter should be aiming at empowering beneficiary communities and addressing issues related to the lack or insufficiency of the local markets or when public institutions and local governments fail to fulfill their mandates.
- H1.6. This can only be achieved if communities are fully aware of the Project objectives and operational rules, including sanctions, i.e. communities need to know the rules and methods for paying local labor, buying materials, and hiring equipment, as well as how money is spent. PMPs should be kept simple, with a high degree of transparency and promote full local accountability.

- H1.7. Community participation in planning, designing and implementing development projects is increasingly becoming a significant element in project design. Experience suggests that projects tend to be more sustainable and yield higher returns when they involve those they are intended to help. The benefits of involving communities in projects include:
- Enhancing community ownership and hence the sustainability of the project;
 - Increasing capacity and skills of the community; and
 - Generating employment and economic opportunities within the community.
- H1.8. Under such schemes, Governments' transfer of responsibilities and funds often require the participation of the beneficiaries in the various procurement phases and the management of contracts, and/or supply of inputs, and/or delivery of services, and/or execution of simple works. The involvement of communities has two main benefits as far as procurement is concerned:
- Increasing the economy, efficiency and effectiveness, and speed of procurement; and
 - Reducing the burden of centralized procurement on the Borrower's EA.
- H1.9. The roles that the community can play include:
- Participation in the delivery of civil works and non-consulting services;
 - Increased utilization of local know-how, goods, and materials; and
 - Employment of labour-intensive and other appropriate technologies.
- H1.10. The management of procurement involving community participation presents, however, special challenges because:
- They embrace a wide range of projects, and CBIPs projects typically have a multiplicity of actors;
 - Communities are scattered, sometimes in remote locations with poor communications and various degrees of expertise;
 - Projects include many small and simple subprojects that are geographically dispersed; and
 - Standard PMPs are typically constructed to respond to large-scale needs rather than to those undertaken at the community level while they should be project-specific

Main Provisions of the Procurement Policy and/or Methodology

- H1.11. While the Procurement Policy does not make any direct reference to Procurement Involving Community Participation, the risk-based Fit-for-Purpose (FfP) procurement policy is aiming at the optimal way to achieve the combined fiduciary and development objectives through specific PMPs that are modified and streamlined to ensure that the VfM principles are satisfied.
- H1.12. **Provision 2.4** stipulates that to achieve VfM in procurement, PMPs and oversight measures and mechanisms are FfP in any given intervention and appropriately reflect the specific needs and circumstances of the situation.

- H1.13. Given that communities unless commercially sophisticated, almost always need assistance to participate either as contractors, suppliers, consultants or procurement agents, the Bank policy provides for the simplification of procurement processes so that small local organizations have the opportunity to participate.
- H1.14. The Methodology for Implementation of the Procurement Policy of the AfDB --the Methodology-- enables addressing both sector and project aspects, tailored to specific conditions and sorts of projects, of which CBIPs are an essential aspect.
- H1.15. **Provision 1.6** stipulates that the FfP dynamic and flexible approach, and the proportionality and sustainability principles it entails, is particularly aiming at Community-Based Investment Projects (CBIPs) under which specific procurement arrangements are made to ensure that the overarching principles of the Procurement Policy are met.
- H1.16. However, the advantages of increased sustainability through direct contracting of community groups is to be, in all cases, weighed against the benefits of encouraging or initiating grassroots commercial activities and competition. In all cases, regular reviews to ensure that the Procurement Plan (PP) is abided by, and the schedule of activities is regularly updated, and audits must be carried out as necessary.
- H1.17. This Chapter of Volume 2 of Part I of this OPM describes best practice for procurement involving community participation, including PMPs. It also describes oversight and control and monitoring mechanisms.
- H1.18. Such best practice is relevant when assessing the possibility of relying on Borrower Procurement Systems (BPSs) and Third Party rules and procedures under Bank-financed projects --in that latter case, it relates to the use of UN Organizations for the implementation of Projects under a FPA arrangement (See Chapter G - Procurement from UN Organizations of Volume 2 of Part I of this OPM). The determination of the use of Borrowers' Procurement Systems (BPS), Bank standard PMPS or Third Party rules and procedures, results from the application of the Methodology as described in Chapter C of Volume 1 of Part I of this OPM.
- H1.19. It is to be noted, however, that except in cases of extreme lack of capacity of the Borrower's Executing Agency (EA) of Bank-financed projects, or Fragile and Conflict-Affected Situations (FCS) and Emergency Relief Assistance (ERA), procurement involving community participation is expected to follow national PMPs and other rules.

H2. Procurement Processes involving Community Participation

Designing Procurement Arrangements

Challenges

- H2.1. Depending on the complexity of the procurement processes to be carried out, the institutional capacity of communities is key to effective community participation in procurement. The community(ies) must have the technical, administrative and accounting skills and an organizational capacity that allows for beneficiary contribution by the community at large. The investigation of the community's procurement capacity allows to come up with

a procurement planning strategy and design of complements for the Project that relies on the community(ies).

H2.2. Procurement should be designed to:

- Be simple and straightforward in order to be easily understood and implemented by the concerned EA(s) and the community(ies);
- Giving the key role to community representatives with a mechanism for all to participate;
- Be transparent, even when Direct Procurement (DP) is the best FfP option;
- Allow competition to some extent (given the lack of competitive local markets);
- Use simple and standardized documentation, avoiding complex terms difficult to understand for laymen;
- Focus on monitoring technical quality and the control on the use of funds rather than on the strict application of impractical procurement rules and procedures; and
- Balance risks with control/management with efficiency considerations.

H2.3. Communities may need assistance in preparing and implementing their activities under the Project. Such assistance is usually provided by consultants (individuals or firms) or NGOs. It is, however, difficult to plan for such upfront so that, in order to avoid undue delays in the Project implementation, the selection process should be simple, though always transparent. Suitable and efficient selection processes should be designed keeping these principles in mind and reflected in the Project Implementation Document/Manual (PIM). It may be useful for the EA to prepare a roster of qualified consultants, and even to enter into indefinite delivery contracts or framework agreements with them; communities can then hire consultants from such lists according to a predefined call-off procedure.

Capacity and Risk Assessments

H2.4. Capacity and Risk Assessments are conducted for both the EA (typically for CBIPs a line Ministry, a parastatal or a Social Fund) and the involved communities. The former is subject to the standard assessments (See **OPM-Part A-Volume 1-Chapter B**). The focus and the indicators of compliance, capacity and performance need, however, to be adjusted to the fact that the EA delegates some ground-level functions to the communities and their representatives.

H2.5. The latter differ as they do not require to cover the same ground as required in the comprehensive approach of the standard EA assessments, focusing solely on a few aspects as indicated below, given their roles and responsibilities and the fact that many CBIPs (or community components of other projects) are implemented in and by a large number of communities which act as sub-EAs of sort. Basically, communities are assessed to have sufficient technical and accounting skills, organizational capacity, and preferably a degree of experience.

H2.6. The following describe the main aspects to consider when conducting the assessments at different levels:

- **EA:** The capacity of the agency is assessed from a national perspective as it is expected to carry out on occasions complex, non-standard, or high-value procurement under the Project. The assessment focuses on the capacity and adequacy of staffing, its ability to implement the applicable PMPs, and capacity to carry out its oversight responsibility to ensure fiduciary compliance by the beneficiary communities, and eventually the associated local authorities and intermediaries. A critical aspect is its capacity with regard to audits and supervision. The assessment from a broad point of view focuses on a broad understanding of the BPS and its application at decentralized levels of government, relying on the BPAR as necessary.
- **Local Authorities/Governments:** When they are delegated project implementation responsibilities, their capacity for oversight of implementation by beneficiary communities and intermediaries as well as contracted parties is essential. When they are subject to following BPS rules and procedures, the assessment focuses on the level of adequacy of their knowledge in this regard and an analysis of the mandate, responsibilities, and accounting capacities of such authorities.
- **Intermediaries:** The assessment covers their capacity and procurement management system, including specific arrangements to ensure accountability and coordination with communities. The assessment also covers technical implementation.
- **Communities:** It is not practical, as mentioned above, to assess the capacity of each and every single community involved in a CBIP given their typical number and wide dispersion, and also because they may not be all identified during project preparation. The capacity assessment, therefore, normally rely on a sample of communities whose size is defined according to the Project's risks. The assessments focus on their ability to carry out fair and transparent procurement based on needs, fairness and openness. The Project PIM defines minimum requirements, including in regard to their organizational and legal status for accounting and collective decision making, for a community to be given the responsibility for managing procurement processes. Such should address for example: (i) do the representative(s) designated to manage the process on behalf of the community represent the target beneficiaries; (ii) are the identified needs strategic and useful for the whole group; (iii) does the group use a Procurement Committee and include a trained bookkeeper and/or treasurer; and if not, (iv) who can be quickly trained to undertake these responsibilities and how will this training be given?

H2.7. During preparation, agreements should be reached on mechanisms to ensure universal participation of the targeted beneficiaries, as well as arrangements for fiduciary assurance like setting up committees or monitoring and accountability mechanisms.

H2.8. Risk Factors typically include:

- The large number of parties and transactions involved, the small value and multiplicity of contracts, and the scattered locations of the activities that render problematical ex-ante controls across all individual sub-projects;
- Disbursement to bank accounts is typically based on progress reports while the supporting documents are best kept at the level where the expenses are incurred;

- Community groups broadly lack administrative, technical and accounting capacity;
- There may be cases when representatives of the community do not truly represent them (i.e., elite capture and/or political interference); and
- Activities typically take place in areas of the Borrower country where diversified markets do not exist and a higher risk of conflict of interest may arise.

Capacity development and risk mitigation

- H2.9. Capacity development action plans and risk mitigation measures are designed in a manner appropriate to the procurement involving communities. They must be broad and far-reaching in the sense that it is impractical to focus on each community in large CBIPS with hundreds of sub-projects. The analysis of gaps and a capacity development focus on assisting communities to build on and strengthen their existing skills in order to manage and sustain activities.
- H2.10. Accountability should be built at the community level using mechanisms such as participation, public announcement of community activities and funds received and spent, use of local languages for all community records and their communication to the next higher level, election of management committees, disclosing information into the public domain in open meetings and posting salient information in public places in the most common local language(s), even in communities where illiteracy levels are high.
- H2.11. Risks should be mitigated by clear transparent rules and procedures for empowering and training communities to exercise fiduciary control over their leaders, as well as by suitable internal control procedures. The mitigation system should be simple and effective.
- H2.12. Key control points to consider include:
- Delegations of authority to initiate, authorize, execute, or record a transaction should be made to a group of community members so that no one could act without the active involvement of someone else (for example, all withdrawals and transactions should be witnessed and countersigned);
 - Risks of loss, leakage, fraud, inaccuracy, or mistakes should be carefully identified and assessed at all levels, and mitigation risk measures put in place. They should neither be so cumbersome as to cost more than the possible loss that could result from their absence (proportionality) nor hamper project implementation
 - Monitoring and control mechanisms should integrate accounting/administrative reporting with technical/progress;
 - A complaints mechanism for the project should be established and defined in the PIM to ensure that complaints from any stakeholders at any point in time are appropriately handed in a timely manner; and
 - Internal audits/ex-post audits of community organizations should be conducted (See below).
- H2.13. When the capacity and risks assessment make it clear that neither the EA nor the communities have adequate capacity and/or that the risks are significant, there is a need for both minimum capacity development of the

communities and the recruitment of a monitoring agent. Its role is also to strengthen controls for ensuring that contracts are procured in accordance with agreed PMPs and payments are made appropriately and according to signed contracts.

- H2.14. One option is that concerned local governments or a frontline government agency provide such service. Increasingly, using representatives from the community itself is seen as a better option. Another option is to have an umbrella intermediary or various intermediaries carry out this function (See next paragraph). In each case the objective is to monitor the activities of the communities on a regular basis and take corrective action in a timely manner. When the need for such agents or intermediaries has been identified, their recruitment should take place as early as possible.
- H2.15. Intermediary(ies) --often an NGO or several NGOs for large projects involving many communities-- conduct the procurement on behalf of the communities that is acceptable to them. The intermediary(ies) act on the community's behalf following agreed PMPs (including those of the BPS as may be agreed) that figure in the FA and are detailed in the Procurement Plan (PP).
- H2.16. Selected agents of intermediaries should be assessed to demonstrate that they have general qualifications and the following attributes:
- Have generic ties with communities in the Borrower country and be in general knowledgeable about the specifics of the Borrower country ;;
 - Possess the required institutional capacity in terms of human and physical resources to assist the community in carrying out procurement (i.e. having staff with the technical skills and qualifications required for the implementation of procurement and having accessible office space, vehicles, communication facilities etc.);
 - Have an appropriate governance framework with sound internal management, transparency, financial accountability and efficiency;
 - Have an adequate number of experienced field staff conversant with the local culture, language, and the socio-economic dimensions of the beneficiary groups, with excellent communication skills, and having a keen understanding of and sensitivity to issues concerning women, minorities, the environment and a philosophy suitable for the implementation of community initiated sub-projects with community participation;
 - Be non-political and having a proven track record of satisfied beneficiaries on similar assignments (at least two years' of experience in works of this type, modified to suit individual cases), and in particular be accountable to the Project beneficiaries;
 - Be registered with a formal corporate status;
 - Have facilities to maintain separately, records and accounting and auditing of funds allocated for the assignment; and
 - Possess internal stability so as to assure long-term support.
- H2.17. Ultimately, this should lead to training and capacity building of the communities in skilled work, producing better quality goods and materials. This should also result in better accounting and accountability in the use of funds, enhanced organizational capacity to do collective and community

procurement activities and improved operation and maintenance of facilities or activities undertaken.

H2.18. A number of facets should be covered, including inter alia:

- Awareness of the Bank Procurement Policy at a broad level, and more specifically of its requirements applicable to communities (use of funds, technical responsibility, procurement at the community level, audits, anti F&C rules and procedures);
- Skills of the representatives of the community groups in communicating with them and organizing them for the purpose of the Project;
- Simple procedures for carrying out the entire procurement process;
- Techniques in monitoring and evaluating the activities and their impact; and
- Sensitivity to gender and other cultural concerns.

Procurement Methods and Procedures (PMPs)

H2.19. The FfP approach to achieve VfM while managing risks appropriately under CBIPs is expected, as mentioned earlier, to result in most situations in relying on the BPS, at least for most transactions under the project or programme, with the possible exception of the procurement of some goods (cost-effective and competitive bulk-procurement) and/or relatively large and complex transactions (for example a small dam serving rural farmers). Typically communities should not be involved directly (i.e. as procurement managers or agents) in complex procurement activities which should remain the responsibility of the EA, with support as may be needed.

H2.20. Selected FfP PMPs should be described in the each subproject financing agreement with the community and the PIM. They may involve simple competition methods, requests for quotations and shopping, as well as direct procurement such as off the shelf purchases. It is important to assess whether communities, especially registered ones, are governed by the BPS and required to follow certain PMPs, and how such requirements are best FfP. If national/local regulations are unsuitable, it is necessary to reach an agreement with the EA to follow specific PMPs.

H2.21. PMPs are typically not pre-specified for particular transaction, and their identification is generic for broad categories of procurement and groups of similar processes and transactions, except for the need to put in place appropriate design and accounting as well monitoring and control mechanisms. The key criteria to take into account include:

- Speed and ease of procurement;
- Reducing the burden of centralized procurement on the Borrower's Executing Agency (EA);
- Community ownership and sustainability of the project;
- Support to the local economy, including employment and economic opportunities within the community; and
- Capacity and skills of the community.

- H2.22. For all applicable PMPs, simplified steps should be followed and simplified forms of contracts used.

Works (or Services)

- H2.23. Communities are often interested in open competition in order to enhance VfM, fairness and equal opportunity to contractors. OCB would typically be used for larger procurement processes directly managed by the EA according to standard rules and procedures and PMPs, but open competition may be limited, i.e. LCB, through specific procedures such as local advertising using local newspaper or radio, posting notices at strategic places, circulating such notices or reading them out in community meetings or other public gatherings. Target contractors are often those within the vicinity of the beneficiary community.
- H2.24. The SD may simply spell out the scope of works, the criteria for selection, and the deadline for submission of bids. Bids are opened in public. The bids are evaluated by a committee appointed by the community. Bids are examined to determine whether they meet the minimum specifications mentioned in the SD (experience, quality of works, equipment, services offered, and delivery dates). Bids that meet the specified minimum requirements are retained for further evaluation and the bidder that meets the minimum requirements and offers the lowest bid is selected. The award and amount of the contract should be announced to all bidders.
- H2.25. When simple quotations are requested, the documents describe the scope of the works, provide specifications and where possible include drawings. In order to enhance efficiency and remove the inherent risk of compromise, the requests for and submission of quotations are in writing. Quotations should be opened at the same time and to the extent possible in the presence of community members. As a general rule, the contractor that offers the lowest price should be awarded the contract. If there is sufficient information available in advance as to the need for simple works and services, the EA may consider the use of framework agreements.
- H2.26. CBIPs may also rely on Direct Procurement (DP) with Communities or qualified intermediaries to directly hire the necessary labour, purchase the required goods and materials. Direct contracting between the EA and community groups may take place for small civil works in remote and scattered locations, typically rehabilitation and construction of local social infrastructure (schools, health centres, water supplies). In most cases community groups essentially provide free or unskilled labour and carry out directly the works, or hire skilled local workers under contracts entered into for the specific project. They may also directly hire local technicians to design and supervise the works (i.e. without relying on standard consulting services methods, provided that qualifications and wages are monitored by the EA).
- H2.27. To the extent possible, the contract price agreed upon should be within local market rates or established estimates as indicated in a Unit Cost Database. Such method should require approval of the community representative (committee or else) in order to remove the inherent risk of failure to appropriately justify the use of the method.
- H2.28. In such cases, EAs and local governments or qualified intermediaries typically provide the wages for the skilled workers who supervise the works and the purchase of materials at the local level. Materials and equipment that are not available locally can be procured, depending on the capacity of the communities or lack thereof, by the EAs using simple LCB methods such as

shopping. Payment of materials and equipment directly and locally purchased is based on receipts checked by the EAs against available standard unit costs established for a small range of materials (See below). Similarly wages of local labourers are based on surveys carried out locally by the EAs. Such unit costs are regularly updated (good practice is every three months), and have to be acceptable to the Bank at all times. Payments are made once the construction is satisfactorily completed, and are subject to a ceiling defined in each sub-project agreement.

H2.29. DP may also take the form of a Force Account method when a community carries out works using its own resources (skilled and unskilled labor, materials, equipment), and may subcontract part of the subproject. This approach offers several advantages. It is community driven and often cost effective (inputs can be provided by the community at below-market costs), and it injects funds into the community (e.g. through the payment of wages and materials). Its major drawbacks are the potential for abuse (misallocation of funds) and the difficulty of estimating and controlling costs.

H2.30. The communities may also provide various services based upon the:

- Technical complexity of the work to be undertaken;
- Local practice of using community labour;
- Willingness of the communities to participate; and
- Availability of small contractors in the area.

Goods

H2.31. Shopping may in particular be used in the local context of community development projects. In order to monitor the achievement of economy, efficiency, effectiveness and equity under shopping, the EA must, at the project design stage, establish unit costs databases for goods and works based on past experience. These databases help to monitor the economy of procurement through shopping and also provide guidance in the selection of supplier and award of contract.

H2.32. Quotations are obtained from at least three qualified suppliers on the basis of simple documents. Quotations should be opened at the same time and to the extent possible in the presence of community members. As a general rule, the supplier that offers the lowest price should be awarded the contract. If there is sufficient information available in advance as to the need for common use and off-the-shelf goods, the EA may consider the use of framework agreements.

H2.33. Off the shelf purchases are a form of direct procurement that is used when very low quantities and low overall value of goods or supplies are simply purchased "off the shelf" from an available retail outlet. Provisions and conditions for off the shelf purchase should be specified in the PIM, including monetary ceilings.

Commonly-used Process

H2.34. Under CBIPs, commonly used procurement procedures include:

- Local advertisement placed in the local media accessible to all contractors/suppliers in the area of the sub-project;

- The SD and the form of contract are written in simple language and clearly describe the scope of works or supplies; and
- When the market is such that procurement processes do not attract qualified contractors or suppliers, the responses to the advertisement may be used to establish a roster of handymen and shops that could be called upon during the project execution while allowing additional applications at any time.

Example of a process to select FfP PMPs

- H2.35. The project EA directly contracts community groups to implement small civil works in remote and scattered locations, and to rehabilitate and construct local social infrastructure (schools, health centres, water supplies).
- H2.36. Most groups provide free or unskilled labour to carry out the works directly, or hire skilled local workers under contracts entered into for specific sub-projects. They may also directly hire local technicians to design and supervise the works without relying on standard consulting recruitment methods (provided that qualifications and wages are monitored by the EA).
- H2.37. Some communities also provide various services, depending upon the technical complexity, local practice of using community labour, willingness of the communities to participate, and availability of small contractors in the area.
- H2.38. Communities typically use DP to directly hire the necessary labour, purchase the required goods and materials, and execute the works, as contractors would do. However, the advantages of increased sustainability through direct contracting of community groups is to be, in all cases, weighed against the benefits of encouraging or initiating grassroots commercial activities and competition.
- H2.39. EAs and local governments or qualified intermediaries provide the wages for the skilled workers who supervise the works and the purchase of materials at the local level. Materials and equipment that are not available locally can be procured, depending on the capacity of the communities, by the EAs using simple LCB methods such as shopping.

Other Considerations

Procurement Planning

- H2.40. Given the demand-driven nature of CICP, it may not always be practical to prepare detailed PPs at the time of negotiations for a CBIP or a CDD component of a broader project, especially when the procurement of activities or the activities themselves are carried out directly by the community. Such projects or project's components generally envisage a large number of small value contracts for goods and consulting services, and a large number of small works scattered in remote areas. Simplified PPs should be prepared, based on an indicative list of eligible activities to be implemented (See OPM-**Part A-Volume 1-Sub-Chapter C3: Project Procurement Planning**).
- H2.41. The simplified PP identifies the categories of goods, works or services to be procured, the role the community plays, and the monitoring by the EA and audit. It includes a broad schedule for procurement actions, including target dates for each identified step (advertising if necessary, issuing the request

for quotations or SD as maybe applicable in a few more complex cases, award --including when direct procurement, and the schedule for disbursements for each component or similar category of procurement transactions), expected Bank financing, government counterpart funds and co-financing.

- H2.42. Estimating the quantities of goods, or the nature of works, and services required is an important step in procurement planning and preparation. If procurement contracts are expected to be large, community participation may not be economic or efficient, and the EA should be in charge of such procurement processes as mentioned above. Thus a community should only manage contract whose sizes or values are small and it has adequate administrative/accounting and technical capacity to do so.
- H2.43. Since many social sector projects are demand-driven, the nature and quantities of procurement are determined during project implementation through community-initiated sub-projects. The determination of “what to procure” is made by the communities, while the EA ought to consolidate the information for all considered sub-projects to: (i) identify the total financial allocation; and (ii) determine which (relatively large and complex) procurement processes and transactions should be managed by itself.
- H2.44. Communities should be involved in procurement as suppliers only when:
- Goods required are of a type commonly provided by community groups including furniture, roofing materials, wooden sleepers for railways, groups of small scale artisans may provide wooden desks in an education project etc.;
 - Works concern the construction of small infrastructure and are to be performed by unskilled labour. Informal groups within the community may also be hired to manage and supervise construction of such works; and
 - Works concern the execution of specific irrigation work on communal or privately owned land by irrigator associations constituted by farmers.
- H2.45. Contracts with contractors and suppliers of goods and services required in emergency projects or components, may be procured by project committees specifically constituted for that purpose. Similarly communities can be involved as procurement agents only when goods are of a type readily available in local markets, or works are of a type provided by contractors in the geographical areas or services required are provided by persons or groups within their reach.

Costs Estimates

- H2.46. While an important part of project preparation regards cost estimates (See Section Categories of Risks, Reliability of cost estimates or lack thereof in **OPM-Part A-Volume 1-Chapter B**), the critical aspect for CBIPs regards the precision of the estimates for the various categories of procurement and groups of similar transactions.
- H2.47. Estimating the aggregate cost estimates for many sub-projects is challenging in demand-driven projects and social funds, and flexibility allows for amending such aggregate amounts during project implementation when justified though ceiling amounts must be set to manage overall financial risks. Ceiling amounts must also be set for the various categories of procurement and groups of similar transactions that communities may handle directly

themselves, again to allow for the proper monitoring of the Project by the EA and the management of risks.

Payments

- H2.48. Many community-level expenditures concern payment of local wages or the purchase of materials. Under the payments based on completion payment procedure, the valuation of these goods, labor, or services is predetermined as part of the subproject proposal and may be based on a database that reflects local market prices; and funds are included in the fixed-amount provided for the subproject. This enables a community representative (typically a person appointed by the group as treasurer) to make payments to individuals in the community for goods or services. The actual amount paid becomes the decision of the community and can produce efficiencies and savings for the community, allowing the saved funds to be applied against other expenditures under the project.
- H2.49. Beneficiary communities should be empowered to make payments according to project-specific procedures consistent with those described in the PIM. Methods of payment used for community subprojects should be identified and consistently used (i.e. not changed in an ad-hoc manner) during implementation.
- H2.50. Either one of the two following methods may be used:
- **Payments based on Subproject Completion** is the preferred method for projects with a large number of small and technically simple activities/contracts which are usually not identified upfront. Payments are based on eligibility, the method of implementation, cost estimates, and a defined outcome or the delivery of an end product. A contract between the EA and the community stipulates payments, in one or several tranches, on the basis of physical progress, performance or completion (possibly assessed by an independent reviewer or monitoring agent). Such are subject to a ceiling defined in each subproject agreement. They may include in-kind labour or materials contributed by the community, or subcontracting or procurement of goods and skilled labour. This is FfP for procurement processes that are simple to manage, with documentation and reporting kept to a minimum, and subject to progress and completion reports as well as technical inspections. The underlying rationale is that the community has a built-in incentive for VfM which allows for fewer and less onerous controls by the EA.
 - **Payments based on actual costs** should only be relied upon when (i) activities and contracts are few and of a relatively large value (e.g., water supply in cities), and are clearly identified during project preparation; or (i) related costs cannot be satisfactorily estimated, but the community has the capacity to manage such more complex procurement processes, which requires technical knowledge and project management skills granting the EA's delegation of responsibility.
- H2.51. Payment of materials and equipment directly and locally purchased is based on receipts checked by the EAs against available standard unit costs established for a small range of materials.
- H2.52. Payment of wages of local labourers is based on surveys carried out locally by the EAs. Such unit costs are regularly updated (good practice is every three months), and have to be acceptable to the Bank at all times.

Audits

- H2.53. Internal audit by central government, local government, or simply by trained members of the community is an integral part of the internal quality and internal control framework. The mechanism should be simple and inexpensive to review internal community activities, and be designed to confirm that funds have been spent on the intended purpose and that VfM has been achieved for the community. This can be one of the most effective ways of minimizing risk of fraud and corruption or of detecting poor practices. This should be linked to the overall monitoring and evaluation of the Project (See next paragraph).
- H2.54. Annual procurement audits take place during project implementation, following arrangements described in the PIM established for the Project. Coverage of procurement should preferably be integrated with the financial audit(s) as well as technical audits so that the overall control framework draws upon various tools that include internal and external controls, procurement reviews, monitoring and evaluation, and audit. Consideration as to how the various tools can be utilized to provide coverage and assurance without overwhelming capacity is a key design concern.

Documentation

- H2.55. Procurement arrangements, including PMPs to be used, must be elaborated and incorporated in the PIM that is prepared by the EA and must be made publicly available. The PIM should describe in sufficient details the roles, responsibilities, and the extent of participation of the community in general, including in certain circumstances community tender committees, as may be needed. Payment procedures, procedures for the maintenance of records, and the role and oversight functions of the EA should also be detailed.
- H2.56. The PIM ought to contain the following supporting documents related to the handling of procurement:
- Sample formats for submitting community proposals for activities to be financed under the Project. Each proposal should identify all activities and cost estimates, as well as a description of the envisaged community-level procurement management arrangements;
 - The simplified PP detailed at each participating community level;
 - The best FfP PMPs for each category of procurement or group of similar transactions and procurement processes, consolidated from each participating community;
 - Simplified SDs and Requests for Quotations and standard simple forms of contract for works, goods and services that would be used by communities;
 - Standard agreements describing the obligations of the community and conditions for use of project funds to be signed between the EA and Communities or their representatives;
 - Standard contract forms for the provision of services to be used between communities and intermediaries; and
 - A reporting template, including minimum requirements. If a community has an existing format that satisfies the template conditions, it should be maintained.

Disbursements

- H2.57. They may be made directly to the community groups on the basis of eligible expenditures incurred or to be incurred by the community. This involves a significant amount of paperwork, expenditures reporting, and fiduciary controls by the EA.

Chapter I

Procurement under Emergency Relief Assistance (ERA) & Fragile and Conflict-Affected Situations (FCS)

I.1 Introduction and General Principles

- I1.1. This Chapter of the OPM describes the process and steps to be followed for procurement under Emergency Relief Assistance (ERA) and Fragile and Conflict-Affected Situations (FCS) under which it is agreed with a Borrower to follow specific rules and procedures.
- I1.2. When Borrowers' Procurement Systems (BPS) (See Chapters B and C of Volume 1 of Part I of this OPM) or Third Party rules and procedures are to be used such as those of a United Nations System (UN) Organizations (See Chapter G of Volume 2 of Part I of this OPM), their rules and procedures may apply.

Main Provisions of the Bank's Procurement Policy

- I1.3. The Procurement Policy does not make any specific direct reference to ERA or FCS situations. Its overarching VfM principle and the risk-based and FfP approach are, however, providing the underpinnings for handling the special situations that represent ERA and FCS projects.
- I1.4. **Provision 8.5** of the Procurement Policy (General Principles paragraph) recognizes that in exceptional cases there might be exceptional cases justifying the need to use a Direct Procurement (DP) Procurement Method (PM) for the procurement of works, goods and non-consulting services, i.e. when it presents a distinct advantage over other competitive methods.
- I1.5. **Provision 8.6** of the Procurement Policy specifically states that less or non-competitive PMs for the selection of consulting services may be appropriate when they present a clear advantage over competition. Particular PMPs may be used under certain circumstances.
- I1.6. More specifically, Section 5 of Annex 3 of the Methodology specifically stipulates that one of the circumstances under which Direct Recruitment (i.e. DP) or Single-Source Selection (SSS) may be used concerns emergency cases, such as in response to disasters and for consulting services required during the period of time immediately following the emergency
- I1.7. **Provision 10.4** of the Procurement Policy considers the use of Mutual Reliance Agreements (MRAs) to allow for mutual reliance with other donors, especially Multilateral Development Banks (MDBs) such as other Regional Banks (e.g. EIB or EBRD) and the World Bank (See Chapter A of Volume 1 of Part I of this OPM and below).

Approach

- I1.8. Flexibility is of the essence to facilitate the rapid delivery of emergency assistance and to administer projects in FCS situations where the lack of capacity raises critical preparation and implementation issues, particularly in regard to procurement. The FfP and Risk-Based approach provides the needed flexibility to accommodate the Procurement Policy principles and requirements to facilitate project implementation, be it through the rapid delivery of emergency assistance or the effective execution of projects in FCS situations.
- I1.9. The risk-based integrated approach focuses on the connection between various assessments conducted for the purpose of: (i) project

preparation/appraisal; (ii) reviewing readiness; (iii) declaring credit/loan effectiveness; (iv) reviewing mechanisms and procurement activities during project implementation; (v) conducting reviews; and (vi) carrying out a Project Completion Report (PCR). It is designed to help address issues pertaining to procurement risks and capacity assessment, risks mitigation measures and monitoring and evaluation.

- I1.10. The approach allows to conduct the three main assessments at the country, sector and project levels (described in the Methodology and Chapter B of Volume 1 of Part I of this OPM) under a streamlined process and procedures, including as regards the application of the Methodology in such cases. Typically specific procedures and conditions prevail for the assessment of risks and capacity, the conduct of the market analysis, and the determination of procurement management arrangements. This would also involve particular oversight measures at key decision points.
- I1.11. When designing implementation arrangements, it is key to take into consideration the conditions pertaining to retroactive financing which may take place under standard conditions (See Chapter A of Volume 1 of this OPM).
- I1.12. A PPF may also be used for activities such as: (i) taking of inventories; (ii) carrying out preliminary studies; (ii) preparing Terms of Reference (TORs), short lists of consultants, Requests for Proposals (RFPs) and Solicitation Documents (SDs); (iii) carrying out advance procurement; and (iv) recruiting management staff and consultants. The PPF may also finance urgent start-up activities, using pre-agreed simplified procurement methods and procedures (PMPS) that are best FfP. The applicable ceiling for advances from the PPF, if and when used, must be set up-front.

I2. ERA

General Considerations

- I2.1. While as indicated in Sub-chapter I1 above, there are no specific direct references to ERAs in the Procurement Policy or Methodology, various provisions apply specifically to ERA projects and other emergency circumstances.
- I2.2. The Bank's Revised Policy Guidelines and Procedures for Emergency Relief Assistance⁴ and General Regulations of the Special Relief Fund (SRF) of January 2009, define emergencies as unexpected events that result in major physical loss or damage (such as floods, earthquake and the like), social and/or economic disruption, and human suffering, such as a cholera or Ebola epidemic.
- I2.3. Typically, ERA operations are of a short-term nature, lasting from a few weeks to a few months, and characterized by the need for prompt remedial actions to save and protect lives, salvage property and minimize the destruction of basic infrastructure.
- I2.4. They often take the form of a grant and are processed following the receipt of a request from the Government of the country concerned or a general appeal from UN Organizations to the international community.
- I2.5. Depending on the extent and nature of the emergency, a review is conducted to: (i) ensure timely decisions on the Bank's strategy and response to the emergency; (ii) advise on the mix of instruments to be used; (iii) ensure adequate institutional response; and (iii) resolve procedural bottlenecks.
- I2.6. The sub-chapter describes best practice and is organized in five sub-sequent Sections as follows:
- **Specific Provisions and Processes:** the underlying principles of ERA focus on how certain specific requirements of the Bank Procurement Policy such as country of origin requirements may not apply. In addition, specific processes may be followed to conduct the necessary assessments;
 - **Organizational and Institutional Arrangements:** the importance of flexible yet strong organizational and institutional arrangements to deliver emergency assistance constitutes another critical aspect of ERA projects. The approach covers various options to be used in such cases such as (i) reliance on UN Organizations to an extent or another --which covers a variety of scenarios and addresses the issue of funds management delegation; (ii) the use of MRAs; and (iii) the use of Procurement and Project Management agents and their respective responsibilities, including their recruitment under streamlined procedures;
 - **FfP PMPs:** the need for greater flexibility to accelerate project implementation may result in the selection of certain PMPs such as Direct Procurement (DP) including single-source selection of consulting

⁴ Revised Policy Guidelines and Procedures for Emergency Relief Assistance and General Regulations of the Special Relief Fund – Revised Versions. ADB/BD/WP/2008/211/Rev.1 and ADF/BD/WP/2008/173/Rev.1 of 28 January 2009. OSAN.

services, Limited Competitive Bidding (LCB), Framework Agreements, Force Account, Use of Positive Lists or Procurement of Commodities;

- **Simplified Procedures:** facilitating procurement processes under ERA situations may grant the reliance on particular bidding procedures such as for example simplified advertising procedures, accelerated solicitation periods, the waiving of bid and performance securities and the use of advance payments; and
- **Streamlined Monitoring and Control Mechanisms:** there are several options such as relying on independent agents, using specific procurement reviews and audits, using pre-shipment inspections and local independent verification at delivery, and intensifying monitoring. In addition, a simplified PP for ERA situations is generally recommended.

Specific Provisions and Processes

- 12.7. Given the nature of ERA projects, they are exempt from the requirements limiting procurement eligibility to member states of the Bank set forth in Provision 5.1 of the Procurement Policy. Firms and individuals may also participate in Bank-financed procurement on the basis of goods, works inputs and services without satisfying the country of origin requirements. Other provisions of the Procurement Policy such as Provision 5.3 --Exceptions-- and Provision 5.4 --Conflict of Interest situations-- normally apply.

Capacity and Risk Assessments

- 12.8. Depending on the complexity of the situation and the procurement processes to be undertaken, the institutional capacity and performance of the proposed EA within the context of the practices in the country and the sector are essential to define specific procurement arrangements and procedures for ERA projects.
- 12.9. It is particularly appropriate to review the Borrower's Procurement Assessment Report (BPAR) of the Borrower's Procurement System (BPS) or any other similar document in collaboration with other donors to determine specific issues in regard to emergency situations and whether the country has specific procedures to handle emergency situations.
- 12.10. Streamlined Procedures and a simplified Methodology process may be used. Also, a simplified process for carrying out capacity and risk assessments of the EA is provided in the Toolkit⁵. In some cases, a generic procurement capacity assessment for the country may be prepared up-front, and be adapted to the specific EA. Procurement arrangements should be crafted taking optimum advantage of the three possible procurement systems (BPS, Bank PMPs, or Third Party rules and procedures).

⁵ Streamlined Procurement Procedures for Rapid Response to Crises and Emergency Relief Assistance. Procurement and Fiduciary Services Department. 2015

Organizational and Institutional Arrangements

- 12.11. Prompt and appropriate assistance and the rapid processing of projects in emergency situations require operating in a flexible and pragmatic way with other institutions.
- 12.12. Involving qualified specialized agencies and organizations such as those of the UN System, private sector entities specialized in project management and procurement, non-governmental organizations (NGOs), intergovernmental and regional institutions, and/or other multilateral and bilateral donors, to undertake or participate in the management of all or part of project implementation, including the procurement function, in countries with insufficient implementation capacity, may provide an optimal institutional solution.

UN Organizations

- 12.13. In recognition of the advantages of this type of alternative, the Bank has actually established a Fiduciary Principles Agreement (FPA) with certain UN Organizations. The FPA and the Model Tripartite Funding and Implementation Agreement as well as the Model Agreement between Borrowers and specific UN Organizations for the procurement of health-related goods and the provision of related services, binding the three parties two by two, should be consulted if the use of UN Organizations is envisaged for a project (See Chapter G of Volume 1 of Part I of this OPM). All four possible modalities for the involvement of UN Organizations are provided in details.

MRAs

- 12.14. They are agreements signed by the Bank with specific donors under which associated donors agree to specific arrangements that essentially accept the equivalence of the underlined principles of each other's procurement policies and the acceptability of their PMPs and other, hence relying on the institution designed as the Lead Financier to carry out procurement according to its own Procurement Policy, make decisions and apply remedies accordingly on behalf of all co-financiers. The Bank or another institution may be in the position of Lead Financier for each particular Project (See **OPM-Part A-Volume 1-Sub-Chapter A9**).
- 12.15. It may also be possible to agree with other donors or financiers to design procurement arrangements for a given project considering the harmonization of procurement policies among donors, in particular MDBs. To the extent possible, use of pooled funds with common simplified procurement procedures acceptable to the Bank should also be considered.

Procurement and Project Management Agents

- 12.16. In crises and emergency situations and ERA projects, when the Borrower's EA does not have adequate in-house capacity for the necessary procurement or project management activities, and or where large numbers of small contracts are involved, hiring a Procurement Agent (PA) or a Project Management Agent (PMA) may be the most efficient option.

- 12.17. PA/PMA may be used to provide fiduciary assurance by pre-screening SDs and contract awards of major contracts, and bringing emerging issues to the attention of the EA, and eventually co-financiers, for quick resolution.
- 12.18. The PA/PMA should be selected in accordance with Section 8.6 of the Procurement Policy. An essential selection criterion to consider is the firm's ability to deploy qualified staff for the Borrower in a timely fashion. The selection may be made through streamlined procedures as follows:
- The EA requests from co-financiers or prepares directly a list of pre-identified PA/PMAs;
 - Based on the information provided, but without being constrained by it, a short list of firms is drawn up;
 - If the EA decides to select a firm using the CQS method described below, it sends an outline of the TORs to the short-listed firms requesting them to express their interest by submitting their relevant qualifications and experience. The time for submission could be limited to 10 working days and submissions accepted by mail, facsimile, or e-mail;
 - After evaluating these submissions, the EA selects the firm whose qualifications and experience seem the most relevant for the assignment. It then sends detailed TORs for the assignment, a draft contract form, and sample proposal forms to such firm, inviting it to submit a single simplified Technical and Financial Proposal; and
 - The EA negotiates and signs the contract with the firm.
- 12.19. Procurement carried out by the PA/PMA must be undertaken in accordance with the PMPS set forth in the FA and further elaborated in the approved Procurement Plan (PP), including the use of Standard or Model Solicitation Documents (SDs) and oversight procedures.
- 12.20. To facilitate and expedite the process, a list of pre-identified PAs or PMAs from which Borrowers may draw in emergency situations may be created. Such list should be published and updated regularly, in any case at least every two years.

FfP PMPs

- 12.21. As seen above, the Procurement Policy provides that DP and SSS may be preferred Procurement Methods (PMs) to be used in exceptional cases that ERA projects and SRF operations represent.
- 12.22. The details of PMPs that may be more appropriate under ERA projects and operations financed by the SRF are provided below:

Consulting Services

- 12.23. The selection of consulting services under disaster and emergency assistance may rely on Single-Source Selection (SSS) when such PM presents a clear advantage over competition for the required consulting services. Thus the use of SSS under emergency crises and ERA projects needs to be justified.
- 12.24. Under emergency circumstances, consulting firms that are already working in the country and have a proven track record in similar assignments may be

the most suitable option for start-up activities. Also, the results from a competitive process under another donor-financed project may be considered. For such recruitment to be justified, unit prices must be assessed as reasonable and that no advantage could be obtained from further competition.

- 12.25. Consultants selected following SSS may be given the right to participate in future assignments under the same project, provided that there is no conflict of interest (COI) with the tasks performed under the initial contract. To ensure that, in line with the provisions of Provision 5.6 of the Policy, consultants do not obtain an unfair competitive advantage because of work previously performed, for future or downstream assignments, any available information must be then shared with all firms participating in the selection process.
- 12.26. The Consultants' Qualifications Selection (CQS) method is often the appropriate method for small and rapid assignments that prevail in emergency situations. The selection is carried out in accordance with Provision 8.6 of the Procurement Policy and described in Chapter E of Volume 1 of Part I of this OPM. The indicative market values defined in the market analysis (Sub-chapter C2.4 of Chapter C of Volume 1 of Part I of this OPM) and the aggregate amounts for the use of CQS may be used with greater flexibility in ERA projects. Under CQS, the selected firm may also be requested to only submit a combined simplified Technical and Financial Proposal.
- 12.27. Using a "pool of experts" or a list of "pre-selected" consulting firms or individual consultants under a Framework Agreement (FA) or an Indefinite Delivery Contract (IDC), may also be considered as an appropriate PM for supporting EAs during the various stages of project execution, including the procurement process (see Chapter D of Volume 1 of Part I of this OPM). Activities executed at this stage may include the preparation of the TORs, short lists, and SDs including RFPs. The establishment of a FA or an IDC normally follows a two-stage competitive process in which the first stage may be undertaken well in advance of the need, and therefore at the specific time the need arises, processing stage two can take place in less than one (1) week – just the time to fill the FA established at the first stage. This means that under ERA projects, the first stage may be accelerated by limiting competition and inviting firms known to have the necessary know-how among those operating in the country (whether international or national) and/or combine the two stages under one stage for multiple potential short-term assignments.

Works, Goods and Non-consulting services

- 12.28. These categories of procurement also incorporate greater flexibility in order to ensure expedience awhile preserving the overarching principles of the Procurement Policy. If Open Competitive Bidding (OCB) is always considered essential to ensure FfP procurement, other PMS may be more appropriate for ERA projects.

Direct Procurement

- 12.29. Direct purchase or contracting for the procurement of works or goods may be used to extend an existing contract or award new contracts in response to crises, disasters and emergency situations.

- 12.30. Contractors or suppliers operating under existing projects may be considered for new contracts, with unit rates negotiated on the basis of those in effect under existing contracts, and incorporating adjustments as required for inflation and physical factors.
- 12.31. Similarly, eligible contractors and suppliers, competitively selected under projects financed by other donors, may be considered for new contracts. For such contracting to be justified, unit prices must be assessed reasonable and no advantage could be obtained by further competition.
- 12.32. DP may be from the private sector, UN Organizations, or NGOs that are already mobilized and working in the emergency areas.

Limited Competitive Bidding (LCB)

- 12.33. Normally, LCB comprising Shopping and Request for Quotations (RFQ) may be deemed as best FfP provided that they are in accordance with Provision 8.5 of the Procurement Policy. They are particularly appropriate for procuring readily available off-the-shelf goods or simple civil works under the indicative market values in the market analysis of the Project.
- 12.34. The PP determines the cost estimates of each contract and the aggregate total amount for such PMs. The EA should solicit at least three (3) price quotations for the purchase of goods, materials, and small works, or services and prepare a simplified evaluation report to compare the costs and recommend contract award. There may be abbreviated bidding periods.

Framework Agreements (FAs)

- 12.35. The use of FAs for the procurement of works, goods and eventually non-consulting services under crises and emergency situations and ERA projects could often facilitate and accelerate project execution. They may be used for a large number of similar simple contracts of any size, as well as for the procurement of commodities (See below).
- 12.36. Contracts would have been awarded on a competitive basis following a two-stage bidding process. Under certain circumstances such as the supply of similar goods over a predefined period of time, a FA may be for the duration of up to two years, with a price escalation clause and/or the possibility of extension upon mutual agreement between the EA and the supplier(s).
- 12.37. For works, when no standard SD and form of contract exist, the Bank's Standard Prequalification Document may be adapted for use as a simplified format for the first stage. For example, during the first stage of bidding, contractors and suppliers are asked to provide quotations for simple unit prices, as for commodities.

Force Account

- 12.38. Force account normally describes construction and installation of works and eventually related services carried out by a Government department/ organization/entity of the Borrower's country using its own personnel and equipment. The method and specific conditions for use are fully described in **OPM-Part A-Volume 1-Sub-Chapters D2 & D3: Procurement Methods and Procedures for Works, Goods and Non-Consulting Services.**

- I2.39. The method particularly fits the ERA context when the project requires community participation to increase project sustainability as being the only practical method of construction to achieve VfM. It should always be justified --and specified in the PAR, the PP and the FA along with any associated risks and mitigation measures-- in particular in regard to managerial capacity (including accounting, reporting and controls) as well as technical know-how.
- I2.40. Its use may be particularly justified in the ERA context when private firms may not be interested and:
- Quantities of construction and installation works cannot be defined in advance;
 - Construction and installation works are small and scattered or in remote locations for which qualified construction firms are unlikely to bid at reasonable prices; or
 - Urgent repairs to prevent further damages, requiring prompt attention, are needed.
- I2.41. The community or its representative(s) must be able to monitor the implementation of the defined and contractual scope of works and respect of technical specifications. Consultants or a qualified intermediary (e.g. qualified NGOs or skilled artisans employed by the EA on a long-term basis), independent from the management of the Force Account, may be hired in case the concerned community(ies) do not have such skills and experience, in particular to control quality and quantities and to monitor costs.
- I2.42. Payments may be made using fixed rates for completed production targets. They should at any rate only be made upon certification by the independent supervisor that the construction is completed and in conformity with the pre-determined scope of works and specifications. A technical and financial audit of the activities procured under this arrangement must be carried out.

Use of Positive Lists

- I2.43. This quick-disbursing mechanism whereby a list of specific imported or locally produced items is typically used under ERA projects. It is designed to finance a positive list of goods required for the emergency purposes that are already imported or to be imported or goods that are locally produced. This mechanism (rather than a PM per se) is fully described in paragraphs "Negative or Positive Lists - Restricted Lists" of Section A2.4 - Special Cases and Other Considerations of Sub-chapter A2 - Eligibility of Chapter A - Core Provisions of the Policy of Volume 1 of Part I of this OPM.
- I2.44. The conditions for the release of the financial tranches should be clearly stated, e.g. a quantitative and/or qualitative indicators to monitor progress during implementation and evaluate outcomes upon completion. The project document should also specify the required documentation and certifications, such as customs and tax certificates or invoices.
- I2.45. From a procurement point of view, it is expected that the BPS will be relied upon in such circumstances. Inter alia, the national emergency procedures when they exist, or established commercial practices of the private sector in the Borrower country are normally followed to procure the goods from the agreed positive list. They, as well as any associated risks and mitigation measures, should be specified in the PAR, the PP and the FA. A technical

and financial audit of the activities procured under this arrangement must be carried out.

Procurement of Commodities

- 12.46. Emergency assistance may include procurement of commodities, such as grain, animal feed, fertilizer, and fuel. Priority commodities must be determined in response to the basic needs resulting from the emergency situation, in particular the needs of the poorest people. The characteristics of commodities and how they can be purchased in an emergency situation are described in **OPM-Part A-Volume 2-Chapter H**. In countries where customs duties applied to emergency commodities are abnormally high, the Borrower may be requested to waive or to reduce customs duties to bring them to a reasonable level (10-12 percent)⁶.

Simplified Procedures

Advertising

- 12.47. For consulting services under ERA projects and other crises and emergency operations which are below a pre-set value (i.e. determined as applicable market thresholds for the selection of services from national consultants only in the Project's market analysis), advertising to request Expressions of Interest (EOIs) may be simplified and/or waived as long as a shortlist of at least three (3) qualified local firms is established. Advertising may also be forgone or limited to a local or provincial level provided there is a sufficient number of qualified consultants that are available at such level.
- 12.48. When advertising is defined as requiring an international selection, which may impede a rapid selection, it may be restricted to firms that have already been involved in the same area of expertise in the country before provided that there is a level-playing field.

Accelerated solicitation and abbreviated bidding periods

- 12.49. Under OCB and LCB procedures, accelerated solicitation periods may be envisaged. Periods such as twenty-one (21) calendar days for international OCB; fourteen (14) calendar days for national OCB; seven (7) calendar days for LCB; and three (3) working calendar days for Shopping and RFQs, may be considered.

Waiving Bid and Performance Security Requirements

- 12.50. For small-value contracts for goods or works expected to attract small and medium-size suppliers or contractors (value determined as indicated above in regard to advertising in the market analysis), time for bid preparation can be shortened through waiving bid security requirements. Such measure constitutes, however, a double-edge sword that should be carefully considered when carrying out the EA capacity and risk assessment.

⁶ For example, if customs duties for the imports of nutritional commodities in a particular country were set at ninety percent (90%), quick-disbursing funds to finance nutritional commodities should be conditional on the temporary waiver or reduction of customs duties that have negative effects on the poorest people.

- 12.51. For higher value contracts falling under OCB and LCB procedures, requiring bidders to only furnish a bid-securing declaration⁷ may have a similar bidding time reduction effect.
- 12.52. In addition, and only for small-value works contracts as defined above, it may be decided not to require a performance security. In such a case, a portion of each payment should be held as retention money until final acceptance of the works. For goods contracts and large-value works contracts, manufacturers' warranties and contractors' performance securities should always be required.

Payments

- 12.53. When it is difficult for contractors and suppliers to obtain lines of credit from commercial banks, increasing the amount of advance payments under works and supply contracts may be considered, indicatively up to forty percent (40%) of the contract value, provided that the contractor/supplier furnishes a bank guarantee for the same amount. The solvability and financial references of the contractor, and its ability to obtain a bank guarantee, should always be considered, before making such a decision.
- 12.54. Agencies may also consider limiting the value and length of a contract to address only the most immediate emergency and should pursue firm-fixed price contracts whenever practicable.

Simplified PP

- 12.55. The preparation of an initial PP covering the first 12 months of project implementation is always mandatory for crises and ERA projects and the PP should be included as is normally the case for all Bank-financed projects in the Project Document/Negotiations Package. It may, however, take the form of a simplified PP.
- 12.56. The standard format of a simplified PP is described in the Special Provisions paragraphs of **OPM-Part A-Volume 1-Sub-Section C3**. The essential elements expected in such a simplified PP are depicted in the model format given in **OPM-Part A-Volume 3-Annex C2**.
- 12.57. A simplified PP normally includes at least: (i) the type of procurement (consultants, goods, works, and services) and related PMs; (ii) a list of items expected to be procured and an estimated timeline; (iii) a cost estimate for each contract or group of similar contracts (providing the number of such); (iv) a simplified procurement processing schedule; and (v) the responsibilities for implementation, including the use of procurement agents when applicable (e.g. ERA circumstances).

Streamlined Monitoring and Control Mechanisms

- 12.58. The Procurement Policy's risk-based approach also allows adopting specific and FfP monitoring and controlling mechanisms and procedures, particularly in ERA projects and under other emergency circumstances. Their nature depends on the EA's overall and specific capacity, the various categories and

⁷ A bid-securing declaration is a form of declaration in which the Bidder accepts that it will automatically be suspended from being eligible for bidding in any contract with the Borrower, for a stated period of time, if it is in breach of any of the stated obligations under the bid.

levels of risks, and of course the quality and performance of the procurement system(s) used for implementing the project.

Procurement Audits

- 12.59. Reviews and audits are necessary to verify implementation of project activities, in particular procurement in scattered remote areas.
- 12.60. They should at the minimum cover; (i) compliance with the procurement procedural and institutional arrangements and other requirements set out in the PP and the FA; (ii) adherence to any agreed and acceptable commercial practices or emergency national procedures; (iii) appropriateness of prices compared to market prices; and (iv) appropriate use of funds for intended eligible purposes. It is particularly important for ERAs that verification ensures that: (i) agreed procurement and contracting processes have taken place; and (ii) technical compliance, physical completion, and price competitiveness of each contract are adequate and consistent with contractual obligations.
- 12.61. Post Procurement Reviews (PPRs) and Independent Procurement Reviews (IPRs) may be carried out for procurement categories or groups of similar types of transactions and procurement processes that are subject to Bank PMPs or Third Party rules and procedures when such mandate such reviews.
- 12.62. For projects relying on BPSs or part thereof, procurement audits are systematically conducted by consultants or firms selected and financed under the Project. Procurement Audits (ProcAs) are treated exactly as Financial Audits (FinAs), i.e. as an obligation for the Borrower. TORs for ProcAs are provided in the Toolkit. The Bank of course retains the right to conduct special reviews.
- 12.63. Agencies may also consider the creation of a risk mitigation board to control the increased risks during an emergency. Such boards allow for increased communication, clear policy direction, and effective resource utilization. The board is most effective when integrated in the agency's management structure and when composed of key agency stakeholders, including contracting officers, procurement policy analysts, small business representatives, representatives from the Office of the Chief Financial Officer, representatives from the Inspector General's office, and technical experts, such as program managers.
- 12.64. Agencies may develop stewardship plans to review the results from an appropriate sampling of their emergency acquisitions. Reviews should give increased attention to transactions that are conducted using emergency flexibility, including any use of non-competitive methods for large value contracts, sole-source contracts in a high amount, and any other procurement process considered risky, including when involving complex technical requirements or marketplace solutions.

Pre-shipment Inspection and Local Independent Verification at Delivery

- 12.65. This is always recommended to ensure the qualitative and quantitative compliance of contract execution. This is particularly important for commodities imported under a quick-disbursing component, since it is designed to identify any under- or over-invoicing, or qualitative and quantitative deficiencies. When a PA is hired to support the Borrower, the related TORs may include management of inspection and acceptance of delivery.

13. FCS

General Considerations

- 13.1. The Bank's Ten-Year Strategy entitled "At the Centre of Africa's Transformation Strategy for 2013-2022"⁸ (TYS), the "Strategy for Addressing Fragility and Building Resilience in Africa, 2014-2019"⁹ (Strategy), the subsequent supporting "Operational Guidelines for the Implementation of the Strategy for Addressing Fragility and Building Resilience in Africa and for the Transition Support Facility"¹⁰ (Guidelines) are the key relevant policy documents in regard to projects in FCSs. The TYS focuses on three areas of special emphasis, the first of which is Fragile and Conflict-Affected States which house a fifth of the continent's population and a significant share of those most poverty-stricken.
- 13.2. While there are various definitions of fragility in use in the international community, the Bank, as outlined in its FCS Strategy, emphasizes that fragility is a transient condition and not a permanent characteristic. For this reason, the Strategy refers to 'fragile situations' rather than 'fragile states'.
- 13.3. The Bank's FCS Strategy of May 2014 defines fragility as "a condition of elevated risk of institutional breakdown, societal collapse, or violent conflict". It is an imbalance between the strains and challenges faced by a society (internal or external or a combination thereof) and the society's ability to manage them. The drivers of fragility are diverse and complex, ranging from economic, social, political, and/or environmental, and most often involve the issue of lack of inclusion and weak institutions.
- 13.4. The characteristics of fragility especially relevant to the Bank's mission and projects it finances, are outlined as follows:
- Highly diverse situations, in view of a wide variety of drivers of fragility and capabilities of states to deal with them;
 - Highly risky situations, necessitating a conscious approach to managing and mitigating risks not faced under more stable conditions;
 - Situations of regional and/or sub-national nature, as drivers of fragility may go beyond borders or conversely be concentrated in only parts of a country; and
 - Complex situations, requiring time to address the root causes, especially as building resilience generally requires the establishment of effective institutions, a long-term process.
- 13.5. The Bank's FCS Strategy is founded on the following: (i) deep analysis of the factors driving fragility in specific contexts; (ii) an approach to operational engagement that is differentiated and tailored to specific fragile situations and targeted to high effectiveness and impact; (iii) support that addresses the drivers of fragility; (iv) a regional approach to regional problems; (v) broader and deeper partnerships to leverage the expertise (and resources) of other

⁸ African Development Bank Group. At the Centre of Africa's Transformation. Strategy 2013-2022. African Development Bank Group. ADB/BD/WP/2012/110 Rev. 2 and ADF/BD/WP/2012/76/Rev. 2.

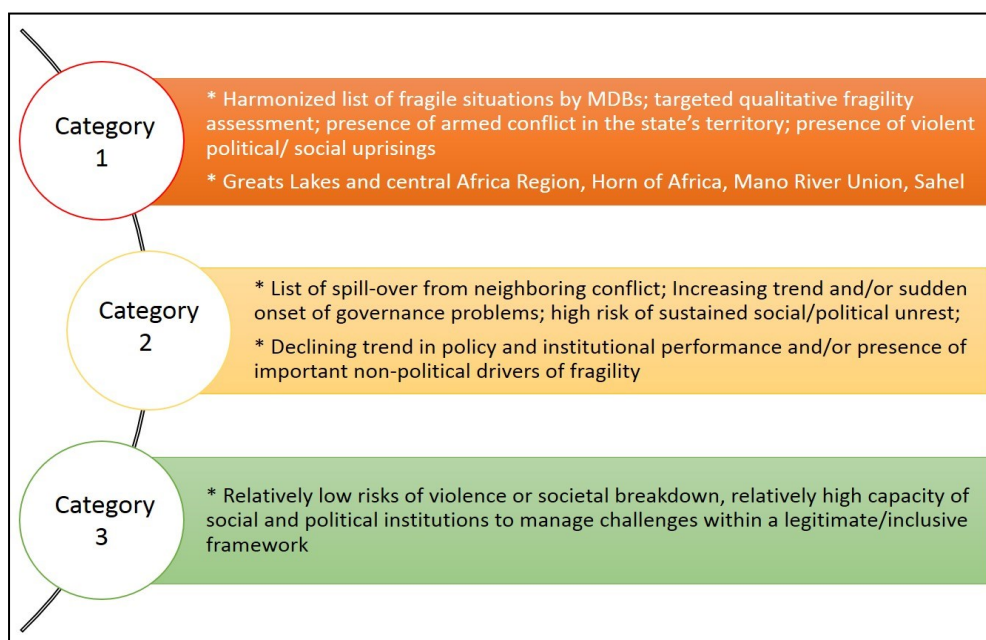
⁹ Addressing Fragility and Building Resilience in Africa: The African Development Bank Group Strategy 2014-2019. ADB/BD/WP/2014/46 Rev. 1 and ADF/BD/WP/2014/30/Rev. 1.

¹⁰ Operational Guidelines for the Implementation of the Strategy for Addressing Fragility and Building Resilience in Africa and for the Transition Support Facility.

institutions; (vi) operational and procedural flexibility and the ability to adapt to rapidly changing circumstances; and (vii) nuanced risk management that can weigh the trade-offs among programmatic, contextual, institutional risks and fiduciary risks, with the effectiveness objective as the primary driver.

13.6. Beyond specific projects and programmes, the objective of the FCS Strategy is also to maximize the Bank Group's contribution to building resilient, stable, and capable states. This draws on other Bank strategies, such as the Governance Action Plan, the Private Sector Development Strategy, the Gender Strategy and the Human Capital Development Strategy, while prioritizing three areas of focus that are particularly important for addressing fragility and building resilience, namely; (i) Strengthening state capacity and establishing effective institutions; (ii) Promoting resilient societies through inclusive and equitable access to employment, basic services and shared benefits from natural resource endowments; and (iii) Enhancing the Bank's leadership role in policy dialogue, partnerships and advocacy around issues of fragility.

13.7. The understanding of the specifics of the issues of fragility in each country or region of the Africa continent allows identifying the key entry points for the Bank to effectively engage. The Bank has established a model of engagement comprising three different levels or categories of fragility that is contextual. It classifies accordingly categories of Fragile Situations:



13.8. It is on this basis that assessments are undertaken to deepen the Bank's understanding of each specific FCS. Country and regional fragility assessments have become a mandatory input for all programming documents. They provide context-specific entry points for the Bank's engagement that respond to the specificity of each fragile situation.

13.9. Depending on the category, the Strategy defines three types of assessments, as follows:

- **The Fragility or Transition Risk Note:** A baseline assessment is conducted for all Category (1,2 and 3) countries or regions, in order to

determine their risk profile and identify indicators for emerging drivers of fragility that need to be monitored;

- **Targeted Fragility or Transition Assessment:** This is an issues-based fragility or transition assessment and analysis for Category 2 and 3 countries or regions tailored to assess specific drivers of fragility, such as in the case of a sub-national conflict; and
- **Full-fledged Fragility Assessment:** For Category 1 countries or regions, this additional assessment focuses both on the general situation and analyzes particular issues of relevance.

13.10. The sub-chapter describes best practice and is organized in four sub-sequent Sections as follows:

- **Specific Provisions and Processes:** the underlying principles of FCS focus on how certain specific provisions of the Bank Procurement Policy and Methodology, in particular in regard to specific processes may be followed to conduct the necessary assessments;
- **Organizational and Institutional Arrangements:** the importance of flexible yet strong organizational and institutional arrangements constitutes another critical aspect of FCSs. The approach covers various options that are similar to those relied upon in ERA projects or emergency situations;
- **FfP PMPs:** as for ERA projects and emergency situations, specific PMPs may be relied upon to a greater extent, depending on capacity and risks; and
- **Simplified Procedures and Streamlined Monitoring and Control Mechanisms:** facilitating procurement processes under FCSs may necessitate relying upon particular bidding procedures. Several options largely similar to those indicated for ERA projects and emergency situations may be used.

Specific Provisions and Processes

13.11. The Bank's FCS Strategy highlights the inherent tension in FCSs between procurement VfM principles and fiduciary requirements, namely that procurement processes are particularly vulnerable to risk in contexts of fragility, specifically fiduciary risks, but also that the risk of project failure is much higher when procurement processes are slow, cumbersome or faulty.

13.12. While, as indicated in Sub-chapter I1 above, there are no specific direct references to FCSs in the Procurement Policy or Methodology, various provisions apply specifically to such situations and the principles mandate to address specific procurement challenges under Bank projects, including those in FCSs. Core provisions of the Procurement Policy, however, normally apply.

13.13. In particular, the risk-based FfP approach of the Procurement Policy specifically addresses the requirements and challenges of FCSs by promoting greater flexibility, simplicity and customized solutions, and calling for enhanced and faster procurement execution based upon: (i) taking more risks while finding the right balance between VfM principles and compliance with rules and procedures; (ii) proactively supporting weak capacity institutions in both preparation and implementation

- 13.14. The FfP approach determines the procurement arrangements required for a particular FCS, based on risk management considerations rather than risk avoidance. The Procurement Policy clearly focuses on identifying upfront procurement risks that are not limited to reputational risks and process risks (that is mostly a lack of-compliance with strictly-applied rules and procedures) but rather encompass outcome failure risks (that is, the risk of certain procurement objectives, or wider development objectives, not being achieved). The lessons learned from past experience indicate that the difficult but critical challenge in FCS situations is to find the right balance between the need for effectiveness and the often high fiduciary risks. The approach to procurement in FCSs is based upon greater flexibility in mitigating procurement risks, representing a shift from a one-size-fits-all to a FfP approach with due attention to FCSs specifics.

Capacity and Risk Assessments

- 13.15. Assessments should be carried out in a timely manner and within a time period not exceeding five (5) days in order to determine the institutional and management arrangements that would support proper execution of the project in the FCS context. To save time, streamlined procedures may be used. The simplified process for carrying out capacity and risk assessments of the EA prepared for use in ERA Projects may also be used in FCSs.
- 13.16. The project-level assessments should focus on the specific EA and Project's circumstances while accounting for the country's administrative system and context. When there are several potential FCS projects in the same country, a generic procurement capacity assessment could be prepared up-front, then adapting it to the specific EAs and projects under consideration.
- 13.17. In executing the country, sector, and project-level assessments, the specific characteristics of fragility with respect to procurement are identified and weaknesses are mitigated by incorporating into the design of the project pragmatic procurement implementation arrangements as well as FfP procurement capacity building action plans. In addition, when it is realistic and possible in the context of the Project under consideration, and without overburdening it, a country-based Procurement Capacity Development Action Plan (PDAP) can be developed and some of its components included for financing under the Project.
- 13.18. Under high risk conditions, a more proactive role in supporting preparation and oversight of procurement by the Borrower and the EA should be supported through capacity development by means of increased technical assistance and/or the use of procurement agents and, when appropriate, the use of specialized agencies (including UN Organizations as described in Chapter G of Volume 2 of Part I of this OPM) to support the handling of procurement.
- 13.19. The success in terms of execution of the Project and management of procurement risks is, therefore, largely dependent on the extent to which the capacity development measures incorporated under the Project and the required level of procurement support, assistance and guidance provided by the Bank, are effectively executed.

Organizational and Institutional Arrangements

- 13.20. The varying characteristics of fragility as identified by the Strategy and the

subsequent different levels or categorization of countries and situations lead to a better understanding of the varying levels of demand in the handling of procurement under Bank financed operations. The procurement environment varies significantly from one FCS to the other depending on the nature of the fragility and what stage of recovery the country has reached in its transition towards stability. The most appropriate procurement arrangements and options to address these challenges vary according to their extent, the prevailing country issues, and the specific needs of the project under consideration.

I3.21. Examples of the broad spectrum of procurement issues that may be encountered in FCSs are listed below:

- Inadequate public sector governance;
- Political intervention in procurement decisions;
- Limited or no public procurement administrative structure;
- Inadequate legislative and regulatory frameworks;
- Inadequate complaints and remedies mechanisms;
- Inadequate capacity and competency in handling procurement;
- Lack of adequate access to the supply of goods, providers of works and consulting services;
- Poor quality of available goods, works and consulting services;
- Limited quality of competition;
- Poor performance of suppliers, contractors and consultants;
- Restriction of movement due to security considerations;
- Poor financial management and banking systems;
- Currency instability; and
- Widespread fraud and corruption

Procurement Arrangements

I3.22. Involving qualified specialized entities such as UN Organizations (See Chapter G of Volume 1 of Part I of this OPM), private sector entities specialized in project management and procurement (PAs/PMAs), non-governmental organizations (NGOs), intergovernmental and regional institutions, and/or other multilateral and bilateral donors through MRAs (See **OPM-Part A-Volume 1-Sub-Section A9.2: Co-financing – Parallel and Joint financing**), in the management of project procurement in FCSs provides, as for ERA Projects (See Section I2.3 above), an alternative solution to traditional EAs that are often in such situations marred by a chronic lack of capacity and have a poor track record of executing Bank-financed procurement.

I3.23. The step by step process to be followed in the execution of procurement activities in the Bank's project cycle including those in FCSs are provided in **OPM-Part A-Volume 1-Chapters B & C**. It may be tailored to fit each FCS specific circumstances and constraints. Given that they are often difficult in terms of data availability, collection and analysis, while there is an urgent need for timely action and results, adequate preparation is of the essence to

avoid extended and poor execution. In particular, careful attention should be given to: (i) adequately updating existing information and analysis; (ii) the market analysis of the sectors impacted by the Project; (iii) detailed consideration of procurement packaging; and (iv) advance contracting and retroactive financing which may present particular advantages for FCSs.

13.24. Good packaging practice for FCSs includes accounting for:

- Economy of scale considerations in civil works --which might normally dictate a bidding and contracting strategy based on relatively large single works contracts-- may not be appropriate when there is inadequate local contractors capacity and a lack of international interest and/or when the EA capacity to administer large contracts is weak. Identifying through the market analysis the potential and capacity of the local market to ensure an adequate alignment of works contract packages as well as the use of relevant associated simplified SDs is critical; and
- The local and international capacity to deliver goods with due regard to the local logistical infrastructure challenges and the available level of service support once delivered.

FfP PMPs

Consulting services

13.25. The selection of consulting services in FCSs uses flexibility to take into account the specifics and constraints. The process is normally conducted following competition among qualified short-listed firms and the evaluation is based on the quality of the proposals and, where appropriate, on the cost of the services to be provided (Chapter E of Volume 1 of Part I of this OPM). The shortlists are normally prepared based on Requests for Expressions of Interest (REOIs) and equal opportunity for all eligible consultants to participate. The applicable FCS-specific aspects and simplifications are highlighted herein.

13.26. Quality and Cost Based Selection (QCBS), Quality Based Selection (QBS), Fixed Budget Selection (FBS) and Least Cost Selection (LCS) all involve standard provisions that may be amended, for example granting shorter periods for the preparation of proposals with justification detailed in the PAR and PP and summarized in the FA.

13.27. Consultants' Qualification Based Selection (CQS) is often appropriate in FCSs, but only for relatively small assignments as defined in the market analysis when issuing an RFP, and preparing and evaluating competitive proposals, are not justified. In such cases, TORs are prepared and the EA issues REOIs that request information on the consultant's experience and qualifications to a minimum of three firms with relevant experience. As only one firm is requested to submit a combined technical and financial proposal, both technical and financial aspects of the proposal may be negotiated if such proposal is responsive and acceptable.

13.28. In the event that no firm can be selected in such a manner, non-competitive PMs such as Sole Sourcing/Direct Contracting may be considered as appropriate and acceptable for exceptional situations such as FCSs. In addition to the specific circumstances described in Chapter E, the most FfP selection method, especially for project start-up activities, may be SSS with consulting firms that are already working in the country or that have a proven

track record in similar assignments. Also, the results from a competitive process under another donor-financed project may be considered. For such recruitment to be justified, prices must be assessed as reasonable. Consultants selected following SSS may be given the right to participate in future assignments under the Project provided that there is no conflict of interest (COI) with the tasks performed under their SSS initial contract and a level playing field through sharing of information is ensured.

- 13.29. Framework Agreements or Indefinite Delivery Contract (IDCs) may also be used for the selection of consulting services in the same conditions as under ERA projects.

Procurement of Civil Works, Goods and Non-consulting services

- 13.30. The FfP approach provides the entry point for fine-tuning and tailoring PMPs for the specific cases, constraints and circumstances under consideration; this applies in particular for the special case of FCS projects. Given the specific difficulties of FCS and the potential lack of interest of the bidding community at large, OCB may be considered, within the international or national context, with abbreviated bidding periods.

- 13.31. LCB methods, including Shopping or RFQs, may normally be used in accordance with Section 8.5 of the Procurement Policy. In FCS projects, these are appropriate for procuring readily available off-the-shelf goods or simple civil works. The PP should provide a cost estimate of each contract, and the aggregate total amount of LCB contracts. The EA should solicit and obtain at least three (3) price quotations for the purchase of goods, materials, and small works, or services and also prepare a simplified evaluation report to compare the costs and recommend contract award.

- 13.32. DP, or Direct Purchase or Contracting, may be used in several ways in FCSs with a sufficiently detailed justification, including the rationale for direct procurement instead of a competitive procurement process and the basis for recommending a particular supplier or contractor in all cases. DP may be the most appropriate FfP PM for FCSs under additional circumstances than the traditional ones set out in Chapter D, for example to:

- Extend existing contracts or award new contracts to well performing suppliers and contractors;
- Select suppliers and contractors, operating under other existing Loans or Grants, for new contracts, with unit rates negotiated around those in effect for the existing contracts, and incorporating adjustments as required, for inflation and physical factors; and
- Consider eligible contractors and suppliers, competitively selected under projects financed by other donors.

- 13.33. DP may also be from UN Organizations, suppliers and contractors, or NGOs that are already mobilized and working in a specific FCS area or state. It may also rely on Force Account units.

Framework Agreements

- 13.34. Medium to long-term Framework Agreements for the procurement of works, goods and non-consulting services may often facilitate and accelerate project execution. They could be used for a large number of similar simple repetitive contracts of any size, as well as for the procurement of commodities.

- 13.35. In fragile situations, they may specifically be used for the procurement of:
- Goods that can be procured off-the-shelf or goods of common use with standard specifications;
 - Non-consulting services that are of a simple and non-complex nature;
 - Small value contracts for works
- 13.36. The following are incorporated in the PAR, the PP and the FA:
- The justification for use of the Framework Agreement, including any specific risks and related mitigation measures;
 - The particular approach and model adopted;
 - PMPs applicable to the Framework Agreement, including evaluation and contract award procedures, following the simplified approach set out;
 - The terms and conditions of the contracts; and
 - The maximum aggregate amounts for the use of the Framework Agreement;

Use of Second-hand Goods

- 13.37. The Bank's Procurement Policy (provision 8.14 and Chapter D of Volume 1 of Part I of this OPM) envisages how to finance the procurement of such goods under limited circumstances that are considered --on a case-by-case basis-- to provide the most VfM means of satisfying the Project's objectives. This may be the case in FCSs.
- 13.38. SDs should set out:
- Clear specifications that define minimum acceptable standards;
 - Performance requirements and residual economic life of the goods;
 - Special criteria and methodology for evaluating and comparing bids;
 - Inspection provisions; and
 - Requirements for certification and assessment of the residual life of the goods by recognized licensed entities.

Fraud and Corruption

- 13.39. There is an inherent high risk that procurement in a fragile or small state be affected by the fraudulent or corrupt activities of some of the stakeholders in the procurement process. Developing a sound action plan is a key consideration to helping mitigate such risk.

Simplified Procedures and Streamlined Monitoring and Control Mechanisms

- 13.40. The same procedures and mechanisms described under above can be considered, e.g. in regard to shortened periods for the preparation of bids and proposals, advertising, waiving bid and performance security requirements for civil works, increasing advance payments, simplified PP, or procurement reviews and audits .
- 13.41. In addition, in situations under which the EA faces difficulties in conducting

adequate and frequent supervision during project implementation, such services could be outsourced to consultants and/or NGOs and CSOs. Optimizing the use of civil society when capacity exists to provide contract monitoring services, could also be considered as an option. Such involvement of NGOs and CSOs has the potential for put more focus and emphasis on project results and outcomes rather than on compliance with processes only.

- I3.42. Contracting out core Government services to external service providers may be an option when the government is recovering from conflict and as a result has little or no capacity to deliver essential public services or functions (public financial management, legislative drafting, treasury reform, management of health services, private sector development, management of a state owned enterprise or facility etc.). The contracting out of these services¹¹ is a possible short-term solution, however there are potentially political and technical risks associated with this approach that need to be taken into consideration at the project appraisal stage. The contracting of these services should be subject to appropriate PMPs and oversight in order to ensure that quality and effective services are contracted and actually provided.
- I3.43. Each country presents different security issues that have an impact on the procurement process and on the performance of each contract. Security considerations are often reflected indirectly in prices quoted for works, goods, and non-consulting and consulting services. In order to ensure greater transparency and more realistic pricing, the cost of security should be identified as a separate line item in contracts to facilitate and manage the impact on cost of performance if the security situation in the country changes during contract implementation. In severe FCS security situations, the security arrangements and cost could be detailed and provided for by the EA in each SD and neutralized for the purpose of bid evaluation and comparison, similarly to provisional quantities and sums.
- I3.44. Several other contract provisions may need fine tuning and customization to fit the specific FCS context and constraints, such as Insurance requirements, dispute resolution mechanisms or the applicable contract law --which, in very weak environments, may be instead of the regular solution (law of the land) be a sound and well tested one, possibly from another country.

Advisory and Proactive Support and Capacity Development Assistance

- I3.45. The importance of advisory and proactive support, one of the specific guiding principles of the TYS, cannot be over emphasized. Various levels of assistance can be at country, sector or project level depending on country, sector or EA capacity. In FCSs for example, when local institutional capacity is limited, a proactive approach relies on providing support to management and oversight of the procurement process. This may include technical assistance or the use of various agents or organizations as indicated until local capacity is sufficiently adequate to handle procurement.
- I3.46. Direct assistance in preparing shortlists may be provided in response to its written request when the EA is unable to prepare a short list or long list of firms that are expected to be capable of undertaking the assignment. The provision of such lists does not represent an endorsement of the consultants.

¹¹ The OECD Partnership for Democratic Governance handbook on “Contracting Out Government Functions and Services in Post-Conflict and Fragile Situations” provides useful guidance with case studies. The reference is: ISBN978-92-64-09198-6

The EA retains the responsibility to verify the eligibility and qualifications of the listed firms, and may delete any name or add other names as it wishes in the final short list.

- 13.47. In addition to monitoring progress against action plan targets, at a practical level, it is critical for the Borrower and the Bank to agree on providing adequate funding and resources to ensure that the EA can undertake successful remedial action to close both project – level and broader institutional, organizational and staff capacity gaps to ensure sustainable capacity improvements over time. At the project level, such funding is typically provided through a combination of loan funds and counter-part support. When justified, there may be additional need for companion or supplementary loan or grant-funded technical assistance and these aspects should be reviewed and finalized during project preparation. Capacity building requires coordinated efforts by the Borrower to ensure requisite ownership and counterpart resource commitment.

Monitoring and auditing

- 13.48. Increased participation by the local industry and the quality and performance of the procurement system within a country provide the basis for efficient service delivery to citizens. While the government remains the traditional counterpart for implementing a PDAP, other stakeholders such as the private sector and civil society benefit from a better performing procurement system and therefore should be involved in supporting implementation. The private sector, apart from its active participation, is an important resource for identification of inefficiencies in the procurement system. The local industry often operating through a Chamber of Commerce may provide important feedback and recommendations for change. Civil society represents the interests of citizens in obtaining VfM and quality service delivery. In some countries, civil society organizations complement the work of government oversight organizations and the private sector.

Chapter J

Procurement of Information Technology

J1. Introduction

J1.1. The Information Technology (IT) financed by the African Development Bank projects vary greatly in nature and in scope. This is because of the nature of modern IT which plays a crucial role in every organization having become a vital and integral part of every organization's business plan, from multinational corporations that maintain mainframe systems and data bases through government agencies to small businesses that own a single computer. IT covers a broad range of functional applications, technologies and related technical services which vary widely in scale and complexity incorporating also software development and other service-only type assignments with little to no tangible technologies. Procurement of Information Systems (IT) is considered among the most challenging and difficult to undertake, because of the following characteristics:

- (a) their technical content is extremely diverse and difficult to define;
- (b) the various components of IT are highly interdependent on the business processes of the Executing Agency (EA);
- (c) the available solutions in the market to IT problems experienced by Borrowers are subject to rapid technological and methodological change; and
- (d) IT contracts generally entail procurement of a substantial mixture of professional, and intellectual services as well as tangible and not so tangible technologies.

J1.2. This means that Borrowers engaging in a large IT investment need to plan and execute the procurement process, and commit to supervising the installation, integration and operation of the IT system over the long term with a focused view to achieving VfM through risk-based FfP.

J2. Procurement Planning and Packaging

J2.1. Borrowers have traditionally followed two approaches in procuring their IT needs. The most typical is procurement based on the short term needs of a particular department of the Borrower government. This is a fragmented form of procurement, where the department or agency procures standalone personal computers (PCs) loaded with associated packaged software applications such as word processing and data base management, as well as associated peripherals such as printers. In many instances, however, this approach may not consider its impact on other parts of the organization. While the procurement may satisfy the needs of these departments, the economies of scale are lost and the IT goods or services procured provide very little scope for expansion in the future.

J2.2. Borrowers also procure IT on a corporate - wide basis, as part of an integrated IT strategy of two or more departments in the Borrower government. This

takes into account the end - user's overall business development plan for the next three to five years and explicitly addresses the life cycle cost consequences of any IT investment at each stage. Under this approach, the needs of multiple departments are examined by the Borrower and a solution recommended. The solution may involve the establishment of a Local Area Network connecting PCs in all of these departments, allowing them to share common software through a network server, supported by network printers.

J2.3. The Bank encourages Borrowers to have an integrated IT approach, because unless the Borrower goes through a disciplined enterprise-wide needs analysis, the overall capital and recurring costs for the Borrower arising from IT procurement tend to be greatly increased. Sound procurement planning involving a holistic approach including developing accurate cost estimates, tracking and updating these throughout the project cycle, is considered by the Bank to be critical to project success. Thus the Bank expects its Borrowers undertaking IT procurement to develop a plan that is consistent with a strategic IT plan for the organizations involved in the procurement. In this regard, the needs of two or more departments of the Borrower's government are examined in the enterprise-wide IT strategy and procurement is based on the formation of a network of PCs. An added advantage is that since the license for the use of software is for multiple users, the cost per user is significantly less. Additional users could also be added to the Network at minimal extra cost when each department expands their automation process. Further, providing maintenance and supplying spare parts also becomes more cost effective for the supplier and a part of the savings may be passed to the Borrower. If the Borrower lacks the expertise to develop such a plan/strategy, expert consultants should be engaged initially to guide this process, the longer term objective being to help the Borrower develop its own capacity to carry out the plan.

J2.4. If the Borrower or the Executing Agency (EA) wishes to, Bidding Documents (BDs) may permit bidders to bid on individual items in the schedule of requirements, by specifying this possibility as well as the appropriate evaluation methods in the Instructions to Bidders (ITB). However, for information systems which have strong inter-dependency among the elements, the Bank does not recommend this approach. In circumstances in which dividing the procurement into lots and letting bidders bid on one or more lots may make sense, the Borrower should plan the procurement in such a way that the lots form relatively independent systems or collections of independent systems. This may be used by Borrower for the procurement of independent systems in different departments, offices or in different institutions such as different hospitals. In such cases, a mix of suppliers may not compromise the effectiveness of the overall information systems investments.

J2.5. Where the volume of installations is too large for any single supplier to undertake, or for anti-trust reasons the EA would not like a single supplier to win all of the installations, it is acceptable for the Borrower to divide installations into lots that could help speed implementation and diversify

suppliers. In particular, if a large volume of installations is the agency's concern, then by organizing them into lots (e.g., on geographical or functional grounds), the EA can achieve an ambitious implementation schedule with a number of suppliers working in parallel.

J2.6. If anti-trust is the Borrower's or the EA's concern, then it can use lots and a very aggressive implementation schedule to help ensure that more than one supplier emerges from a competitive procurement. In any case, the organization of lots, the rules for bidding and the evaluation methods must be clearly specified in the pre-qualification and bidding documents and, accordingly, planned well in advance of the launching of the procurement process.

J2.7. Other steps in implementation planning include:

- (a) Site assessments during which the project team must identify responsible individuals, as well as important differences in the EA's business processes or features of the premises which might influence the work required of the selected supplier for the information system;
- (b) Organization of user advisory groups, to help improve the effectiveness of the plan, the accuracy of the systems specifications, as well as the reception which the new system would encounter during implementation; and
- (c) Address how the equipment and services will be physically received and tested, as well as how the necessary resources to carry this out will be arranged for.

J3. The IT Business Plan

J3.1. The EA's IT Business Plan represents the logical foundation for the project. It is a statement of the EA's business goals, the reasons they are believed to be attainable, and the plan for reaching those goals. It establishes the case for the investments in information systems in terms of the EA's business objectives and overall responsibilities. This business plan includes, but is not restricted to:

- (a) what are the business areas which would benefit from automation
- (b) what are the expected benefits of the systems investments; and
- (c) what are the key organizational, management, business process and legal / regulatory changes required to maximize the rate of return on the information systems investments.

J3.2. The key elements of the business plan also includes overall time tables and financing sources. The business plan is usually the responsibility of the senior management of the EA, with technical input from each of the key departments including, but in no way dominated by, the information systems department. Usually the technical and other departments of the EA become the users of

the IT product, and thus the clients of the IT department. The business plan is also typically an exceptionally good opportunity to bring to the EA, the assistance and perspectives of international experts in the agency's line of business.

J4. The EA's Strategic Systems Plan

- J4.1.** The strategic systems plan continues the line of analysis of the EA's business plan, providing greater detail in the business functions to be automated, how these functions would be automated, and the timetable and resources required. The strategic systems plan also further elaborates what are the other initiatives and ancillary investments that are necessary to ensure that the system implementation is feasible and sustainable, as well as those that are necessary to obtain the greatest return from the systems investments.
- J4.2.** One of the most important and often overlooked effects of major information systems investments is the need to develop and implement a human resource plan to address the increased need for and dependence on information technology professionals. Especially when the EA is in the public sector, the lack of competitive wages for such professionals creates serious problems for the sustainability of the investments. These issues must be addressed at this planning stage, including finding the proper balance for dependence on in-house and contracted technical staff.
- J4.3.** Whether the strategic systems plan is undertaken in-house or by external consultants the critical point is that it is fundamentally an exercise in business planning, rather than solely an exercise in technological planning. The EA's strategic planning team's composition and mandate must be carefully constructed to ensure that the EA's business problems are at the fore, while the interplay between technological opportunities and ramifications are properly addressed. As the systems initiative moves forward, the strategic systems planning team should be closely involved in the implementation planning as well as with procurement planning and processing, to ensure that the acquired systems closely match the strategy.

J5. The Implementation Plan

- J5.1.** The Implementation Plan follows the directions established in the strategic systems plan. In addition to the relevant time and financial constraints, the important factors that shape the implementation plan include:
 - (a) what information and technology standards have been adopted by the EA;
 - (b) what relevant technology products are available in the market place, including which business systems can be purchased and customized and which systems must be built from "scratch"; and

- (c) what are the relevant features of the various sites where the system is to be implemented, including the physical conditions, existing systems and staff and management capabilities.

J5.2. Among other things, the implementation plan should determine:

- (a) how the investments and technical services activities would be grouped together;
- (b) when, and in what order, will the investments and activities be undertaken;
- (c) who will be responsible for which investments and activities;
- (d) how will the investments and technical services activities be procured;
- (e) how will stakeholders be involved as advisors and decision-makers;
- (f) how will decisions be taken;
- (g) what monitoring and reporting arrangements will be established;
- (h) how will any necessary legal and regulatory changes be carried out;
- (i) how will the EA coordinate the project activities with other involved agencies; and
- (j) what kind of public awareness and education initiatives will be needed.

J5.3. As the implementation plan reconciles the project's objectives, financing requirements and procurement arrangements, it is important that the EA works closely with the Bank's project staff during the development of the plan. For its part, the Bank will bring to the discussions lessons learned from similar Bank-financed projects.

J6. The EA's Standards Review

J6.1. The review of IT standards encompasses an assessment and update of the EA's existing technology, coding standards, data, standardized processing and reporting forms. In particular, data, coding and forms standards are usually important inputs into the systems specifications. Conversely, such standards are also often subject to modification as a result of a system implementation, especially when the information systems are automating previously manual, paper-based procedures. Accordingly, both types of interactions need careful assessment. Technology standards can help ensure inter-operability between existing and newly implemented systems. However, many standards exist in the information technology market and the EA must make judicious choices. Some are vendor-neutral and are promulgated by independent standards-setting bodies, such as the United Nations International Standards Organization (ISO). Others are de-facto standards controlled by specific firms (e.g., Microsoft Windows).

- J6.2.** According to Bank Policy, procurements under Bank-financed projects and programmes must be configured to create effective competition and ensure that potential bidders from all member countries have a fair opportunity to bid on and win contracts. Therefore, brand-specific technologies are normally not to be stipulated in the specifications. And so, special procedures must be followed whenever compliance with brand-specific standards are required to be specified in the technical specifications of Bank-financed contracts. For this to be allowed under Bank-financed operations, first, the existing investments in brand-specific technologies must be large in the EA operations, in relation to the new technologies being procured. Second, since EA's may want to adopt brand name, product specific standards, usually to economize on scarce technical support resources and enhance systems integration, such potential benefits, must be balanced against the risk of handing a supplier monopoly power over the EA and the risk of technological lock-in. Accordingly, establishment of a brand-specific standard by an EA must be undertaken through a formal standards review process and, independent parties from outside the EA should participate in the review. The results of the review must then be discussed with the Bank, to ensure that they are eligible for Bank financing. Any other use of brand names in technical specifications requires the additional phrase "or at least substantially equivalent", to permit potential suppliers to bid alternative technologies.
- J6.3.** Because of the special and dynamic nature of the IT systems market, it is important that the EA should secure suitable technical advice to determine what are the currently acceptable practices with respect to standards and the possible use of brand names. As a general guide, however, the Bank recognizes the difficulties and cost of running information systems with mixed brand technologies in the areas of network operating systems and major databases. Other technical areas tend to be less problematic. The Bank is however, less amenable to giving its no-objection to brand name specifications. In any case, these issues must be discussed with the Bank's project staff.

J7. Market Assessments

- J7.1.** Market assessment is usually an important step in the planning of complex information systems. Such assessments are necessary to determine, among other things:
- (a) the functions offered by the current array of products and technologies in the market;
 - (b) the trade-off between functionality and cost, as well as between functionality and the technology infrastructure required; and
 - (c) the set of potential suppliers and their abilities to offer ancillary technical services and other items required for the planned system implementation.

J7.2. Market assessments are particularly important in planning the procurement of a complex vertical market product, such as integrated banking or hospital systems. Since the products from different suppliers tend to differ from each other in important ways and there are practical limits how extensively an existing product can be modified, the EA must be careful to specify its functional and technical requirements precisely enough to achieve its objectives, yet not be so restrictive that it unduly limits the number of potentially responsive products. To strike the proper balance in the technical specifications, it is particularly important for the EA to have a clear idea of current state of the relevant market. Such an assessment most often requires the assistance of external specialist consultants, given the rapidly changing market and highly technical products. Even when the set of potentially responsive products is likely to be small, the involvement of an independent external consultant adds an additional layer of integrity and can also be useful to add transparency to the process. This in turn can help prevent protests from non-successful suppliers from stalling the procurement process.

J8. Site Assessments

J8.1. Site assessments are necessary in IT procurement to determine:

- (a) how the system requirements vary from office to office;
- (b) what, if any, modifications are required to the premises to accommodate the new technologies and/or modifications to the business processes;
- (c) what additional furnishings and equipment are required;
- (d) how the data cabling must be implemented;
- (e) what upgrades are needed in the site's electrical and telephone services;
- (f) what is required in terms of user, technical and management training programs; and
- (g) what measures are necessary to ensure adequate acceptance of the new system by the local staff, management and customers. EA staff often play an important role in such site assessments, particularly in determining the site specific variations to standard EA business practices, as well as in preparing their colleagues for the subsequent project-related activities.

J9. Functional Requirements

J9.1. Functional requirements are a detailed statement of the processes and procedures the new information system must embody and they are based on the business objectives specified in the strategic analysis, as well as on the constraints and parameters identified in the implementation plan, EA's standards review, or market and site assessments. The functional requirements, in turn, determine the scope of work to be undertaken during

the formal systems analysis, if a software development effort is required. The functional requirements, alternatively, provide the basis to prepare technical specifications, if an existing product is to be procured. Proper staffing of the team preparing the functional requirements necessitate balancing the knowledge of:

- (a) the EA's existing business processes;
- (b) best practices of business processes in similar agencies; and
- (c) the capacity of information systems to support such processes. Thus, a mix of internal EA staff and external consultants is usually most appropriate for specifying the functional requirements of complex information systems.

J10. IT Procurement

J10.1. General: The component elements of procurement in IT includes:

- (a) Preparation of the procurement strategy based on the EA's IT Business Plan, Strategic Systems and Implementation Plans, Standards Review, Market and Site Assessments;
- (b) Preparation of the detailed technical specifications, and schedules based upon the functional requirements;
- (c) Preparation of the BD including Prequalification, where required;
- (d) Management of the bidding process;
- (e) Bid evaluation and award of contract (with negotiations in some cases);
- (f) Contract management; and
- (g) Settlement of final contract accounts.

J10.2. Whereas many public agencies can draw on internal expertise in procurement processing and the preparation of general contractual clauses, many do not have the expertise to prepare the technical specifications and special contractual clauses which are required to ensure proper execution of information system contracts. The EA is encouraged to obtain external assistance to prepare the technical specifications and the special conditions of contract, to help ensure that:

- (a) Technical specifications, requirements and schedules truly reflect the needs of the EA;
- (b) Technical specifications and other requirements are fair and free from bias;
- (c) Procurement reflects up-to-date knowledge of the rapidly changing information systems market; and
- (d) Launching of the procurement process is not stalled by the EA's uncertainty over the adequacy of the technical specifications. The

involvement of independent professional technical assistance is particularly useful in avoiding biased systems specifications.

J10.3. Prequalification of Bidders: In IT procurement, prequalification is recommended only for large or complex projects where the high costs of preparing detailed bids might discourage firms from competing or when knowledge of and experience with specific business areas are required. Standard Prequalification Documents¹² must be used by the Borrower to assess the qualifications, experience and competence of firms to provide the items and carry out the activities under the specific contracts. In the rapidly changing and technically complex area of IT, prequalification presents the Borrower or its EA with an initial opportunity to circulate draft functional and technical requirements for the supplier's comments. These comments can complement other agency - supplier dialogues, such as a pre - bid general conference as well as the bid clarification meetings that are held during the bid preparation period.

J10.4. Procurement Methods: The Bank recommends that Borrowers use international OCB as the method of procurement for IT. Procurement through OCB can either be a single-stage or two-stage process and, each of these is described in Part D of this OPM. While on the one hand, the single-stage process is most appropriate for relatively straight-forward procurement of fairly standard technologies and ancillary services, the advantages of the two-stage process include the ability of the Borrower's EA, during the first stage, to interact extensively on technical matters with bidders than is permissible in a single-stage process. In this way, the EA can learn from the market and adapt its requirements to fit its needs. In complex IT procurement where it is not possible to precisely outline the boundaries of the EA's requirements, this is a great advantage. A two - stage process allows the EA to state its requirements in more general functional terms in the first stage instead of having to provide the detailed functional and technical requirements necessary to carry out a single-stage process, which may not be fully known at that time. Thus following the Borrower's examination and evaluation of the first-stage bids, more precise specifications may be finalized for the second stage. Knowledge of the bidders and their technologies at the end of the first stage drastically reduces the burden of preparing detailed functional and technical requirements, sufficiently comprehensive to accommodate the entire universe of potential technical proposals for the second stage. The additional capacity to review technical proposals, revise technical requirements and interact directly with the suppliers during the first stage make the two stage process much more suitable for the procurement of complex information systems and procurements which involve extensive technical services. Thus the Bank recommends in most cases that Borrowers use the two-stage OCB process for IT procurement.

¹² The Bank's standard prequalification document entitled "Standard Prequalification Document for Procurement of Works (SPQD). African Development Bank. January 2010.ORPF", is contained in the Toolkit.

- J10.5.** Since the two-stage OCB process involves the procurement of more complex information systems, the issues which may arise in putting together the project teams and preparing the implementation plan tend to be considerably more complex. In this regard, the project team may need to include more staff from a wider range of the EA's departments and offices and also, may be called upon to resolve more challenging technical problems. These may include, for example, specifying acceptance tests that are based on more complex operational functions or specifying the required procedures that the supplier must follow in conducting trial implementations and performing subsequent system refinements. Accordingly, the team building and implementation planning steps are likely to take significantly more time than those related to the procurement of a more straight-forward IT. In terms of time, although a well-prepared EA may undertake complex two-stage procurement in just a few months, in many instances the processes may require six to nine months.
- J10.6.** Most information systems projects which involve international OCB also require specialized technical assistance which may often be necessary to assist the Borrower to, inter alia, prepare:
- (a) an overall IT strategy that reflects the EA's business functions;
 - (b) an analysis of market conditions for the relevant technologies; and
 - (c) detailed functional and technical specifications.
- J10.7.** In addition, technical assistance is sometimes required to provide project and contract management assistance to the EA. International OCB is a rigorous process, involving the open, competitive "arms-length" procurement of well specified products and ancillary services. It is the view of the Bank that it is critical for the Borrower's EA either, to have access in-house to excellent and deep technical capacities in the informatics area, or to obtain the needed high quality technical assistance to perform these technical services, where these unobtainable in-house. This is particularly critical for the preparation of the functional, technical specifications and requirements. Failure to obtain such assistance may result in lengthy delays in the procurement process, due to the time required to develop a satisfactory procurement approach and prepare adequate BDs, or otherwise the result is the acquisition of systems which do not match the EA's requirements.

J11. Contract Packaging for IT Procurement

- J11.1.** Information systems tend to be strongly inter-linked and highly dependent on a large number of related technical service activities and other investments. In general, economy and accountability and the pursuit of VfM may strongly suggest that the EA packages as many of the technologies and services as practical into a single contract. In this regard, procurement packaging for IT is influenced by two main factors; firstly, that procurement actions should be minimized in number, to economize time and cost and secondly, if systems

contain linked components from different suppliers, the responsibility for making the entire system work nearly always devolves to the Borrower's EA, whether it is prepared for the responsibility or not. An important caveat of the first is that in the face of declining technology costs, particularly hardware, care should be taken not to procure equipment too far in advance of when it is needed, even though the BDs contain clauses that obligate a supplier to provide the up-to-date technologies at the time of delivery. These two points must be balanced against each other and carefully drafted contract terms can be used to mitigate any risks. In any case, these are only rules of thumb, and project-specific factors may suggest a different approach, including multiple contracts.

- J11.2.** Alternatively, pursuit of VfM may also dictate that, items that make up the core system investment may be divided among a number of contracts if the situation called for it.
- J11.3.** In the preparation of BDs, including technical specifications and requirements, bid evaluation criteria and methods and contractual clauses should all reflect the adopted specific procurement strategy, which in turn, is determined by the needs of the EA's specific information system implementation. The key elements of such a strategy include:
- (a) systems analysis;
 - (b) ancillary investments;
 - (c) change management activities;
 - (d) data migration and loading;
 - (e) the institutionalization of technical capacity; and
 - (f) operations support.
- J11.4.** Whereas it is to be noted that, not all of these topics above, will be relevant for a specific project, two key issues will require the attention of the Borrower's EA. Firstly, an EA needs to plan for a wide range of inter-linked activities, in addition to the core IT system and this should include a procurement plan for each item. Secondly, information systems projects involve extensive professional technical services, much of which, of necessity, must be obtained from outside the agency, given the general lack of capacity, especially in IT, in Borrowing member countries. The Bank's experience indicates that economizing in the area of technical assistance can be an extremely short sighted strategy and it frequently results in substantial waste of investment resources.
- J11.5.** In the context of a Bank financed project these broad procurement strategy issues are typically addressed during the process of project preparation and appraisal.

J12. The IT Systems Analysis

- J12.1.** This is the formal process of identifying and rigorously documenting the data elements in an information system and the relations among the data elements. Systems analysis is an essential step in the design of information systems that requires EA-specific application software to be developed. It is not generally relevant for information systems where software is not developed from “scratch” or extensively customized. IT Systems analysis is a rigorous process of interviewing the EA’s staff to determine precisely how information is processed in the course of its operations and precisely what those processes involve. Computer Assisted Software Engineering (CASE) tools are employed in system analysis to ensure that the analysis procedures are carried out in accordance with a formal method and that the data elements and relations are fully and precisely documented.
- J12.2.** In most cases, where IT systems analysis is undertaken, work is performed by external consultants. It is generally preferable that the systems analysis is performed as a separate and prior upstream activity independently undertaken. In this case, the analysis report forms part of technical specifications which define the software developer’s responsibilities. The Bank’s Procurement Policy’s requirements on conflict of interest specify that the firm undertaking the separate systems analysis must be independent of the firm or firms performing the development and implementation activities and supplying the technologies. These strict conflict of interest provisions which are also incorporated in the IT Standard Bidding Document (SBD), specifically exclude “downstream” suppliers from bidding if they are associated with firms and individuals who were involved in the system design and specification processes.
- J12.3.** Despite the required independence of the analysis and implementation firms, the systems analysis is closely linked to the development and implementation work. Accordingly, the contracts for both the systems analysis and the system supplier should contain text obliging the firms to cooperate, at minimum, during a pre-specified initial phase of the development and implementation work. During this period, the implementing firm must fully understand and accept the systems analysis. This generally requires direct involvement of the firm that performed the systems analysis. Moreover, the systems analysis firm occasionally is needed to assist with updates and modifications to the analysis which may be needed, even in the period between the initial analysis and the beginning of the systems development and implementation activities.
- J12.4.** The systems analysis documentation constitutes the foundation for the technical requirements for the IT system which are incorporated into the EA’s BD. It also forms the basis of future troubleshooting, upgrades and modifications of the system. Thus, maintenance of the systems analysis documents is critical. The EA should contractually oblige the systems analysis firm to convey to it both the CASE files as well as the CASE tool. In addition, the EA should develop at least a minimum level of in-house capacity to operate and maintain the tools, files and documents.

J13. Core System Investments

J13.1. The core systems investments encompass all the technologies and ancillary services to be procured and as appropriate, they include the hardware and software technologies, as well as any design, development, installation, training, user and technical support, warranty repair, and other ancillary services required. The method of procurement is usually OCB using the EA's BDs. These technologies and services can vary widely and be combined in numerous ways. The goal in configuring a specific systems procurement is in general, to ensure to encompass all of the critical, inter - dependent elements of the system to achieve seamless operation. In this way, the Core Systems Supplier can be held accountable for the operation of the whole. However, the procurement must also reflect the collection of technologies and services which suppliers can practically provide. For example, an international firm which specializes in software development may find it too difficult to be responsible for loading the new system with information contained in a large body of paper records scattered in numerous sub-offices of the EA. Thus, such activities would not be bundled together. In contrast, a supplier of integrated banking systems can and should be required to load the new system with information from the bank's existing systems, as part of making the new system operational. Complex information systems procurements typically involve many such choices regarding the packaging of related activities. Few, if any, have simple mechanical answers. Nearly always, the proper choice requires the input of professional analysis during the strategic and implementation planning stages.

Ancillary Investments

J13.2. Ancillary Investments include a variety of items which, together with the core system investment, may be required to realize a major information systems project. These investments should be identified in the EA's Business Plan, and specified in the appropriate level of detail in the Strategic Systems Plan and the Implementation Plan. Whether such ancillary investments fall under the core information system supplier's contract or not depends on a number of factors, including:

- (a) the nature of the ancillary items (e.g., civil works, specialized furnishings, information technologies and/or services, etc.);
- (b) the capacities of the potential system suppliers; and
- (c) the EA's ability to perform in-house, the ancillary investments.

J13.3. Generally speaking, combining as many of the ancillary investments as practically possible under the core systems contract will help foster the coherence of the overall investment program by unifying the contractual responsibilities for its success. The argument for unifying the contractual responsibility is stronger, the greater the success or impact of the core information systems investments depends on such ancillary investments.

- J13.4.** Premises: Contemporary information technologies are considerably less demanding in terms of physical facilities than older technologies. Nevertheless, most still require secure, controlled environments. Accordingly, new information systems can require construction, modification or refurbishing activities. These can relate to, for example:
- (a) the information processing centre, room or closet;
 - (b) facilities for the information systems staff, records, and related resources;
 - (c) customer services facilities, such as window operations; or
 - (d) reconfigured office space to support reorganized EA operations. New systems may also require special furnishings and equipment. These can include tables and chairs, data safes, upgraded telephone equipment, and physical access control equipment.
- J13.5.** Communications Services: New information systems which involve significant data communications often require enhancements to the EA's telecommunications systems. This usually involves the telecommunications service supplier or suppliers, including the local telephone service provider. Specifying and arranging for the installation and provision of these services are usually the responsibilities of the borrower's agency. Nevertheless, both the technical requirements and timing of the upgraded services must be closely coordinated with the systems supplier's work plan (among other things, to ensure that acceptance testing for the system can be carried out as specified in the system contract). Any technical or timing constraints imposed by telecommunications service provider must be taken into consideration in the specification and scheduling of the core information system implementation. Thus, any issues that may arise in the area of telecommunications must be identified and resolved prior to the launch of the procurement for the core system.
- J13.6.** Systems Integration: When a new information system is implemented in the EA with existing systems, the challenge of integrating the new and existing systems nearly always emerges. To the extent that the EA can spell out in precise technical terms what level of integration it requires, there is scope for incorporating the requirements into the specifications for the new system. However, there is an important caveat to incorporating integration into the technical specifications for the new system: integration requirements must not bias the procurement, for example, in favor of an incumbent supplier. Within the context of the EA's standards review, some of the problems associated with integrating information systems can be ameliorated by adopting selected, key technology standards. Subject to the conditions discussed in that section, including the Bank's acceptance of any brand-specific standards, such standards can be used in the technical specifications to address anticipated systems integration problems.
- J13.7.** Complementary Business Systems: The implementation of new or significantly upgraded information systems often creates the need for an EA

to undertake further investments in related or complementary information systems. For example, if the new information system automates an operation for which the EA receives fees, it may also require upgraded financial systems to manage the revenues, costs and budgets related to the operational system. In some circumstances, such complementary business systems may be available from the same supplier as the operational system (and thus incorporated into the contract for the operational system). In other situations, the suppliers may not be the same. In either case, the EA must make a clear assessment early in the project planning process (i.e., in the business, strategic systems and implementation plans) how tightly the implementation of the systems needs to be coordinated. If such an assessment is not properly made, then the EA runs the risk that the operational system could turn out to be unusable, because of a lack of adequate supporting systems.

J13.8. Training Facilities: Most major information systems implementations result in the need for significant training services, including those for users, technical support and management. If a new system involves the training of a large number of system users in a short time period, this may require special training facilities, including premises, furnishings, systems, etc. If the training is an on-going requirement, because of staff turnover or anticipated future automation initiatives, the EA should consider establishing the facilities on a permanent basis. Permanent or otherwise, during the project planning phases, the EA needs to determine:

- (a) The most appropriate suppliers for the training facilities, e.g., the system supplier or other suppliers; and
- (b) The closeness of the links between the activities of establishing the training facilities and implementing of the new information system. Implementation of the training facilities must be organized accordingly.

J13.9. Back-up and Disaster – Recovery: When an EA cannot afford an extended interruption of the operation of the system or the loss of any data and application code, it must plan for off-site back-up systems and secure storage for essential data and software. These must be carefully matched to the expected requirements of the information systems and kept up-to-date with the evolving systems requirements and with accumulated experiences. Depending on:

- (a) the nature of the system;
- (b) the likelihood and the cost of operational disruptions or data loss;
- (c) legal requirements governing systems operation and information control; and
- (d) the range of alternatives in the market place, back-up systems can be purchased outright or procured on a service contract basis. These must be assessed on a case-by-case basis. In any case, such facilities must be planned for and, equally important, tested on a regular basis to

ensure they can function as planned and respond within the required time.

J14. IT Project Management

- J14.1.** IT project management encompasses the full range of coordination, liaison, monitoring, reporting, decision-making and trouble-shooting activities that are required to ensure the project is properly conceived, executed, documented and it achieves the set outputs. In large measure, the qualifications and experience of the EA's management team should essentially be dictated by the management and technical dimensions of the project. A complex information system project involves the management of contracts for highly technical goods and services and therefore, the Borrower's project staff should possess substantial experience in information and management systems. This is especially important when, as is often the case with complex systems, the implementation of the system has a major impact on the EA's core business processes and, thus, has implications for the EA's organization and staffing. For complex systems, which involve a number of contracts and a number of sites, the project management team may be quite large and its activities must be tightly integrated with the activities of the suppliers. Eventually, the ability of the EA's project management team to lead the project through the necessary adjustments dictates how efficiently the project is performed and how quickly the project is carried out and ultimately how beneficial it turns out for the EA.
- J14.2.** The technical services that are required to manage the project vary widely from project to project, depending on the functional scope of the project, its technical complexity, the mix of in-house and external resources used, as well as the number of stakeholders and sites involved.
- J14.3.** Finally, the qualifications of the TM/PS/PASs should essentially be dictated by the management dimension relative to the technical dimension. The successful implementation of the project also hinges on the ability, skills and competence of the Bank TM/PS/PASs that supervise the project.

J15. Change Management

- J15.1.** Change management encompasses a variety of technical service activities which may be required in an information systems project to ensure proper implementation and effective use of the new systems. Some activities may be carried out by the EA's staff, while others may require external technical assistance. In addition, some activities may be incorporated into the work of the Core System Supplier, while others may require capacities which the supplier cannot offer.
- J15.2.** Legal and Regulatory Change: IT systems frequently contain information which is a matter of legal record or subject to legislative prescription or

regulation. The procedures embodied in an information system may also be legal or regulatory subjects, (e.g., social benefit calculations, public sector accounting rules, financial transactions reporting, etc.). Accordingly, the move from traditional, paper-based information systems to electronic information systems can raise a host of legal and regulatory issues. Some may dictate the technical characteristics of the electronic system. For others, the technical characteristics of the information system may dictate the necessary legal and regulatory changes (e.g., to address issues never before raised in the traditional paper-based environment, such as the lack of an “original” electronic document).

J15.3. Any EA that operates within a legal and regulatory environment must, during the development of the business and strategic systems plans, identify these issues and outline the approaches to address them. Although some of the issues may be resolvable during the planning stages, some issues may require the entire implementation period to resolve. In either case, these issues may necessitate legislative and regulatory initiatives, which must be closely coordinated with the specification and implementation work on the core system. Given the rapid development and proliferation of electronic information systems in recent years, tapping international experience and/or international standards in the legal and regulatory area of information systems is a crucial step in the conduct of an information systems project which has a legal and regulatory dimension.

J15.4. Organizational Change: The return on investments in modern information systems typically depends on making significant revisions to the EA’s procedures and/or organizational structures. For example, in an automated environment, an EA might find it more effective to organize work on client transactions around the client or type of client, whereas, in a paper-based environment organizing work around the type of procedure may have been more effective. Such a change might, in turn, require a reallocation of processing responsibilities among the EA’s local, regional and central offices. The importance of procedural and organizational change in the context of information systems projects raises the following standard set of questions:

- (a) Who is responsible for the change activities;
- (b) How are they linked to the new information system, both technically and in terms of scheduling; and
- (c) What can be learned from similar international experiences.

J15.5. User Acceptance: In most agencies, a large percentage of the efforts of EA’s staff and management are directed at collecting, processing and re-directing the flow of information while, the general public’s interactions with most service sector agencies also tend to be focused around the exchange of information. The introduction of new information systems, particularly electronic systems, has great potential to disrupt existing relationships and practices within the EA and between it and its public. Accordingly, the success of many information systems projects often depends on how well the project managers and implementers foster the receptivity of the EA’s staff,

managers and clients. This can be accomplished by actively involving them in the design, assessment and monitoring processes. It also can be accomplished by educational and other awareness programs.

J15.6. Inter-agency Coordination: Other parties affected by the implementation of a new information system include other agencies with which the EA routinely exchanges information and when electronic interfaces between different agencies' systems are implemented or modified, critical coordination challenges usually arise, in addition to EA's staff, management and clients. These include technical matters, such as communications protocols and data standards. They can also involve policy-oriented matters, such as shifting responsibilities among agencies, as well as specifying the precise order of precedence among the information sources.

J15.7. Information Quality Assurance: Inter-agency issues very often arise in the area of information quality when electronic interchanges replace traditional paper based ones. These generally come to the fore as a result of increased use of extra-agency information and the resultant attention paid to inconsistent data. For example, a health insurance agency may modernize its beneficiary identification system. In doing so, it may tap personal and/or employer identifier databases that are maintained by other agencies. If these data have problems, the insurance agency must arrange with the other agencies to identify and resolve these problems. This usually requires the participation of both agencies and coordination at the technical and management levels. The EA's project planners must assess the timing and effectiveness of such inter-agency activities on the EA's systems project and have an appropriate strategy to ensure they do not derail or compromise it.

Financial Sustainability

J15.8. The EA must ensure that it has adequate budgetary resources, year-in and year-out, to fund the necessary operations of the systems, including expenses related to staff, consumables, maintenance contracts, and any required license fees, as in the case of any key investment. Moreover, the EA needs to ensure an adequate depreciation schedule is established and maintained to ensure that when the systems reach the end of their economic lives that it can renew and replace them without a major disruption in service. The rapid and accelerating rate of technical innovation in the information systems area makes such depreciation arrangements particularly important.

Data Migration and Loading

J15.9. Data Migration and Loading usually constitute major activities in implementing operational information systems and they include the transfer of information from older systems and from paper records to the new electronic system. When the information forms the legal record or has legal ramifications, the rigor of the process and the ability to audit the transfer is absolutely crucial. In case of financial systems, it is equally critical. When the transfer involves a large volume of paper documents, particularly textual

ones, the cost and difficulty of the transfer can easily be as great as the technological aspects of the system implementation. Although it is easy to do, systems planners must not underestimate or under-emphasize the data migration and loading aspects of information systems projects (particularly, when migrating data from older database systems to relational database systems that require data normalization). It is critical that an assessment of the time and cost of such migrations be carried out by specialist professionals who are highly experienced in such procedures.

Acceptance Testing

J15.10. Acceptance testing involves formal performance and functional tests of the systems to assessing the contractual performance of the supplier, with, among other things, specific payment triggers that are conditional on the outcome of specific tests. The importance and complexity of such acceptance testing is typically correlated with the complexity of the information systems: the more complex the systems, the more involved the acceptance testing procedures. As appropriate, acceptance tests can be conducted in laboratory settings and/or on site. Such tests, even if they are relatively simple and performed on site, must be designed and organized. Moreover, acceptance testing must always be explicitly specified in the bidding documents. This includes specifying the technical characteristics of the tests (e.g., the standard benchmarks, test conditions, data sets, required results, etc.). This also includes the procedural characteristics, such as when the tests are conducted (e.g., at delivery, installation, and/or operational acceptance), as well as how the test results and responses are to be formally communicated. Acceptance testing should receive the attention of experienced professionals and cannot be left to the last minute, especially when the tests involve the participation of prospective users and managers of the system.

Impact Analysis

J15.11. This includes any post - project assessment of the benefits associated with the information systems project and any lessons learned. These activities are important in their own right, to confirm or qualify the expected returns from the system investment. An assessment of net benefits and lessons learned is particularly important in the area of information systems, since such investments are rarely one-time events. Instead, information systems tend to involve continuous investment programs as a result of the EA's evolving requirements and changing technological opportunities. Having a well founded grasp of the benefits, as well as the pitfalls, is an essential part of maximizing the return from the initial system investment.

Institutionalization of Technical Capacity

J15.12. Institutionalization of Technical Capacity includes the buildup of technical staff to operate, maintain and extend the information system. It also includes

the transformation of the perspectives and professional practices of the EA's managers to reflect the new considerations, constraints and opportunities presented by modern electronic information systems. Some of these activities, particularly the building of technical skills and technical support units, can be incorporated into the systems implementation work. Some of the activities, particularly the management-focused ones, often require a longer, more sustained involvement than a systems supplier may be able to provide. Moreover, these activities are sufficiently different from the technical ones usually performed by a systems supplier that the EA will typically have to look elsewhere for them. Once again, tapping international experience in this area can be highly valuable, especially given the rapid rate of change in technologies and the still on-going search for best practices in the EA's management for the electronic age.

Operational Support

- J15.13.** When the EA is absorbing a major new system that it cannot rapidly enough build the capacity to operate, operational support may be required. Contracting for the operation of the system may also make sense, when either the system in question automates business processes that are not at the core of the EA's business, or when personnel, wage or staffing constraints make it unwise for it to operate the system with internal staff. In these situations, the EA may turn to the systems supplier for operational support for a fixed period (provided the supplier can reasonably supply such services). Alternatively, it may seek another firm to offer the service. Such arrangement may even be sensible for an open-ended period.

Follow-on Investments

- J15.14.** The implementation of complex information systems typically require follow-on investments such as those needed to fill in the gaps in the functions or coverage that emerge during the implementation and initial operation of the new system. Similarly, an agency may deliberately plan to extend the function scope or coverage of the system only after the core system has been proven and digested. Even if neither gaps in the system emerge nor the need to extend the system scope arises, most systems, in due course, will require revisions and refinements to reflect changes in the EA's requirements or emerging opportunities to exploit more efficient or effective information technologies. Thus, generally speaking, the process of continuous re-investment in the information system should be foreseen in the business and strategic systems plans. This includes planning for the financial requirements of continuous re-investment, as well as the need to develop and sustain the institutional capacity to manage the re-investment processes, even if, in-house technological capacities are kept to the minimum.

J16. Procurement of IT Software

- J16.1.** Even though procurement of software is usually undertaken as part of the procurement of the information systems hardware, the procurement of software raises intellectual property issues. The World Bank's SBDs for IT procurement includes a software covenant which requires Borrower's to ensure that any software procured should be legal and should not violate any copyright laws. The effect of the software covenant is to establish provisions against the use of pirated software; require suppliers to provide certifications about the legality of software together with their bids and to indicate the penalties that accompany violations of the Bank's policies relating to the procurement of software.
- J16.2.** The Bank will blacklist bidders that supply illegal software. Procurement of illegal software by a Borrower will lead to the Bank declaring misprocurement in which case the loan or grant funds will not be used to finance the contract in question.

Chapter K

Procurement of Text Books

K1. Introduction

K1.1. The successful procurement of textbooks not only requires that the Borrower's Procuring Entity (PE) usually the Ministry of Education¹³, uses procedures that achieve optimum "Value for Money" (VfM) and obtain the best evaluated price, but also sets qualitative selection criteria which result in the selection of books that: (i) are suitable for the curriculum; (ii) conform with local pedagogical or methodological requirements; and (iii) have satisfactory content durability and presentation standards and are of local relevance. This calls for application of a "fit for purpose" (FfP) approach and therefore the PE may use a number of different methodologies to procure textbooks involving the use of slightly different provisions in the Bidding Documents (BDs), different supporting documentation, and different evaluation procedures.

K2. Scope of Contract Services

K2.1. **Technical Issues:** A number of approaches to textbook procurement are acceptable to the Bank, depending on the PE's needs, appropriate textbook availability, and the level of effort required to produce the final product based on the FfP approach. The PE must clearly establish the level of textbook preparation and/or manufacturing required of bidders and from the simplest to the most complex, the most typical services normally required by Borrowers include:

- (a) Acquisition and reproduction of existing textbooks for bulk purchase;
- (b) Printing and production services for manuscripts, either at the camera-ready-copy¹⁴ (CPC) stage or the film stage¹⁵ or including both of these processes;
- (c) Adaptation and/or translation and preparation for printing of material already in existence usually owned or licensed by a potential bidder;
- (d) Provision of professional editorial and publishing services to revise manuscripts already in existence or in active development, and owned or commissioned by the PE, usually the Ministry of Education; and
- (e) Provision of the complete range of commercial publishing services from new manuscript development to layout and design and from preparation of CRC to printing and delivery of the finished book to the PE.

K2.2. In light of the fact that a broad range of services are required to meet the needs of each of the above levels of needs, the PE has to apply somewhat different procurement strategies. For example, Mathematics and English

¹³ The Borrower's project implementing agency, that is, the Executing Agency (EA) for the Bank-financed project is usually the Ministry of Education or sub-agency thereof, in the municipal, regional, district or local context.

¹⁴ Camera-ready Copy refers to typeset pages that are ready for filming with completed artwork and illustrations laid out in the finished form in which they will appear in the book.

¹⁵ Film refers to the finished film ready for platemaking and printing.

books can often be adapted from existing commercial texts originally published for other countries, while it may be necessary to develop new Social Studies and Science texts to meet local requirements. The latter case involves contracting outside the publishing arena to manage the entire process from local authorship to supply of the finished books.

- K2.3. Consequently, the decision on which level of effort is needed (or reasonable) should be a result of collaboration between the Bank and the Borrower, that is, between the TM/PS/PAS and the PE. They should jointly decide which services are essential and which (or which combination) are optional. For instance, a PE may wish to compare using an existing PE-originated manuscript, to the quality and cost of adapting an existing text. In this situation, Bidders could be invited to submit bids either for adapting their own course material or providing publishing services on already existing PE originated manuscripts and told that each type of bid would be treated equally in the evaluation. This approach is complex, but it would allow for an equitable and transparent bid comparison and a rational award decision.
- K2.4. In general, the Bank recommends that contracts for textbooks be written for the supply of the finished product. Publishers generally make their profit by supplying finished textbooks. If the scope of service is limited to supplying CRC or film and excludes printing, they might be less interested in bidding.
- K2.5. If the PE has its own printing source (often a parastatal printer), it must in consultation with the TM/PS/PAS, determine whether using this available in-house service will achieve the desired outcome, before deciding to do the procurement without the benefit of competitive bidding, as this may not necessarily result in high quality and low prices.
- K2.6. Given that complex textbook supply situations, such as those permitting bids to be submitted at the Bidder's option based on various combinations of services, are difficult to draft and complicated to evaluate, such complex cases must be avoided. These include, for example, when the submission of an existing textbook is combined with the provision of publishing services to develop PE's manuscript into another finished book. Accordingly, except for the special case described above, the Bank recommends that textbook bidding be designed to permit bidding on a single, clearly defined group of services only, wherever this is possible.
- K2.7. **Content Issues:** Provision of Curriculum, Scope and Sequence: All BDs for the procurement of textbooks should include details of curriculum, scope and sequence, and pedagogical and methodological requirements. This because Bidders should be able to evaluate a locally prepared manuscript on the basis of these requirements to determine how much editorial and authorship work is needed. For adaptations and translations the selection of a title will depend on the scope and sequence of the curriculum and pedagogical and methodological requirements. This also applies to off-the-shelf textbooks. BDs for only printing services do not require this kind of information.
- K2.8. **Approvals:** The PE has to approve the final draft of the textbook and at the proof stages, prior to final printing. Therefore the PE has to clearly set out the

approval procedures and timetables in the Technical Specifications contained in the BDs.

- K2.9. Authorship:** The Technical Specifications must indicate whether the PE has a requirement to use local authors, named authors or a local curriculum development organization. BDs should include procedures which allow the successful bidder to request that non-productive or poor authors be replaced and for the PE to act upon reasonable requests. The successful bidder should be consulted when authorship teams are first established for the contract.

K3. Procurement Method

- K3.1.** Three methods of procurement are traditionally acceptable by the Bank for the procurement of textbooks, namely OCB, LCB and Direct Contracting, all at both the international and national levels. The Bank typically encourages bulk packaging and estimated package values are used to determine the appropriate procurement method, as they are a good gauge to measure potential interest by foreign bidders.
- K3.2. Open Competitive Bidding (OCB):** The Bank's policy is that international OCB should be used for all Bank-financed textbook contracts where foreign bidders are likely to participate. This includes contracts with a value of more than UA 200,000, except where:
- K3.3.** the language of the publication is not a widely used one; and
- K3.4.** where there is an identifiable, competitive, local educational publishing industry experienced in, and capable of producing quality textbooks in that language.
- K3.5.** In this regard, the Bank encourages the Borrower to considered using international OCB whenever, foreign bidders are thought to be interested in bidding. Domestic preference margins may be applied under international OCB. Further, in countries where the existence of good local primary textbook publishing capacity is established, but the secondary and tertiary markets are too small to encourage local publishing for those educational levels, the use of international OCB for off-the-shelf textbooks or adaptations is often more economic and appropriate.
- K3.6.** The Bank encourages Borrowers to use OCB under NPP as the method of procurement of textbooks where there is a strong local publishing industry and foreign bidders are not interested in bidding. OCB under NPP is normally used for contracts valued less than UA 200,000. The use of NPP is based on the assessment of procurement capacity and risk at the country, sector and project levels. The TM/PS/PAS in collaboration with the Borrower should ensure that nationalistic pressures do not result in the awarding of contracts to local organizations without the necessary professional, technical or financial qualifications.

- K3.7. Limited or Restricted Competitive Bidding (LCB):** International LCB may be used to procure off-the-shelf textbooks when a limited number of titles are available for selection and to procure publishing services where specific local/regional experience is essential. LCB may also be used where sophisticated multimedia publishing services are needed, particularly those involving video and computer assisted learning techniques. This is usually because the number of qualified and experienced publishers is limited.
- K3.8.** LCB under NPP may be used to procure small quantities of off-the-shelf titles with an estimated value of less than UA 100,000. It may also be acceptable for publishing services contracts where there is a limited number of qualified publishers that are proficient in the required local language.
- K3.9.** Direct Contracting: This method of procurement is acceptable when particular titles have been pre-selected from existing titles by the Borrower with Bank approval. Since after selection no competition is possible, it is essential that an objective procedure be followed in the pre-selection process so that price can play a role in the selection.
- K3.10.** The TM/PS/PAS should advise the Borrower to ensure that the procurement strategy selected in each case is designed carefully so that it does not inadvertently damage a viable local publishing industry or change essential elements in the local education system, e.g. by limiting the freedom of textbook selection that local schools may have.

K4. Qualifications of Bidders

- K4.1. Basic Qualifications and Experience Standards:** It is essential that qualification and experience standards should be clearly set in BDs to assure a high quality result, based on achievement of economy, efficiency, effectiveness and equity with transparency, fairness and accountability in all textbook procurement. Acceptance of bidders with insufficient experience can create certain risks to the achievement of project objectives that PEs should be aware of. It can result in:
- (a) poor writing and editing;
 - (b) poor page design and layout, thereby increasing book length and paper usage and costs;
 - (c) inappropriate content, educational level, and presentation for the local curriculum;
 - (d) seriously lowering visual effectiveness, and with it pupil interest and performance; and
 - (e) poor presentation of illustrations (particularly half tone photographs and four color artwork), resulting in bad image reduction on the page.
- K4.2.** BDs should require that Bidders have the following basic qualifications and previous successful experience in performing similar contracts:

- (a) Sufficient financial capacity to be able to finance all preliminary activities required for successful, timely performance of the contract before payments are due;
- (b) Sufficient staff of the right qualifications, specialties and experience;
- (c) Sufficient space and equipment to undertake the contract; and
- (d) Availability of the full range of publishing skills and specialties required.

K4.3. When SBDs¹⁶ are used, all these factors should be specified in the Instructions to Bidders (ITB) in the Bid Data Sheet (BDS), and evidence of each must be submitted by Bidders as part of their bid. If the minimum acceptable levels set for each criterion are not met, the bid should be rejected. The merit point scoring system adopted for each contract should also give adequate weight to bidder qualifications.

K4.4. Contracts Starting from Original Manuscripts and Adaptations: For contracts starting from original manuscripts and adaptations, the Bank requires the following basic bidder qualifications and experience for publishers:

- (a) *A minimum of four (4) years operating experience as a publisher of original school textbooks; for printing and limited pre-press services, three years is sufficient if adequate references and examples of previous quality performances are provided.* The normal textbook production cycle requires two to three years to complete. Publishers who have been in the business for less than four years will hardly have the time to take even a partial series through to completion. It is necessary therefore that four years be the minimum operating experience that any bidder be required to have. It is reasonable for Borrowers to demand more years of experience for large value contracts.
- (b) *A minimum of five (5) years in publishing texts in the age range and in the subjects specified in the BDs.* Primary, secondary and tertiary textbook publishing require different skills. A tertiary textbook publisher may not have the skills required for primary textbook publishing and vice versa. Accordingly, requiring previous experience of publishing in the specific age range and subjects is reasonable.
- (c) *A minimum of five (5) years relevant regional publishing experience.* Previous experience of successfully performing contracts in conditions similar to those in the PE's country is often the key to success. Therefore, some level of local or regional knowledge may be required. The Bank does not permit such a requirement, however, where the result would be to restrict bidding arbitrarily to local publishers.
- (d) *A minimum of four (4) years relevant publishing experience in the language required by the BDs.* If publishing services in a widely used language (English, French, Spanish, Portuguese, Arabic, Chinese, etc.) are needed, it is reasonable for the bidder to demonstrate experience in

¹⁶ Standard Bidding Document for Procurement of Textbooks. The World Bank. Washington.

publishing in these languages. The same is also true of certain local or regional languages (e.g., Hausa, Swahili. etc.) where international and national textbook publishers have historically had an interest. For many languages (e.g., Bulgarian, Nepalese, etc.) it is extremely unlikely that foreign publishers would have the necessary experience. BDs for publishing services for textbooks in languages which require specific language qualifications in terms of past experience would automatically limit bidding to local publishers. General experience of publishing in foreign languages should be required instead. This would also indicate the ability to cope with the problems involved in such publishing.

- (e) *Evidence that the bidder has established premises and all the equipment required for successful performance of the contract.* This requirement is meant to exclude bidders with no record of satisfactorily providing the required services. The ability of a bidder for publishing services to control, manage, and use specialist skills within price, quality and timetable parameters is more important than having extensive equipment on site. Bidders also need to have the capacity for resource management because publishing largely specializes in the procurement and use of external specialist skills. Desk-top publishing (DTP) is increasingly used to develop some educational materials and the existence of in-house DTP systems does not indicate a familiarity with the skills needed to provide publishing services. Where applicable the BDs should give a precise description of the DTP skills and experience required, including the hardware and software to be used.
- (f) *Evidence of acceptable financial stability and viability, submitted in the form of audited accounts and annual reports for the past three (3) years accompanied by a letter from the bidder's bankers.* This should indicate that the bidder has the financial resources necessary to handle the requirements of the contract as reasonable evidence of financial and operational capacity. Any bid where the value of the proposed contract represents more than half of the Bidder's firm's turnover for the period of the contract should be rejected.
- (g) The Borrower should also request documentation pertinent to the experience of authors, editors, layout and design specialists and textbook development experts to be covered by subcontract where there is subcontracting.

K4.5. Printing and Pre-Press Services and Off-the-Shelf Textbooks: Bidders for printing and pre-press services and off-the-shelf textbooks do not necessarily need to have all the qualifications set out in paragraph 22 above. However, they must supply with their bids evidence of ownership of copyright or licenses and they should have the following qualifications:

- (a) *Skills:* Bidders for printing or simple pre-press services would need to provide evidence that they have the full range of applicable printing skills and processes. Staff lists with qualification and years of experience are useful indicators of such skills.

- (b) *Facilities and Equipment*: For bids requiring printing or simple pre-press services, the minimum acceptable area and type of space must be specified and the bidder required to submit a detailed list of major plant and equipment, including make model, size, age, condition and optimum working speed and output. For off the shelf and adaptation/translation procurement, no special equipment is required. The minimum acceptable amount and the kind of equipment will vary with each case.

K4.6. Contracts Requiring Multi-Media Skills: A minimum of four (4) years past experience in the kind of multi-media publishing services described in the Technical Specifications in the BDs (BDs) should be required. Where the PE's requirement is for a course which integrates the use of multi-media, it would be essential for bidders to provide evidence of experience in other media production and in the integration of different media into a single course package.

K4.7. Prequalification: The Bank recommends prequalification for contracts calling for printing and pre-press services if these are the only services required. The exact terms of the prequalification requirements for printing will vary depending on the nature and complexity of the work required and on the number of print runs. However, in the case of procurement involving textbook publishing, adaptation and translation services, adherence to the bidder qualification requirements set forth in the BDs is generally sufficient to screen out unqualified bidders. Therefore, the Bank recommends that prequalification should not be carried out in that instance but the criteria in the BDs must however, be clearly established and defined and they must be rigorously and fairly applied.

K4.8. Publishing and Printing Issues: Publishers: The qualification criteria given in BDs should require publishers to have knowledge and experience in contracting for and supervising printing services and in obtaining reasonable prices and high quality if the printing services are part of contract requirements.

K4.9. Printers: Printers that do not offer the specific services covered by a contract (e.g., editorial, design, or layout) or have no actual experience in providing them are not qualified to bid on publishing services for new manuscripts. There are significant differences in the actual capabilities of book printers, magazine printers and commercial printers that also need to be assessed in evaluation of bids.

K5. Physical Specifications

K5.1. Introduction: The Bank prefers that the Borrower use broad specifications as this allows greater competition. Most bidders prefer to have some latitude in developing a technically responsive bid. By allowing bidders some flexibility in how they prepare manuscripts, the PE can often benefit from competitive prices and improved presentation. Using physical specifications that are too

precise, with format, length, extent and number of colours specified in detail, can limit the creativity of bidders in seeking to provide publishing services and it can severely limit the number of titles submitted for adaptation and translation.

K5.2. Only the minimum acceptable standards for certain essential technical features should be specified in the technical specifications. These normally include such factors as book life, the weight and type of cover stock and finish, the weight and type of text paper and the binding process.

K5.3. Paper/card Characteristics: Where paper and cover card are specified, it is necessary to go into some detail. Paper should be specified by both weight and quality. If paper and cover are under specified in the BD, it is almost impossible to predict standards of durability or to assess the quality of the raw materials without testing. The following paper/cover card characteristics have an impact on durability:

- weight
- chemical composition (percentage of wood free pulp)
- tear strength
- burst strength
- grain direction
- caliper (thickness of the paper)

K5.4. The following paper/cover card characteristics have an impact on manufacturing quality:

- weight
- grain direction
- water content
- porosity

K5.5. The following paper/cover card characteristics have an impact on presentation:

- opacity (see through)
- luminosity (brightness or whiteness)

K5.6. Binding: There are a number of different binding processes, some of which are generally unsuitable for school use. Others are suitable but may be too expensive. The main binding styles are:

- Wire side stabbing:** This is not recommended for school books. Textbooks bound in this way do not stay open flat. Pupils invariably press open the gutters leading to spine cracking and early destruction.
- Wire saddle stitching:** This sort of binding is acceptable for a textbook of 96 to 112 pages. The positioning of the stitches, the number of stitches in relation to spine length and the quality of the wire are important issues in durability.

- (c) Perfect Binding: Perfect Binding is not recommended for textbooks. With rough handling pages easily detach from the book block. There exists variations in the quality of perfect binding and only good perfect binding is even marginally suitable for textbooks, even at secondary level. Perfect binding is never suitable for primary level textbooks.
- (d) Thread sewing: Machine thread sewing if performed well is the strongest binding style generally available particularly for extents over 96 pages. It is also the most expensive. Machine thread sewing is sometimes unavailable in the printing plants of many developing countries and hence, it is often not specified as a requirement in the BDs. Manual thread sewing is often substituted for machine thread sewing. However, it is difficult to achieve good quality with the latter form of binding.
- (e) Burst Binding (sewing with glue): This is a good durable way of binding textbooks in an intermediate price range. Burst binding is not always locally available in some countries although it is generally cheap to install if perfect binding is already available.
- (f) All binding processes are subject to great qualitative variation. The quality of a proposed binding can only be inspected via a dummy and the quality standards provided in the dummy must be specified (and inspected and maintained) as a condition of contract.

K5.7. Cover Finish: A good cover finish greatly enhances durability by protecting against dampness, scuffing and wear. Most laminate or varnish finishes can be wiped clean with a damp cloth which greatly enhances appearance if reissue is a policy. The basic finishes are:

<u>Type of Finish</u>	<u>Comments</u>
• Mechanical varnish	cheapest
• Ultra Violet varnish lamination	most expensive

K5.8. Format: BDs should give Bidders guidance on formats required for the textbooks being procured. The exact limits placed on format will depend heavily on the Borrower government policy on book life, on environmental conditions in the classroom and on the content and presentational requirements of the curriculum. In NPP OCB cases where available machine sizes are limited, the format selected will depend heavily on local printing plant specifications. The type of formats include:

K5.9. Large formats allow for better presentation, design and page layout. They are thus a positive aid to learning if well designed. However they are less durable (ratio of book weight to spine length is a key issue in binding strength and thus durability), more difficult to store as they take up more space (also an issue in crowded classrooms), are more difficult to handle and use when there are no desks and require larger bags to carry them to and from school. They are generally more expensive in paper and cover card.

K5.10. Small formats are less visually attractive (although good design and layout can alleviate this) but are more durable and are easier to handle, use, store and carry in harsh classroom environments.

K5.11. Color: Color printing is relatively expensive. Four color printing, costs on average 2.5 to 3.0 times more than one color printing. Decisions on the use of color are fairly arbitrary and limited research has been undertaken on the value of color as an aid in learning.. However, good color demands good artwork, good pre-press, good paper and good machining so that the cost impact of requiring good color goes beyond the simple printing costs. To have a good color text in a weak binding obviously results in high recurrent costs. Printing four colors on one side of a sheet and one color on the other can significantly save prices and still leave the impression of a four color book. 4/1 or 4/2 printing requires good planning, design and layout work.

K5.12. Durability Specifications: The basic raw materials specifications needed to ensure one year and three year book-life respectively would be as follows:

K5.13. Sheeted text paper for one year book life:

- Description: White, part mechanical offset wove MF
- Composition: No more than 40% mechanical pulp with an even formation free from specks and holes
- Weight: 60-65 gsm
- Bulk: Volume 14
- Opacity: 75-80%
- Condition: In equilibrium with user's ambient RH and temperature conditions
- Dimensions: Cut square to size, -0/+2mm
- Grain: To user's specification giving grain parallel the spine of the book.
- Delivery: Moisture proof wrapped onto pallets or in reams

K5.14. Sheeted text paper for a three year book life:

- Description: White, woodfree offset wove MF
- Composition: No more than 10% mechanical pulp with an even formation free from specs andholes
- Weight: 75-80 gsm
- Bulk: Volume 12-13
- Draft Procurement Manual Edited: January 29, 2003 11:20 AM pm7-3-01
- Section 25. Procurement of Textbooks 241
- Opacity: 80% plus
- Condition: In equilibrium with user's ambient conditions
- Dimensions: Cut square to size specified, -0/+2mm
- Grain: To user's specification giving grain parallel to spine of the book
- Delivery: Moisture proof wrapped onto pallets or in reams

K5.15. Cover Material:

- Description: White one sided Art Board
- Finish: Coated one side only, gloss or matt as required
- Weight/Bulk: 220 gsm/260 microns
- Conditions: In equilibrium with user's ambient conditions
- Dimensions: Cut square to size specified
- Grain: To user's specification giving grain parallel to spine of the book
- Delivery: Moisture proof wrapped onto pallets

K5.16. Cover weight is similarly specified for both 1 year and 3 year book life because weak covers often result in books not surviving even one year. Similar binding specifications would normally require wire saddle stitch up to 112 pages maximum (many experts do not advise using saddle wire stitching for textbooks over 96 pages) and a good machine thread sewing over 112 pages for both 1 and 3 year book life.

K5.17. It is impossible for the Bank to provide detailed guidance on format, content and presentational specifications as highly specialized decisions have to be made by the Borrower in the context of policy, environment, usage and available financial resources.

Manuscript Issues

K5.18. Contracts for the procurement of textbooks including publishing services usually involve either an existing manuscript or one under preparation by a Ministry of Education, a curriculum development unit, or a requirement for the bidder to develop a manuscript, including the identification and any subcontracting of authors. The approach to be followed must be clearly specified in the technical specifications. The three alternatives that exist include:

- (a) BDs covering publication of a local manuscript require the inclusion of the finished manuscript including artwork, indicating clearly the amount of editing and artwork required;
- (b) BDs requesting publication as well as authorship and editorial support services to develop an existing but unfinished manuscript. The documents include the unfinished manuscript and a clear definition of the additional services required is given and an indication made about who will own the final manuscript (usually the PE); or
- (c) BDs requiring the successful bidder to carry out the entire process of manuscript development with a local authorship team nominated by the PE or agreed upon with the successful bidder. The documents include a specific list of services that will be covered and indicate who will be responsible for each.

K5.19. The Bank recommends that Borrowers follow the alternative in paragraph 47 (a) above, and that the object of the contract be to produce a final textbook

form a finished manuscript which Bidders can inspect. This gives Bidders a precise idea of the quality of the manuscript and the amount of editorial design work necessary to bring it to a camera-ready condition. If the alternative in bullet three is followed, most bidders would prefer to work with an authorship team to develop the needed manuscripts in order to avoid uncertainties caused by a manuscript which the bidder is not acquainted with.

Packaging Delivery and Storage Instructions

- K5.20.** The Borrower should include in all the BDs detailed packaging and delivery instructions appropriate for the mode of transport and country of destination. BDs should specify the type of transportation, delivery dates, points of delivery, package labelling, arrangements for acceptance and signing off and minimum packaging standards. The packaging standards may require some special drafting if particular climatic or environmental conditions apply, e.g., transport by small water craft, very heavy rainfall, humid storage conditions etc. The size of the package can also be an issue if large quantities must be broken down into smaller packages for onward delivery into rural areas where transportation and storage facilities are minimal.

Copyright and Ownership Issues

- K5.21. Copyright and Licensing of Publication Rights:** The copyright issues in textbook procurement are potentially complex. Prior to preparing BDs, the Borrower needs to consult an experienced publisher, with good knowledge of contract law and copyright law, or a specialist copyright lawyer.
- K5.22.** The precise copyright ownership situation of manuscripts developed by or for the PE needs to be specified clearly in the BDs, particularly those concerning the rights of local authors and artists and any consequent payment requirement. Where a PE prepares its own manuscript the copyright would generally lie with the PE although there are cases where individual authors who prepare manuscripts on behalf of the PE are allowed to maintain their own copyright, or at least have a partial share in the copyright. This is usually the case when authors write manuscripts without a fee on their own time.
- K5.23.** Where authors are given time off to write or write as part of their job (e.g. staff in Curriculum Development Units), ownership normally lies with the PE. In some countries (e.g. Pakistan) manuscripts are often selected as a result of an advertised competition and copyright lies with the author. PEs may either pay a flat fee or royalty to an author in return for the assignment of copyright. Illustrative material originated by a Bidder specifically for the course and specifically paid for by the project is normally owned by the PE.
- K5.24.** Where manuscripts are clearly owned by the PE, it can, license publication rights to the successful bidder for a number of years for a fixed number of copies. This license to publish is normally paid for by the successful bidder as a royalty on each copy sold. Where contracts include publication rights a two way cash flow results. The PE pays the successful bidder for the

publishing services and/or the delivered finished textbooks and the successful bidder pays the PE a royalty on copies sold by the bidder.

- K5.25. If the PE only intends to distribute the finished books in its own country, and if it clearly owns the entire copyright in the work, then licensing of publication rights is often unnecessary. The BDs could require that the publishing services only extend to the CRC or film stage and the PE could then tender for printing services and raw materials separately. However, this is acceptable only if the production knowledge and production control functions are readily available to the PE. If these key skills are not available, the contract could specify the supply of finished copies for a once only order or for a specified number of copies covering reprints into the future.
- K5.26. Alternatively, the PE may require that the textbooks be sold commercially at risk or even that limited quantities be supplied free of charge and only additional copies be sold. In such cases the commercial and marketing skills of the bidder (and its ability to minimize the resulting risks) are often stronger than the PE's, and therefore it makes sense to give the bidder publication rights as part of the contract.
- K5.27. The licensing of publishing rights for titles covered by PE copyright confers a monopoly on the bidder for the period of the license and this may potentially result in unnecessarily high prices and invite corruption. Rebidding for subsequent print may prevent this and the Bank recommends that rebidding be carried out by the PE. If negotiations over the cost of subsequent print runs are unavoidable, however, the PE can strengthen its negotiating position by obtaining and tracking international printing and raw materials prices, which are published and generally available to the public.
- K5.28. The BDs must specify copyright, ownership and required payments against copyright. They must specify whether or not publication rights are available, whether such licenses are based on time or quantities and if the PE expects to be paid royalty in return.
- K5.29. **Adaptations/Translations:** When materials are submitted by bidders for adaptation, the copyright and ownership situation is more complex. The copyright on the original materials submitted by the bidder lies with either the publisher or the original authors(s). The copyright on any new material, inserted into the original book by local authors for the purposes of adaptation, would normally lie with the PE (since it pays for the course development), with the local authors or jointly by agreement. The copyright on the new adapted text comprising both original publishers' text and new material added for adaptation purposes is a separate copyright which would also normally lie with the PE but the ownership and copyright of any original material used in the adaptation would remain with the original author/publisher. The adapted version could be covered by a joint copyright shared between the PE/local authors and the bidder/commercial authors. This alternative is cumbersome particularly if disputes arise concerning the adapted version. It would be simpler for the PE to pay a royalty to the original publisher of the original material used in the new text.

- K5.30.** In the case of translations the instructions above apply with the proviso that the organization paying for the translation would hold a copyright for the translation of the original material. A royalty is normally payable to a bidder submitting material for translation and adaptation for the original text used. If the normal royalty is 10% and 50% of a bidder's original text was used in the adaptation, royalties are paid pro rate, i.e. in the amount of 5%. If a bidder's original artwork or film is used an additional fee (the "off set fee") is payable to cover the cost of duplicate film. A contribution to the original cost may also be sought by Bidder, but this is normally waived to enable the Bidder to be more competitive.
- K5.31.** Where adaptations or translations are involved, the publication rights will involve recognition of copyrights and payment (or waiver) of fees/royalties. Even if publication rights are retained by the PE, copyright on the original material still remains with the successful bidder and royalties recognizing these rights are due to the bidder. The PE could pay itself a royalty for its own copyright material contained in the textbook or could waive it. If the bidder is granted publication rights the reverse obtains and royalties are payable to the PE because it owns the copyright on the new material.
- K5.32. Off the Shelf Purchase:** Bidders normally include royalties in the quoted cost of textbooks they offer. However, the Instructions to Bidders should be clear on this issue. Where special, straight reprint editions not requiring any adaptation or alterations are to be supplied, it is sometimes possible to negotiate special, lower royalties. This depends on the terms of contract between the original publishers and authors and is not always legally possible. If bidding is competitive, it is assumed that all reasonable price reduction possibilities, including reduced royalties have been explored by bidders.
- K5.33. Permissions:** Where substantial quotations, artwork, illustrations or photographs are used which are covered by a copyright owned by the bidder or another publisher or agency, it is necessary to get written permission from the owners of the material. In some cases, this is given free of charge, while sometimes payment is required. When applying for permission bidders/PEs should specify the territories in which the new books will be used, estimated edition sales and estimated retail prices. Permission fees are calculated based on this data. Fees for world-wide usage are generally higher than those for limited usage in one territory or region. Responsibility for seeking these permissions and the territoriality of permissions must be specified in the BD. All costs incurred in obtaining permissions should be included in the bid price.
- K5.34. Subsidiary Rights:** Where the copyright on an original manuscript belongs to the PE or to local authors, they control the "World Sales Rights" to the textbook and can theoretically sell or license copies of the textbook outside their own territory. In practice few PEs have the marketing and sales capabilities and therefore they license these extra-territorial rights to Bidders for a fee. Where adapted or translated material belongs to a publisher, it may limit the use of adaptation to the specific territory of the PE to prevent overlap

with other textbooks sold by it elsewhere in the region or in the world. This is a reasonable practice and should be allowed by the PE if requested.

- K5.35. The exploitation of extra-territorial and other subsidiary rights depend upon the ownership of the material. Where the material is owned by the PE, subsidiary rights are retained by the PE, who licenses them to the Bidder if requested, against the payment of a fee. Where an adaptation or translation is required, the exploitation and payment of subsidiary rights should be specified in the BDs.
- K5.36. **Publication Rights:** If the successful bidder is required to produce finished textbooks from manuscripts owned by the PE or resulting from adaptation, the Instructions to Bidders in the BDs (SBDs) should specify that the bidder has exclusive rights to manufacture and supply the textbooks (i.e., has the publication rights) and how long this exclusive right will last. A contract for the supply of finished textbooks can either be for a specified print run with no reprint, the preparation of a revision or new edition by the bidder or it can be for a specified initial print run with the bidder required to carry out future revisions, reprints and new editions in quantities that are not specified.
- K5.37. If a bidder is required to produce finished textbooks, however, and does not know how many copies are required, it is impossible for costs to be accurately assessed. It is difficult to indicate at the time of bidding, the exact requirements for reprints and new editions needed several years later. It is also difficult for Bidders to estimate the costs for future reprints or new editions. Nonetheless, the longer the publishing rights are in effect, the more interest Bidders will have in bidding and greater continuity will be provided for the project. Continuity is important where revisions and new editions are likely and where publication services are being used to train and upgrade local staff to acquire publishing skills.
- K5.38. The Bank recommends that BDs cover both the initial print run and the possibility of reprints, with or without revisions, for a period of no longer than six years, the usual life of a textbook prior to a major revision. Bidders are asked in such circumstances to quote prices for the initial print run and unit rates for revisions and any reprints during this period. The evaluation of bids is conducted using the initial costs quoted and the unit rates for revision/reprints multiplied by a realistic estimate of the amount of revision/reprints needed during the first two years as given in the Instructions to Bidders Data Sheet. The unit rates for revisions/reprints are made subject to adjustment after the first year.
- K5.39. Publication rights are offered for this period. Where adaptations or translations are involved, repeated use of original material from the Bidder's original textbook requires continued payment of royalties by the PE for each reprint, revision or new edition unless these royalties have been specifically waived by the bidder. This does not waive the copyright ownership. Where a new edition with substantially less original material is prepared, the royalty provision in the contract should be re-negotiated.

- K5.40. When adaptations and translations are required, it is impractical to have a Bidder work on material originated by a different publisher. Therefore, BDs for adaptations and translations should give the successful bidder the right to manufacture and supply reprints or new editions as specified above. If a PE reserves the right to develop course material from a licensed adaptation, the successful bidder should be paid royalties and usually makes the license non-transferable.
- K5.41. **Rights Relating to Printing:** With printing contracts, the printer has no copyright interest in materials which it prints. Contracts for printing services should specify the ownership of film and any original artwork supplied to the successful bidder. Ownership normally vests in the PE or with the publisher used. If a printer or publisher is required to store film on behalf of the PE, a storage fee is paid. If the film is to be returned to the PE it should have acceptable facilities to store the film in a proper way.
- K5.42. **Local Copyright Laws:** Copyright laws that exist in the country of the PE should be ascertained and the degree to which they conflict with copy right laws best known to the bidding community should be looked into. This will assist the PE and Bidders to resolve disputes that may arise as a result of the legal difficulties during the performance of the contract, due to the PE's country not being a signatory to international copyright conventions. (Refer to the General Conditions of Contract in the World Bank's Standard BDs for Procurement of Textbooks for further details on copyright, ownership and subsidiary rights).

K6. Bid and Contract Performance Schedules

- K6.1. **Timelines:** Schedules for preparation of bids as well as delivery of the final textbooks should be realistic and take into consideration the special circumstances of the procurement in question. The stages of the typical textbook procurement process, together with the time periods recommended by the Bank for each stage are:
- (a) **BDs on Sale/Bid Preparation:** Six (6) to eight (8) weeks. This period could be longer if elaborate samples of 4 color printed pages are needed.
 - (b) **Bid Validity Period:** The period of bid validity should be clearly specified (3 months from the date of bid opening would be reasonable, if not a longer period should be used.) If award is delayed beyond this period prices should be automatically adjusted as provided in the SBD for Procurement of Textbooks.
 - (c) **Bid Evaluation and Contract Award:** Four (4) weeks.
 - (d) **Completion of Contract Formalities:** Four (4) weeks to allow for additional discussions with the successful bidder and preparation of any supplemental documentation that may be required before the contract can be signed.

- (e) **Development of Textbook Manuscript:** Six (6) months to present final draft.
- (f) **Publishing and Production Services:** Six (6) months to turn the manuscript into finished book months.
- (g) **Delivery of finished Books:** One (1) to three (3) months. This period varies depending on conditions in specific locations.
- (h) **Lead Time for Reprint:** Six (6) months including delivery.
- (i) **Revision or New Edition:** Nine (9) months for editing artworks and printing plus one (1) to three (3) months for delivery.

K6.2. Approvals: In the preparation of schedules, appropriate time should be allocated for necessary approval procedures. Too many approvals, however, by different parts of an PE and/or Ministry of Education cannot only adversely affect the timetable but can also lead to disputes with bidders. If the PE fails to meet its own approval deadlines, the successful bidder should be permitted to extend the delivery deadline by the amount of time caused by the delay.

Bid and Performance Securities

- K6.3.** As with other goods procurement, bid security for textbook procurements should generally be established at levels of between not less than 2% and not more than 5% percent¹⁷.
- K6.4.** Performance securities should be limited to no more than 10% of the contract price, and PEs should be discouraged from calling the security except in legitimate cases of default. Provisions should be made in the General Conditions of Contract allowing for reduction of the value of the security in proportion to work satisfactorily performed.

Payment Schedules

- K6.5.** The BDs must specify the payment schedule and this should recognize the realities of the publishing industry's supply process and cash flow requirements. If this is not done, qualified bidders may be discouraged from bidding or be forced to take short-cuts which would have adverse impact on quality. Contracts for publishing and printing services and off-the-shelf book contracts do not usually require advance payments and in such cases bidders should be paid within 30 days of delivery.
- K6.6.** Qualified bidders with cash flow difficulties, however often need advance payments, particularly to assist with pre-production costs, such as for paper. The Bank thus recommends an advance of between 10% and 25% of the contract price against an advance payment bank guarantee (valid until acceptance of the procured textbook).

¹⁷ The World Bank's SBDs for Procurement of Textbooks, ITB Clause 15 provides detailed instructions on bid securities.

- K6.7. The Bank also allows Borrowers to make advance payments for publishing services contracts, where the successful bidder must incur considerable costs during the title development phase which can last more than six months prior to delivery of the finished books. An advance of 25% of the contract price on signing of the contract, against a bank guarantee for the equivalent amount valid until the books are accepted would be reasonable for pre-press and development contracts. Provision should be made in the payment schedule for the PE to be credited or reimbursed for shortages and any misprinted or misbound books on delivery.
- K6.8. The Bank recommends that payment schedules be established (in Line 10 of the GCC Data Sheet when Bank SBDs are used) in the following manner:
- (a) Advance payment: 10% to 25% depending on the amount of initial investment required to perform the contract (against a bank guarantee of an equivalent amount);
 - (b) On shipment: 65% to 80% against receipt of documents; and
 - (c) Receipt of the textbooks: 10%

Evaluation Process

- K6.9. The key factors that must be considered when evaluating bids for textbooks to assess whether they fit the educational, budget and other requirements of the PE vary enormously. The Bank thus recommends the use of the merit point system to evaluate bids in textbook procurement using technical and commercial criteria¹⁸ specified in the ITB of the BD. Both technical and commercial scores should be assessed for all responsive bids, and each of the bids given a pre-determined weight. The award is then made to the bidder receiving the highest total number of points. Some of the relevant criteria include:
- (a) Bidders' Qualification and Capacity -10 to 15 points
 - (b) Compliance with Educational Objectives -10 to 15 points
 - Conformity to Curriculum
 - Pedagogical/Methodological Suitability - Is the text "teacher friendly" or "pupil friendly" bearing in mind the level of local teacher training and capability?
 - Support for Teachers - Does a Teacher's Manual exist and is it relevant?
 - Supporting Pupil Materials - Do supporting materials such as work books or posters exist and are they relevant?
 - Language Levels - Is language grading required? If not, is the usage suitable in vocabulary structure, usage and interest?
 - Sociological Relevance - Are texts too urban-biased? Do they contain examples and illustrations that are familiar/ relevant

¹⁸ The World Bank's SBD for Procurement of Textbooks, ITB Clause 26.3 outlines the factors and scoring systems that are recommended.

(unfamiliar/irrelevant) to pupils? (This is a very important concern at the primary level, but is less important in advanced grades.)

- Regional relevance - Do the texts have appropriate geographical relevance?
- Content - Is it interesting? Is the quantity of information sufficient? Is there too much? It is factually correct? At the right level? Properly sequenced?
- Internal Organization - Is the balance between fact, concept, illustration of concept, individual/group/class activities, exercise materials etc., good? Is there a consistent, internal logic to the organization of material which assists and interacts teacher and pupils?

(c) Presentation -5 to 10 points

- Format - Is it suitable to local conditions?
- Illustrations - Are they well drawn/photographed/reproduced? Are they interesting and attractive? Are they decorative or useful? Do they inform, illustrate? Are they sufficient? Are they in the right place? Are they accurate?
- Text - Is the type face large enough, readable? Is text well designed or laid out?
- Headlines and Captions - Are they logical, consistent, useful, accurate?
- Content List and Index - Are they useful?
- Reproductive Quality - Is there a good register? This is very important with color. How good are the opacity and paper see-through characteristics? What is the quality and consistency of printing and folding?

(d) Price - 60 to 75 points¹⁹.

Submission of Samples to Illustrate Quality

K6.10. Bank policy requires Bidders to submit work samples and production schedules to demonstrate their ability to meet the requirements of the technical specifications²⁰. Samples can also be used to evaluate the quality of the textbooks offered in a bid or to verify that the bidder understands the contract requirements and is likely to be able to perform successfully. (Refer to SBD for Procurement of Textbooks, ITB Clause 14.3) Sample adaptations must be submitted in a language acceptable to the Borrower's staff, who may not have the ability to evaluate textbooks in their original language.

K6.11. Sample submissions may include one or more of the following:

- Dummy - This is a fully made up book consisting of blank pages which is used to illustrate the format, length, text and cover paper quality,

¹⁹ The World Bank's SBD for Procurement of Textbooks, ITB Clauses 11 and 26.

²⁰ The World Bank's SBD for Procurement of Textbooks, ITB Clause 14.3.

binding style and finish of a book and demonstrate conformity to the specifications. If it is to be kept as a standard of comparison with the actual books delivered, the dummy should be signed and stamped by the bidder on the cover and on at least one text page.

- Printed Section - This is a printed, folded, cut and trimmed section of pages, which have been type-set, illustrated, designed, laid-out, filmed and printed for the purpose of demonstrating page presentation, visual impact and internal organization of the text and scope and sequence. These sections can be very expensive to produce as part of a bid if four color illustration and printing are required. Most bidders would therefore prefer to submit a 4-page section. An 8-page section should not be required unless absolutely essential.
- Design Rough - This consists of a designer's free hand visual representation of the final page appearance. It may be used as an alternative to a printed section as it is much cheaper to prepare.
- Paste Up or Mock Up - This alternative to a printed section consists of pasted artwork and mock text to represent the final page appearance. If an accurate interpretation or reduction of the page is required, a printed section should be specified but kept to four pages wherever possible to avoid unnecessary cost being incurred by unsuccessful bidders.

Affordability and Price Control

- K6.12. In many Borrower countries, affordability is a key issue. A ceiling price per textbook may be established in such instances to make certain that the final textbook falls within the PE's budgeted limits of affordability. Revealing the ceiling price to bidders, however, tends to limit price competition; and may also affect quality. Therefore, ceiling prices should not be included in the BDs, but the prices quoted should be compared with the ceiling price in the evaluation and if a substantial difference exists between the lowest evaluated bidder's price and the ceiling price, that bid can be rejected on those grounds and new bids invited based on revised specifications.

Contract Supervision

- K6.13. Contract supervision by PEs should be carefully executed to identify and correct minor problems and thus prevent them from growing into major disputes. The Bank's Procurement Policy provides for the institutional capacity of PEs to supervise bidding and contract performance to be assessed, thus allowing for mitigation measures and action plans to be established and incorporated into the project at the outset. Staff in the PE should respect the rights and obligations of both parties to the contract, and where necessary should be trained in contract management and administration matters to ensure successful contract performance.

K7. Procurement of Pre-selected Off-The-Shelf Titles

- K7.1.** There are two possible approaches open to the Borrower in off-the-shelf procurement of textbooks:
- (a) Centralized - This involves pre-selection by the PE of a single title (or titles) for supply to all schools; and
 - (b) Decentralized - This approach involves the pre-selection of multiple titles for a “short list or “approved list” of title from which schools or school districts can select.
- K7.2.** The Bank sometimes finances large scale procurement of a single title off-the-shelf textbooks on the basis of direct contracting, but this is not the preferable method of procurement, since it does not ensure economic prices. Title selection should be conducted on the basis of a competitive evaluation procedure. When multiple choice selections are made to create a shortlist from which schools can select, the procurement process is more complex at the time of selection since it is not known which titles will be selected, and in what quantities. Prices depend on sales and varies depending on demand.
- K7.3.** If the “short-list” strategy is used, the contract must incorporate suitably clear payment provisions based on one of the following three approaches:
- (a) The PE collects orders from individual schools, orders the quantities needed from the successful bidder, and makes direct payment;
 - (b) The PE gives schools a budget allocation and schools buy (and pay) directly from (to) the successful bidder; or
 - (c) Schools order directly from the successful bidder but send the bills to the PE for payment.
- K7.4.** In paragraph 85 (a) and (c) above, the PE pays publishers directly and has the ability to calculate sales quantities for each title. Price provisions in BDs for such cases should incorporate a sliding scale for prices, so that potential economies of scale are realized. The contract price would be the price for the quantities actually sold. The evaluation of bids, however would be conducted using the average of the price quoted for the different likely quantities to be purchases as estimated by the Borrower. Bidders should be advised that this procedure will be used in the evaluation and actual points given as a result of the estimates must be revealed in the ITB Data Sheet to provide for transparency.
- K7.5.** In the approach described in paragraph (c) {ii} above, the PE provides a budget and is not involved in payments to the successful bidder. In such cases the Bank ends up financing in effect, an incremental operating cost of the PE, not a specific textbook contract
- K7.6.** If pre-selected titles are to be sold commercially and purchased by parents, the selection procedure needs to consider educational suitability, price affordability, marketing and distribution capacity in addition to technical

specifications. If the publisher of a title has no stocking, distribution or delivery base in the area of the PE's school system, such title should not be selected.

Chapter L

Procurement of Medicines & Vaccines

L1. Introduction

L1.1. The procurement of pharmaceuticals, vaccines, contraceptives, food/nutritional supplements and other pharmaceuticals financed by the African Development Bank Group, under health and population projects, has increased substantially in recent years and these goods are essential for improvement of a population's health and well-being. The support provided under these projects ranges from the procurement of pharmaceuticals and vaccines for emergencies such as the 2014 Ebola outbreak in West Africa, through contraceptives for family planning programmes, procurement for AIDS, tuberculosis, leprosy, to maternal and child health (MCH) programmes. In most of the Bank's RMCs the government is the predominant provider of health care and its role and responsibilities are wide ranging including:

- (a) the oversight of the range of products to be available in both the public and private sectors;
- (b) the establishment of standards for, and monitoring of, the quality of health sector goods manufactured in the country or imported;
- (c) the efficient distribution of these products through public health facilities;
- (d) ensuring that appropriate diagnosis, prescribing dispensing and use by consumers takes place; and
- (e) procurement of health sector goods selected for various projects whether financed through government funds, loans or donations.

L1.2. The categories of health sector goods normally procured in Bank-financed health sector projects and programmes are given in Box L1.

Box L1: Health Sector Goods normally procured in Bank-funded Project and Programmes	
Pharmaceuticals	The most common medicines used to treat about ninety percent (90%) of all the causes of morbidity in developing countries are included on the WHO Model Essential Drug List ²¹ , and are often available in generic form. Other pharmaceutical products with specialized uses may also be included in national essential drug lists. These include the following: proprietary pharmaceuticals (newer pharmaceutical products manufactured under patent and often used at the tertiary level of health care); drugs for tropical diseases (used infrequently in most exporting countries but extensively in tropical countries to control major epidemic diseases); pharmaceuticals used for certain rare diseases that therefore have a very limited market; and pharmaceuticals, the consumption of which is small and sporadic in a developing country, primarily because of cost
Biological Products	These biological products include vaccines for universal (child) immunization and products that immunize specific risk groups against specific diseases. Many of these are named in essential drug lists

²¹ WHO Model List of Essential Medicines. 18th List (April) 2013). WHO Medicines Web site <http://www.who.int/medicines/publications/essentialmedicines/en/index.html>.

Contraceptives	Contraceptives take a number of different forms, including pharmaceutical products. Mechanical contraceptives, e.g., condoms and intrauterine devices (IUDs) may be classified as drugs or medical devices and need also to be regulated by the local regulatory agency for quality control. The WHO essential drug list includes hormonal contraceptives, both pill and injection form, copper-bearing intrauterine devices, and condom and diaphragm barrier methods
Nutritional Additives	Nutritional additives are pharmaceutical products, including amino acids and combinations, minerals and electrolytes, miscellaneous nutritional supplements, vitamins and combinations, prenatal, renal, and therapeutic formulations. WHO includes a number of such products in the Model List of Essential Drugs
Medical Equipment	The Bank primarily supports the financing of capital—mechanical, electronic, diagnostic, and life-support products—as opposed to consumable medical equipment. The range of available equipment is extensive, but guidelines on the type of standard equipment that should be on site at primary, secondary, and tertiary facilities have been drafted on behalf of the Bank. TMs may refer to these “Standard Equipment Lists ²² ” as the basis for discussion with Borrowers on the acceptability of medical equipment for financing with Bank loans

L1.3. In the case of medicines and vaccines, timely and cost effective procurement enhances very significantly the outcome of a project or programme and therefore the value of risk-based assessments leading to specific custom made or otherwise FfP procurement cannot be overemphasized. This can be achieved through competent implementation of procurement procedures, which comply with Bank regulations, combined with careful packaging and attention to a number of areas that influence the environment for procurement activities in the Borrower country, all geared towards achieving VfM. The TM, PS and PAS must ensure that the Borrower’s team designing and carrying out the project are adequately staffed and fully conversant with these procedures to ensure successful implementation.

L1.4. Bank project experience has shown that the objectives of procurement of health sector goods are successfully met when procurement is broadly defined from needs assessment to contract performance and user management and thus careful attention is paid to these broader set of activities. In terms of an overview, the procurement process commences with informed determination of the most suitable items to obtain for the health system based upon identification of the system’s needs, followed by procurement, and then distribution (or allocation, in the case of medical equipment) of the products to the dispensing and subsequent rational use by the consumer. Such steps are incorporated in Figure 1 and they include:

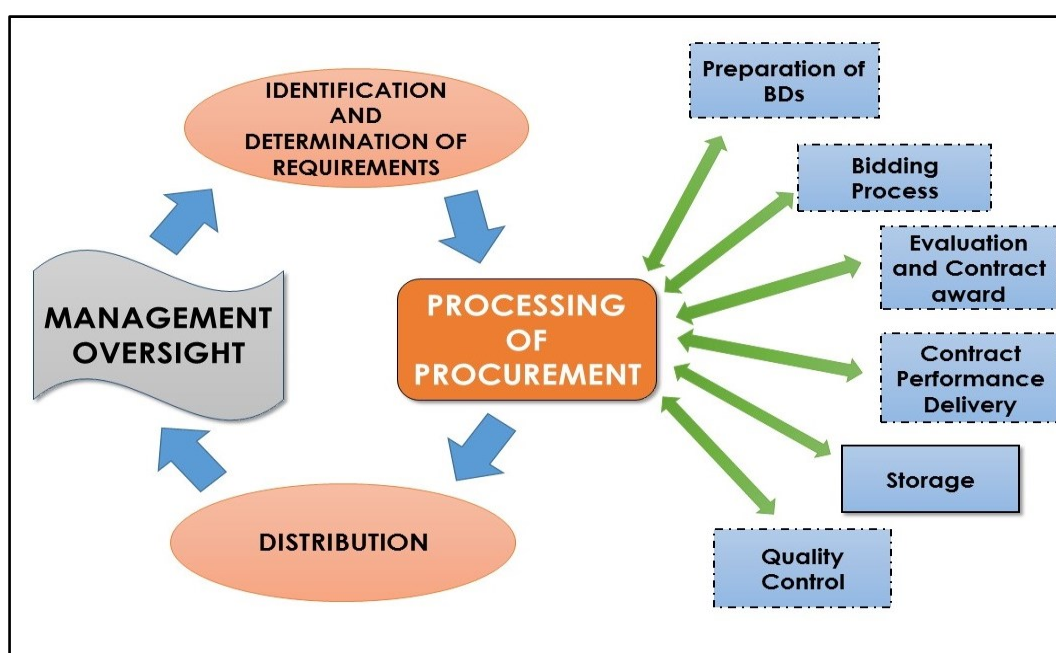
- (a) Careful assessment of user needs, identification, selection and specification of the health sector goods required;
- (b) Planning and execution of the procurement process including preparation of the procurement plan, BDs, executing the bidding process, evaluation and award of contract;

²² Guidelines on Standard Equipment Lists. Prepared by the World Bank.

- (c) Contract performance incorporating appropriate delivery;
- (d) Storage within the recipient health system;
- (e) Stringent monitoring and assurance of quality through inspection and product testing; and
- (f) Transparent, fair, and cost effective management oversight.

L1.5. Underlying the whole process is the Borrower's national legislative and regulatory framework, its operational characteristics, and control parameters which must be assessed before and any identified gaps mitigated (BCPA) in order to ensure success in project execution.

Figure L1: The Procurement Process for Pharmaceuticals and Vaccines



L2. National Drug Policies

L2.1. National policies on medicines, vaccines, contraceptives, food supplements and medical equipment address broad issues relating to acquisition and use in the country and they provide a legislative and regulatory setting within which appropriate decisions about the procurement characteristics of Health Sector Goods are made and carried out. Officially adopted policies need to be comprehensive and are likely to contain health-related goals such as:

- (a) Improving the access of the whole population to essential drugs;
- (b) Ensuring safety, efficacy, and drug quality, and promoting rational prescribing;
- (c) Dispensing, and use of medicines; and

- (d) Economic and national development aims. Economic goals generally include lowering the cost of drugs, control of foreign exchange expenditures, and the provision of employment in pharmaceutical supply.

L2.2. Establishing a national drug policy that oversees the procurement process, correctly identifies key problem areas and monitors and enforces related legislation requires strong Borrower government commitment. The components of a national drug policy depend on the Borrower's situation and includes the following areas:

- (a) A legislative and regulatory framework;
- (b) Sound principles of drug and vaccine selection;
- (c) Supply and rational use of drugs;
- (d) Economic strategies for provision of pharmaceutical products in the public and private sectors;
- (e) Development of human resources; and
- (f) Clear oversight, monitoring and evaluation roles.

L2.3. Even though it is essential that such policies should be in place for procurement and eventual distribution of the goods in question to be successful, the development of these policies may take a long time and procurement should not be delayed while awaiting a comprehensive policy. Where such a framework is not in place the TM/PS/PAS should make arrangements for technical assistance to be provided to the Borrower to develop such a policy and to build the EA's capacity to carry out procurement. In the meantime, the TM/PS/PAS should assist the Borrower to include measures to mitigate the quality and other risks created as a result of the lack of policy. Pending the establishment of the policy, internationally accepted instruments such as the World Health Organization (WHO) Model List of Essential Drugs may be used. Acceptable measures to mitigate risks caused by the lack of a policy should also be included in the project. The procurement of health sector goods financed by Bank loans and grants are supported in the following two key areas by the establishment of a national drug policy:

- (a) Development of a national essential drug list within the drug policy facilitates the selection of appropriate health sector goods; and
- (b) Establishment of a regulatory system ensures that goods of appropriate quality are procured.

L2.4. A national policy for vaccines used in the immunization processes has the role of managing their importation, ensuring their safety, quality and efficacy. Such policy should include the establishment of a national control authority for biological products, (probably as part of a national drug regulatory body) with responsibility for licensing vaccines for use in the Borrower country and assessing the quality of both locally manufactured and imported vaccines.

Such authority should also monitor vaccines in use and take appropriate action should adverse reactions occur.

L2.5. Family planning policies should initially determine the extent of choice in contraceptive methods to be made available, with many programmes aiming for a broad method mix to meet varying needs of couples wishing to space or prevent pregnancies. The cadre of health sector personnel authorized to administer the methods should be set out in the policy. For example, condoms may be distributed by community based workers, while hormonal methods that require a higher level of clinical expertise and IUD and implants should be administered by trained doctors.

L2.6. A national policy on medical equipment for the public sector should aim to ensure that scarce resources are utilized to obtain priority or essential equipment. Such policy should help ensure that:

- (a) Equipment is compatible with expertise in the public sector;
- (b) Equipment is suitable for the facility environment;
- (c) Servicing and maintenance is available for such equipment, and
- (d) Complimentary equipment such as generators and surge protectors, are on site.

L3. Centralized versus Decentralized Procurement

L3.1. Centralized Procurement: The institution to be made responsible for procurement comes up as a major issue affecting the overall success of a health project, but the Bank's interest is in ensuring that the procured of health sector goods reach the population which needs to benefit from their purchase. The end-users of the pharmaceuticals or vaccines, such as the central, state, regional or municipal hospitals, health centres, clinics, public and private pharmacies, usually argue for a decentralized approach which gives them greater control over the process. In some cases however, governments may have an established central purchasing unit. Centralized procurement offers some potential advantages especially in terms of the cost of the goods and in optimally utilizing scarce technically skilled personnel. By bulking the usually small quantities required by each end user, the economies of scale are achieved and each such user benefits from good prices. The responsibility to prepare, process and evaluate competitive procurements, especially international ones, is most likely to reside at the central level. Central procurement also minimizes financial and accounting management requirements of procurement.

L3.2. One potential disadvantage of centralized procurement is that where the purchasing agency's control over the distribution chain is weak and coordination between it and the ultimate purchasers is poor, products may not be available to the end-user in a timely and efficient manner. This can however be overcome through good communication on needs (products and

quantities) and efficient distribution. The use of a private sector distribution or logistics agent may also have advantages and could be considered.

L3.3. If procurement is to be handled by a central procuring entity (CPE), it must interact with end-users during the preparation of BDs including Technical Specifications, to ensure that the right pharmaceuticals and vaccines in adequate quantities are ordered. The CPE must carefully coordinate the initial needs assessment to ensure that end-users' needs and requirements are clearly understood and captured and also that in the final distribution to these end-users, quick delivery is guaranteed and that there is a minimum of loss in transit through exposure to high temperatures, light and moisture.

L3.4. While centralized procurement should be limited to the large consumption medicines, vaccines and food supplements that are on the government's central drug list, the end-users should be allowed to purchase other items not on the essential drug list, emergency supplies or items needed in small numbers which are usually available from local sources. Any weakness in the pharmaceutical or vaccine supply and distribution system should be addressed during preparation and appraisal of each project providing financing for such items.

L3.5. The Bank recommends that centralized procurement should be used for large fixed-quantity purchases of pharmaceuticals and nutritional supplements and it should also be used for procurement of vaccines and contraceptives as there are limited numbers of reliable manufacturers. Medical equipment should also be procured centrally:

- (a) In order to take advantage of multiple unit purchases;
- (b) Because the expertise to procure specialized capital medical equipment is unlikely to be available at lower levels in the system; or
- (c) Because it renders maintenance easy in a cost effective way at lower administrative levels of the health system.

L3.6. Decentralize Procurement: Some aspects of procurement can easily be decentralized such as for cases where estimated quantity supply contracts are feasible and preferable under framework-type agreements. In such cases the EA conducts OCB to establish an initial list of prequalified suppliers based on estimated order volume in the first stage, and orders are placed in the second stage based on actual needs throughout the contract period (see paragraph 46). Decentralized procurement also offers an opportunity for capacity building of the procurement capabilities of the regional organizations and other administrative bodies in the lower level. Procurement by lower administrative levels is suitable in the following cases:

- (a) products that are available from a number of national suppliers;
- (b) for products for which only a small quantity is needed; or
- (c) items not contained on the national essential drug list.

L3.7. On the other hand, decentralization has the following disadvantages:

- (a) staff at lower levels may possess less expertise in quantification and quality assurance than at the central level;
- (b) the availability of staff dedicated to the procurement function to manage and monitor physical and financial activities may be limited; and
- (c) decentralized procurement may also be costly to the Bank as it has to finance technical assistance where the regional agency lacks procurement capacity. • for emergency requirements;

L3.8. A range of decentralized options exist short of allowing or expecting lower level health facilities (or even users) to manage all aspects of procurement. For example, ordering of products might be managed centrally, while district offices or hospitals could order health sector goods from the suppliers previously selected through a centrally managed bid process. Distribution could be contracted out to an autonomous agency or a prime vendor following a centrally managed process that would set the price.

L3.9. For each project or programme, the issue of centralized versus decentralized procurement must be resolved early in the project or programme cycle and it is the responsibility of the TM/PS/PAS during the EA's procurement capacity assessment (paragraph 21), to ensure that all the necessary factors are taken into consideration for an informed decision to be made.

L4. Assessment of Borrower's Procurement Capacity

L4.1. The TM/PAS assisted by the PS should carry out a thorough analysis of the Borrower's public and private pharmaceutical/medical supply sector, before designing the procurement scheme for a project financed by the Bank. The assessment should examine the national pharmaceutical market, the structure, capacity and functionality of public and private drug supply systems and the political context of procurement. Many Borrower countries are adopting alternative frameworks for drug supply management as practice has revealed that the public sector has been unable to manage such supply. Some of the models that have been developed as alternatives to centralized management of procurement of health sector goods include:

- (a) Traditional central medical stores -- where procurement is managed by a central government agency that is part of the Ministry of Health. However, some aspects of supply such as transportation is contracted out;
- (b) Autonomous supply agencies, whereby a central store is managed by an autonomous agency reporting to the government or by a private firm under contract;
- (c) Decentralized procurement with orders to suppliers placed by regional district or local facilities followed by direct delivery to the ordering agency by the supplier. Under this system procurement is managed centrally, regionally or locally;

- (d) “prime-vendor” systems, with many variations in which one agency (again at central, regional, or local level) bids and contracts with any number of suppliers of drugs on the price of drugs. A separate bid and contract is estimated with a single distributor -- the prime vendor, to manage some or all aspects of logistics. The suppliers then deliver to the prime vendor for distribution; and
 - (e) fully private supply systems in which health services and drug/commodity supply are provided by private providers (for profit or NGO). The Borrower may or may not take responsibility for paying private providers for care to certain categories of patients.
- L4.2. The team carrying out the assessment and options analysis should have at least one expert in drug/health commodity supply sector and the work should be structured to achieve necessary information objectives. The TM/PS/PAS should consider with the Borrower both the existing systems and potential alternatives which may be developed and implemented with Bank support.
- L4.3. The capacity of the Procuring Entity (PE) designated to carry out procurement must also be examined in order that appropriate support and technical assistance can be included in the project. The PE should have the capacity to implement local registration procedures and monitor good manufacturing practices (GMP). In Borrower countries where the FDRA are weak and lack the ability to exercise adequate control, the TM/PS/PAS should make arrangements to strengthen the capability of the local FDRA to monitor and control quality. Arrangements may also be made for monitoring and inspection of shipments by another qualified independent regulatory and testing agency acceptable to the Borrower and the Bank, as a condition of the financing. An alternative for small value procurements would be for Borrowers to utilize the procurement expertise of a qualified, reputable UN Organization /Agency or NGO.
- L4.4. The review should also include determination of the acceptability of the Borrower’s drug registration process. Where it is found to be inadequate or inefficient, steps must be taken to improve the registration process so that it does not impede the effectiveness of the competitive bidding process by deterring potential bidders. Where local quality control systems are judged inadequate, this should also be highlighted.
- L4.5. On the whole, mitigation measures must be proposed for all the deficiencies identified and these should be included in the EA’s procurement capacity development action plan. Consideration should be given to financing capacity development including technical assistance to improve the situation in the Borrower country, either as a part of the project or through an alternative grant mechanism. Details on assessment of the capacity and performance of Borrowers EA’s under Bank-financed projects are given in Part II of the Methodology.

L5. Procurement Packaging and Scheduling

- L5.1. Bid Packaging and Scheduling:** In the procurement of pharmaceuticals and vaccines, it is difficult to develop well defined bid packages using a standard classification based solely on therapeutic or product categories that will generate maximum competition, due to the peculiar nature of drugs. The only exception may be large volume transfusions. This is because pharmaceutical manufacturers generally either produce non-sterile products, or a mixture of both for a limited group of pharmaceuticals in a particular therapeutic range. Different manufacturers may elect to prepare specific products in different dosage forms, and it is unlikely that a single manufacturer would be able or willing to bid on the complete range of items in a procurement of a large volume of health sector goods. Participation in procurement may thus be limited to merchant exporters, shippers and wholesalers. However, such suppliers may not be able to provide adequate guarantees of quality and deliver on time because of poor coordination with the manufacturers they represent. It should be noted that international wholesalers such as the International Dispensary Association (IDA) and reputable national wholesalers may provide the only reliable bid for small volume items.
- L5.2.** The Bank discourages packaging of pharmaceutical products into smaller sets for separate bids using therapeutic or product categories because, except for large volume infusions, such packaging restricts bidding by reputable manufacturers and limits competition. Manufacturers usually specialize in particular pharmaceutical forms – solutions or tablets; and therefore, packaging should be based on form in order to improve competition. For packaging to be useful, it is essential that the bidder provide a quotation for all items listed in the package. If prices are not quoted for all items, a bid should be considered as non-responsive and rejected.
- L5.3.** Departure from this policy is however accepted in cases where only a few suppliers can quote for all items being procured, and consequently packaging becomes difficult. In these circumstances each bidder should be allowed to submit partial bids covering only the items they or their principals' manufacture, and the evaluation should be done on a per item basis. To make the evaluation process more efficient, BDs should require that, a bid for less than the full requirement for a single item should be rejected as non-responsive. Bidders could also be expected to bid for a specified percentage of the required goods. In special circumstances however, the Borrower may split bid awards for individual products. BDs must contain information about any such constraints and the possibilities including the proposed criteria and procedures for evaluation, in order that potential bidders are aware of these circumstances in advance.
- L5.4.** Bidders should be required to adhere to the delivery schedules specified in the BDs in order to maximize the remaining shelf life of health sector goods after deliver. Whenever possible, phased deliveries should be allowed with the quantity covered by each partial shipment geared to the capacity and logistics system in the country and the estimated rate of consumption by the final user.

- L5.5.** Drug Kits: Drug kits may be formed by putting together a number of products in predetermined quantities for specific types of health care facilities. The kits can either be assembled by the supplier or may be centrally done within the health system. The procurement of drug kits requires an individual approach depending on the country context. The basic options include:
- (a) Purchase of pre-packaged kits on open bid from local and/or international suppliers;
 - (b) Contracting a local company to pack the kits using drugs purchases separately through local or international bidding processes; and
 - (c) Setting up kit packaging at national or regional medical stores using separately purchased products.
- L5.6.** Because individual manufacturers of pharmaceuticals are unlikely to respond to invitations to bid for supply of drug kits, unless they produce the majority of the items constituting the kit, this can lead to less competition and increased costs. Kit procurement is thus usually undertaken by intermediary agencies which purchase drugs and package them according to predetermined specifications. International suppliers usually add three to five percent of the cost of the drugs to cover their packaging and related activities.

Essential Drug Lists

- L5.7. Pharmaceuticals:** There are as many as fifty to a hundred brand names in the market, for a single chemical entity (i.e. “basis drug” according to INN or generic chemical terminology), from as many manufacturers. In addition, there are many similar pharmaceuticals or vaccines with only minor variations in any distinct therapeutic group. A number of new products frequently come on the market with only minor variations in therapeutic effectiveness, but at a much higher price. Due to intense competition in the market, there is extreme pressure on buyers to recommend inclusion of new brand name products in the various approved Essential Drug List (EDL) in the country of use. This makes the job of selection, evaluation and inventory management extremely difficult and results in the procurement of items that often become obsolete and have to be disposed of resulting in a net loss in the system. To address this issue many developed country public and private sector hospitals and teaching institutions have designed a hospital formulary for the procurement of pharmaceuticals and vaccines, and dispense items only from that list. Anything outside the list has to be bought and paid for by the patient.
- L5.8.** An EDL or a national formulary for public sector procurement, have been developed and adopted by developing countries using the WHO essential drug list as a model. These lists generally include the most commonly needed pharmaceuticals and vaccines to treat majority of problems seen at public sector facilities. Public sector procurement is limited to the essential drug list or national formulary and any items outside the list are procured only in emergencies. Such essential drug lists have been adopted by Ghana, Nigeria, Kenya, Botswana, Lesotho, Bangladesh, Sri Lanka, Mexico, Peru

and others. It is to be noted that the WHO Essential Drug List is only a recommended model to help countries to develop their own list based on country - specific morbidity patterns.

L5.9. Vaccines: Vaccines are broadly divided into those used for universal immunization to prevent illness in children and those to protect against diseases that affect specific groups or geographical areas. Consequently most countries use about six different vaccines in their immunization program. The choice of international manufacturers for each vaccine is restricted (and is often only a single company). Selection of the vaccine is made easier by the inclusion of relevant vaccines on the country's essential drug list, with review as the formulary or EDL.

L5.10. Contraceptives: The inclusion of hormonal contraceptives and condoms in national EDLs was proposed by the WHO in the late 1980s. A number of countries have thus revised their national EDL to reflect this. The selection of contraceptives is guided by the policy decisions of reproductive health department authorities on the methods of contraception to be offered in public health facilities. Once a range of contraceptive methods has been determined, selection decisions differ according to the method.

L6. Product Registration and Marketing Authorization

L6.1. Product Registration: It is the Bank's policy that Bidders should not be required to register their pharmaceuticals and vaccines to be procured in advance of bidding as this potentially limits competition. For most bidders, undertaking the expensive and time consuming registration process would not be justified given the uncertainty of success in the OCB process. Making registration a pre-condition to bid on Bank-financed procurement would in effect force every primary manufacturer to register all products of potential interest in all Bank member countries. This is unreasonable, since post-qualifying bidders based on their experience and quality control facilities if undertaken carefully and well, serves virtually the same purpose as registration. The Bank therefore recommends that registration be accepted only as a condition of contract award, not bidding.

L6.2. The Bank in its ongoing dialogue with Borrowers encourages them to establish a fast-track registration process which would automatically register new medicines or vaccines offered by successful bidders on payment of a reasonable fee, if, for statutory reasons, registration is necessary before drugs are allowed entry. This is provided the documentation and samples submitted as part of the bid, confirm that they meet all the qualification criteria established in the bidding documents including proof of registration and approval in the country of origin. To expedite the registration process, registration forms could be included in each set of BDs and bidders encouraged to apply even before the bidder awarded the contract is known.

- L6.3.** Fast-track registration could also be accomplished by the regulatory authority of the borrowing country establishing a policy or regulation that allows registration of a product through confirmatory evidence that the product is registered in another country for importation and use. In this case the Borrower will need to establish that the selected country or trade group had in place proper and appropriate standards and procedures to assess the quality of the goods. If however registration is unreasonably denied to a qualified bidder, the contract should not be financed by the Bank.
- L6.4. Importation Issues:** Borrowers must ensure that the importation of health sector goods is smooth and rapid and that the goods are quickly made available to the distribution system and the end-user. This will also minimize the opportunity for the goods to age, be damaged, or be mislaid at the ports. Delay in importation shortens the shelf life of the health sector goods and may also result in damage due to climatic extremes. The latter can be managed by proper storage of the pharmaceutical during the process of importation.
- L6.5.** The BD must specify the requirements and steps for importation and these should be put in place before the procurement process begins, to facilitate the efficient transfer of goods from the port of arrival to the EA's warehouse and distribution system. This system should also be reviewed during the assessment of the EA's capacity and performance to ensure its efficiency. Where measures are required to bring the quality of the system up to a minimum acceptable level, the following issues should be addressed:
- (a) Do the laws in the Borrower country allow for the importation of the products in the project procurement list;
 - (b) What are the procedures and time lines for obtaining import licenses;
 - (c) Who pays import duties and what is the timeline for the payment process;
 - (d) Are there exemptions to import duties?
 - (e) What documents are necessary for importation clearance;
 - (f) What is the rate and initiation of demurrage charges;
 - (g) Are there special handling requirements for products (e.g. refrigerated storage for vaccines);
 - (h) Is there in-house clearing or do bidders have to employ a clearing agent; and
 - (i) Is the customs storage capacity adequate, secure, and suitable for safeguarding product quality, including the presence of refrigeration facilities?
- L6.6.** The Bank recommends that the provisions of the WHO 67, which provide that for public health reasons pharmaceutical goods should not be treated in the same way as ordinary commodities, be adhered to. Importation should be

undertaken by licensed agencies and in line with national drug policy regulations and enforced by the national drug regulation authority.

L7. Procurement Methods

- L7.1. Prequalification Versus Postqualification:** The objective of both pre- and post-qualification is to assist to eliminate suppliers with substandard qualifications, capacity and reliability. Prequalification evaluates supplier capacity, before bids are solicited for specific products, based on documentation of product quality, previous procurement history, litigation track record and other customer references²³. Substantial time and effort may be required to establish an initial list of prequalified suppliers, especially if a policy is in place to prequalify suppliers separately for each product (drug, vaccine, etc.). But since only appropriately registered suppliers may then participate in the bidding process, the benefit is that the lowest bidder for each product is deemed to be qualified thus expediting evaluation and contract award. The concern that suitably reliable suppliers may be excluded from lists of prequalified bidders if the process is administered unfairly, can be eliminated if the prequalification criteria are clearly specified and approved by the Bank, and the procedures are fully and consistently applied to all candidate suppliers.
- L7.2.** The Bank supports prequalification because this contributes significantly to the purchase of high quality products while maintaining the competitive nature of the procurement process. Should the procurement capacity of the EA be inadequate to satisfactorily undertake the prequalification of suppliers, the borrower may contract for the assistance of outside consultants or international agencies such as UNICEF to carry out the prequalification while it develops its own capacity. Such assistance, which could be financed by a grant, must also include measures to strengthen the borrower's capacity to undertake prequalification for future projects.
- L7.3.** Bank recommends that the Borrower should carry out prequalification early in the project before price considerations are introduced in order to allow concentration on other important issues. The Bank considers it more efficient to carry out a broad prequalification for all the Health Sector goods to be procured at the beginning of a project. The resulting list of prequalified bidders would be updated every two or three years or so.
- L7.4.** Frameworks-type agreements may be established in which the first stage could be based on OCB conducted through prequalification to establish an initial list with subsequent solicitation of bids only from suppliers who have been prequalified. In such cases, the EA should continually assess the market to seek out potential new suppliers in order to maintain competitive pressure on established suppliers. Suppliers need not be prequalified for

²³ The Bank's "Standard Prequalification Document for Procurement of Works" may be customised for prequalification of pharmaceuticals and vaccines.

each contract, but once a prequalified status is achieved, the supplier remains prequalified for a period of two or more years. This status may be reviewed however, for example if there were product recalls or non-compliance with awarded contracts. The Bank recommends that the Borrower should undertake such a review as a matter of course every three years. Suppliers who did not prequalify at the outset of the project should be allowed to apply for prequalification again at a later stage in the project's life.

- L7.5.** The Bank recommends pre-qualification to be undertaken for vaccines to assure the quality and acceptability of the product as well as the supplier. The suggested procedure for prequalification is through licensing of the vaccine by the Borrower country's regulatory body. The end result is a list of vaccines (from specific manufacturers and with specific technical attributes) which are acceptable and safe to procure. Where the Borrower's national regulatory body does not have sufficient capacity to carry out prequalification, the Borrower can relay on vaccine suppliers prequalified "in principle" by WHO, or by obtaining a Statement of Known Quality from WHO, or by selecting vaccines manufactured and licensed in countries with strong, competent regulatory bodies.
- L7.6.** Post-qualification is where the supplier qualification exercise is carried out after bids are submitted in response to an open bid process, commencing with the supplier submitting the lowest evaluated bid. The process is similar to that for prequalification, with supplier(s) being assessed with respect to registration status, previous performance, product quality and litigation history. Only if the apparent lowest evaluated bidder lacks acceptable qualification would more than one post-qualification have to be carried out. Should delays in post-qualification occur, however, following the bid opening, it may be necessary to re-confirm prices, or even require re-bidding, before finalizing the contract. The bid validity period should therefore be deliberately set to allow adequate time for postqualification. Providing clear, internationally accepted standards and requirements at the outset makes the process easier.
- L7.7. Open Competitive Bidding (OCB):** OCB procedures may be undertaken at international or national level. International OCB should be used for the procurement of all essential medicines and vaccines not covered by patents such as those included in the WHO essential drug list, provided the value of the proposed package is more than UA 200,000. Generally to be attractive to foreign bidders international OCB procurements must have a relatively large value.
- L7.8.** National OCB is the appropriate method of procurement for almost all galenicals, and for small volume purchases of essential pharmaceuticals of value less than UA 200,000, provided they are available from a number of qualified local manufacturers or their authorized agents. Even when OCB is used under NPP, the BDs should incorporate strict quality controls established by the Borrower country's FDRA²⁴.

²⁴ Food and Drug Reactions and Anaphylaxis.

- L7.9. Limited / Restricted Competitive Bidding (LCB):** Limited Competitive Bidding at the international level is appropriate for vaccines and special pharmaceuticals, such as neoplastics and contraceptives, regardless of value, where a few manufacturers control the entire world production. The TM/PS/PAS should check to ensure that the LCB short - list proposed by the Borrower includes all qualified manufacturers including national manufacturers, provided they are approved by the national FDRA.
- L7.10. Shopping or Request for Quotations (RFQ):** Normally the shopping or Request for Quotations (RFQ) method of procurement should be limited to smaller size contracts of value less than UA 100,000 and when there are a limited number of suppliers, whether at the international or national level. It would be acceptable for a few specialized galenicals, proprietary, orphan, special tropical disease pharmaceuticals and vaccines, injectable contraceptives and, to some extent, oral contraceptives. TM/PS/PAS should note that for some of the tropical disease pharmaceuticals or vaccines, special prices are fixed in consultation with the WHO. For products with a very limited shelf life, for example twelve months or less, or for sporadic or seasonal use, shopping is recommended regardless of potential contract size. To ensure competitive prices, it is recommended that the Borrower should solicit quotations from at least three suppliers at the national level and two at the international level.
- L7.11. Direct Contracting:** Direct contracting would only be acceptable for pharmaceuticals or vaccines that are available from only one source and it is the least favored method of procurement since there is no competition, and therefore no measure by which one can determine whether the prices quoted are economic and reasonable. Bank financing of these items should therefore be minimized during project design. Borrowers and their EAs should plan their negotiating strategy very carefully using historic prices received and the drug price bulletins issued periodically by UNICEF, the Market News Service, Management Sciences for Health (MSH) and similar information sources available from WHO and UNFPA to determine the reasonableness of the price offered from the single supplier. With few exceptions, the prices given in these publications for pharmaceuticals, vaccines and raw material reflect the best prices available in the markets one of which are fixed in consultation with the WHO or the UNFPA which closely monitor them. It is the responsibility of the TM/PS/PAS to also closely monitor these sources and to conduct independent checks, while reviewing Borrowers' actions and decisions as regards direct contracting, to ensure value for money is achieved.
- L7.12. Procurement from United Nations Sources or Other Agencies:** The Bank allows procurement of pharmaceuticals, vaccines and nutritional supplements directly from established United Nations Organizations such as UNICEF and nonprofit organizations such as IDA or the Equipment for Charitable Hospitals Overseas (ECHO) in cases of emergencies resulting from famine, floods, wars, the influx of refugees and epidemics, poor planning or foreign exchange scarcity. These situations demand the immediate

procurement of these goods in order to effect deliveries in the shortest possible time. On the other hand, these Organizations procure and stock common essential items for supply to their own constituents and can therefore supply limited quantities to others quickly on request. Bank policy requires that the total amount of procurement directly from these Organizations should remain small i.e. for procurement of pharmaceuticals valued less than UA 5 million for the UN Organizations and UA 250,000 for NGOs Procurement from UN Organizations and other sources shall be conducted in accordance with Section 4 of this OPM. The Bank only allows such procurement when OCB cannot be used.

L7.13. Use of Procurement Assistance or Agency Services from UN and Other Organizations and Agencies: UN Organizations or Agencies or private firms with experience in health sector goods procurement can be hired to provide procurement consultancy services or to act as procurement agents on behalf of Borrowers in Bank financed projects. The Bank recommends that such agencies conduct procurement according to its procurement procedures set out in the FA. Selection of such UN Organizations and NGO's as consultants should be carried out in accordance with the Procurement Policy and as detailed in Section 4 of this OPM.

L7.14. Since UN Organizations are not profit oriented bodies, and therefore in competing with others the commercial advantages they have must be neutralized by the Borrower through the use of the Quality Based Selection Process. If a UN Organization is the lowest evaluated bidder, the Bank permits the use of a different contract format than the one stipulated for private firms, the standard contract for consulting services. In case of single source selection, the justification for exclusive use of UN Organizations must meet the same criteria applied to any other consulting firm. In general however, the Bank allows UN agencies to procure certain items or services that they are experienced in procuring for their own operations and where Borrower is not equipped to handle the process efficiently on its own.

L8. Special Features of Pharmaceuticals and Vaccines

L8.1. Stability: A stable pharmaceutical or vaccine is considered to be one which retains the physical, chemical, microbiological, therapeutic and toxicological characteristics required in the Technical Specifications for a designated period or "shelf life". An assurance to this effect has to be provided by the manufacturer. Stability is affected by adverse conditions during storage and transit. Deterioration may result in a change in chemical, physical or anti - bacterial properties of the medicine and thus have a negative impact on the drug's therapeutic value or result in an increase in toxicity. Deterioration tends to accelerate under hot and humid conditions in most tropical countries. Common essential pharmaceuticals and vaccines withstand tropical conditions fairly well. The EA should clearly specify in the BDs any extreme

environmental conditions that exist in the area of final delivery and use. This must be taken into consideration by potential bidders.

L8.2. Shelf Life: All formulated products are assigned an expiry date beyond which they may not be potent or safe to use and thus “shelf life” is assigned for each individual product based on its stability characteristics. Studies conducted by the manufacturer should be available to the EA on demand and should be duly verified by the FDRA of the bidder’s country. For tropical climates based on simulated conditions and stability evaluation, shelf life would have to be suitably adjusted.

L8.3. Shelf life varies for different product groups and dosage forms but most commonly used pharmaceuticals and vaccines have a shelf life of three to five years from the date of manufacture. Certain products in liquid forms, vaccines, sera, venoms etc., have a shorter shelf life, sometimes only 12 months or less. To ensure maximum shelf life is made available to the Borrower on arrival in the country, the following standard condition should be incorporated in all bidding documents:

“pharmaceuticals and vaccines should have as a minimum, 5/6 of the specified shelf life remaining on arrival at the port of entry”

L8.4. In most countries, printing of the date of manufacture and date of expiry on the label of the primary container and the outer package is mandatory. However, some suppliers taking advantage of lax regulation in Borrower countries do not include this information on the inner and outer package. It should be clearly stipulated in the Technical Specifications that failure to print:

- (a) a description of contents;
- (b) the date of manufacture; and
- (c) the date of expiry on the primary container and the outer package will result in rejection of the drugs upon inspection.

L8.5. Manufacturers are allowed to add additional quantities of active ingredients termed as “overages”, to ensure that the stated power of the active ingredient is available for therapeutic efficiency during the shelf life of the item to compensate for loss of potency since certain products tend to lose potency faster during their shelf life. According to international standards, overages of up to 30% are generally acceptable. However, overages above the permissible limit result in the administration of a higher dose without a physician’s knowledge or supervision and therefore can be hazardous to the health of the patient. The Technical Specifications should clearly specify that all pharmaceuticals and vaccines will conform to compendia standards for “overages” and that items with overages above the permissible ceiling will not be accepted.

L8.6. Special Storage and Transportation Conditions: Most commonly used pharmaceuticals made in the “form” of tablets, capsules, syrups and emulsions are stable, if protected from light and direct heat and stored in well-ventilated places at temperatures below 30 degree centigrade. However,

some items require very special storage and transportation to ensure stability. BDs should require suppliers to maintain the health sector goods in these temperatures to ensure that their shelf life is maintained. Once the goods have been delivered, the Borrower should ensure that the implementing agency and distributors have adequate facilities to ensure that the products are not damaged.

- L8.7.** The storage and transportation conditions required for most pharmaceuticals and vaccines vary considerably, according to the official compendia, and these are given in Box L2. Protection from excessive humidity is also important for most items, although these standards for temperature and humidity may be difficult to achieve in some developing countries.

Box L2: Typical Storage and Transportation Conditions for Pharmaceutical and Vaccines	
The Pharmaceutical or Vaccine	Storage and Transportation Conditions
Common pharmaceuticals, e.g., tablets, capsules, granules, syrups and emulsions	Store in a cool dry place below 30 degrees centigrade. Can withstand transit hazards for short periods
Injectibles, antibiotics, ophthalmic items certain syrups, and sterile ointments	Store in cool room at a temperature of 15 degrees centigrade or below. Delivery in special containerized vehicles
Most vaccines, sera, immunobiologicals	Store at below 8 degrees centigrade. Ship in cold boxes or as cold chamber cargo
Polio and measles vaccines, some toxoids	Store at below -4 degrees centigrade in freezers. Ship only in freeze chambers and transport in refrigerated carriers

- L8.8. Good Manufacturing Practices:** Good Manufacturing Practices (GMP) guidelines stipulate standards for housekeeping, bacterial contamination, quality control and maintenance of manufacturing records. Most countries mandate compliance with GMP standards before issuing new manufacturing licenses and upon routine inspection. Any violation can result in prosecution or suspension of the offender's manufacturing license. Borrowers can obtain an assurance within a reasonable length of time that GMP guidelines are being followed by stipulating that bidders send with their bids, a certificate from the FDRA of their country that the firm's manufacturing premises have been inspected periodically during the past two years and that the bidder has not been accused of any GMP violations. WHO's guidelines for GMP have been adopted as the standard in most countries.

- L8.9. Technical Specifications:** Technical specifications and standards quoted in BDs for pharmaceutical and vaccines should assure their critical performance because lack of clarity and specificity in the Technical Specifications, use of improper dosage forms, strengths and unit packing techniques, failure to define shelf life parameters and imposing unrealistic delivery schedules may lead to the delivery of sub-standard pharmaceuticals or vaccines, incorrect dosage forms or supply of pharmaceuticals with very limited shelf life. This results in costly losses. An essential key to avoiding these problems is for the Borrower's EA to develop appropriate specifications that clearly define:

- (a) *the required standards;*
- (b) *quality control procedures;*
- (c) *packaging and dosage requirements;*
- (d) *minimum acceptable shelf life;*
- (e) *mode of delivery; and*
- (f) *realistic delivery schedules.*

L8.10. Further, the Technical Specifications used in BDs for pharmaceuticals and vaccines assume special significance because of the importance to both quality standard and testing procedures. Fortunately, most items are included in internationally accepted pharmacopoeias such as the British, European, United States, the French VIPAL (commonly used in francophone countries) or International Pharmacopoeias. Certain pharmaceuticals or vaccines which do not appear in the latest editions of these accepted pharmacopoeias are generally included in the British Pharmaceutical Codex (BPC) or the United States Dispensary (USD) which are also internationally accepted compendia. For national manufacturers bidding for potential international OCB contracts, the national pharmacopeial standards are usually acceptable at par with other international compendia. Manufacturers should be given a choice to select any pharmacopeial standard indicated in the Technical Specifications, provided the product is labeled, formulated and tested in accordance with the Technical Specifications and follow the section relating to the specific product in the selected pharmacopoeia. For pharmaceuticals or vaccines not included in any approved compendium, but included in the essential drug list, the manufacturer should be obligated as part of its bid, to provide testing protocols and reference standards. This should be clearly stated in BDs and should be incorporated in the General Conditions of Contract.

L8.11. The Bank recommends that Borrowers should use an appropriately developed and managed national formulary such as an essential drug list that standardizes the list of pharmaceuticals, vaccines and contraceptives, dosage forms and strengths typically needed in the country, as the basis of procurement.

L8.12. For medical equipment the Bank recommends that a standardized format of specifications be adopted consisting of definition of scope of the specifications, applicable industry standards and codes, and the salient characteristics of the equipment.

L8.13. The Bank's Procurement Policy requires, inter alia, that:

- (a) All firms that comply with the Technical Specifications should have the same opportunity in the Borrower's further evaluation of the bid; and
- (b) Specifications should not be changed after bid opening – or during evaluation to suit a particular bidder or to justify award to a particular bidder.

L8.14. Quantification Requirements: It is essential for the Borrower's EA to determine realistically, using the best available information, the quantities of each item to be purchased, following the identification of the pharmaceuticals, vaccines, contraceptives, nutritional supplements and medical equipment to be procured under Bank financing. The quantification exercise should produce an estimation of the financial requirements of the procurement. If available funds are not sufficient, the quantities need to be adjusted, using a rational process. A number of different estimation methodologies can be utilized depending upon the product group and objectives or scope of the project.

L8.15. Pharmaceuticals: The following three prime methodologies are available to determine the quantities of individual drugs required:

- (a) The consumption method: This employs data on past use (adjusted for stock outs and projected changes in drug utilization) to project future needs. This is likely to be the most reliable method provided that the supply pipeline has been consistently full and consumption records accurately kept. One drawback is that any existing patterns of irrational use will be perpetuated.
- (b) The morbidity method: This bases the estimate on the expected number of attendance, the incidence of common diseases, and current standard treatment guidelines. Good morbidity data is essential. This method is most appropriate for calculating need in new programmes and for comparing actual use with theoretical needs.
- (c) The adjusted consumption method: This applies the pattern of drug use in a "standard" supply system to the target system, and is useful in those circumstances where the output from the other methods is considered unreliable.

L8.16. Vaccines: Under circumstances where there are no changes expected in the country's immunization strategy a calculation requirement can be based on historical use of the vaccines concerned. Alternatively two methodologies are available to forecast needs in less static situations:

- (a) The dose based system, determines need in relation to the target population, the expected coverage, the number of doses required per client, with adjustment for a wastage factor.
- (b) The vial based methodology, initially estimates the average number of doses required per vaccination session as a basis to determine the optimal size of vial to obtain, and then uses this factor to calculate the total quantity of vaccine to be procured. This requires in addition to the data for the dose based method, information on the number of immunization *centres* and the total number of vaccination sessions per year. The national immunization program's policy on discarding multiple dose vials once opened will significantly influence the wastage factor to be incorporated in the estimation process.

- L8.17. Contraceptives:** The main methodologies employ either:
- (a) Historical consumption (or logistics data), under which data on the consumption of each contraceptive product over a number of time periods can be used to ascertain trends and extrapolate need into future time periods. In the absence of comprehensive consumption data from service delivery points (because of poor reporting or an inadequate information system) it may be possible to use logistics data on movement of stock as a proxy for quantities used.
 - (b) Service statistics: Forecasting requirements from service statistics requires information on the numbers of clients of each method (or brand), *attendance at facilities for re-supply* and usual dispensing practices (how many cycles of pills or condoms provided to each client at each visit).
 - (c) Population and contraceptive prevalence and method mix information, transforms proportions of the population using particular methods into quantities of contraceptives by application of consumption factors (the quantity of a method needed to provide a year of protection against pregnancy).
- L8.18.** In all the cases the forecasting process should take account of expected changes in the programme coverage, or method mix, and compensate for known shortages in supply.
- L8.19. Nutritional Supplements:** Quantification of requirements is determined with reference to the incidence of dietary deficiency, the population of the target group (to be provided with supplements), for e.g., pregnant women, children aged under 5 years, and the dosage and form of the nutritional supplement. Alternatively the methods described above under pharmaceuticals can be used.
- L8.20. Medical Equipment:** The type of equipment to be procured is determined by the objectives of the project and the type or level of health care facility being furnished. For example, a project that aims to equip or reequip a number of health-care facilities may refer to the standard equipment lists to decide what equipment is appropriate for each site and then determine the total quantity of items required by aggregating the requirements of all sites minus the existing functioning equipment.
- L8.21.** Where the objective of the project is to procure equipment for the provision of a specific medical service throughout the health system, then an enumeration of the number of sites providing the service compared with the inventory of available equipment at those sites will make it easier to quantify equipment needs.
- L8.22.** Products and Product Packaging Specifications: BDs should describe all products to be procured in the Technical Specifications and provide that they be labeled by their International Non-Proprietary Name (INN) or generic name. The name of each product should also appear prominently on the label in addition to any trade mark or brand name.

L8.23. Product Specification should indicate:

- (a) the dosage form (e.g. tablets, capsules injection, dry syrup, liquid, ointment emulsion, suspension, etc.); and
- (b) the content per tablet, capsule, teaspoon or on the basis of weight by volume (W/V) or volume by volume (V/V). Most pharmacopoeias indicate the product specification and acceptable range. For pharmaceuticals or vaccines not included in a compendium, Borrowers should clearly indicate acceptable limits.

L8.24. As regards product packaging most official pharmacopoeias establish the following broad guidelines for primary containers. The primary containers should:

- (a) maintain quality, safety and stability of the pharmaceutical or vaccine contained;
- (b) be able to withstand the mechanical hazards of handling and transport, prevent leakage and environmental degradation and should have no physical or chemical effect on the contents;
- (c) for liquids, be sufficiently transparent for visual inspection and be covered with outer packaging to protect the contents from incidental radiation.

L8.25. Very few currently available packaging materials can satisfy all the above conditions fully and they are commonly unavailable in Borrowing RMCs. The following are generally considered most suitable materials for different dosage forms:

- (a) Glass: Neutral glass containers, colored when required for light sensitive pharmaceuticals to resist ultraviolet radiation, are the most suitable for liquid preparations. Glass offers a very distinct advantage in that it can be sterilized, but it is heavy and therefore expensive to transport.
- (b) Plastic Containers: These have traditionally been avoided for liquids except for some very stable products which are consumed over a very short period. When stored longer, leaching of the plasticizers can occur and in some cases, may cause some chemical interaction with the pharmaceutical; or vaccine content. Plastic containers with an inner *coasting can be used for non-hygrosopic items*, tablets, and capsules. Plastic containers that are approved for use with liquids are now becoming available.
- (c) Metal Containers: These are suitable for large packs of tablets and capsules and should preferably be lacquered from the inside and have an inner polymer lining for added protection.
- (d) Films and laminates: A combination of plastic, aluminum and paper is ideal for single dose packs. Unit packaging in such laminates increases the cost considerably and thus cannot replace bulk packaging in most routine cases. In - house unit packs at the hospital level for the amounts

needed for weekly consumption could be a much cheaper option in *RMCs*.

- (e) Containers for external preparations: The shape and size of product containers for external use should be different from containers for systemic use and products to prevent accidental ingestion. Usually external preparations (e.g. ointments and creams) are packed in: jars; *aluminium* extrusion tubes for small quantities of ointments or fluted glass bottles for liquids. For products not included in any official compendium, the borrower must clearly stipulate the type of container to be used.

L8.26. In general, all containers should be filled to the top and in case of dry products the residual space should be filled with bubble plastic or other suitable material then sealed. For liquids, the bottles should be closed with screw caps with inert lining to provide a moisture proof seal. All packaging components must be approved for pharmaceutical packaging by the manufacturer's national FDRA. The external containers should be export worthy and suitable to withstand rough handling in transit and during storage.

L8.27. Labeling: The product should be labeled according to the applicable pharmacopeial standard and the language for labeling stated in the BD. The following information should be included in the labels:

- (a) The generic name of the active ingredient;
- (b) Dosage form (tablet, ampoule, vial);
- (c) Quantity of active ingredient(s) in the dosage form;
- (d) Number of units per package;
- (e) Batch number;
- (f) Date of manufacture;
- (g) Expiry date (in clear language, not code)
- (h) Pharmacopeial standard;
- (i) Instructions for storage;
- (j) Name and address of the manufacturer and country of origin;
- (k) Name and address of distributor, if not supplied by the manufacturer directly; and
- (l) Desired cautionary statements.

L8.28. Similar information should appear on cartons. Directions for use and precautions may be given in leaflets (package inserts), though these provide supplementary information and are not an alternative to labeling.

L8.29. Inspection and Testing: Pharmaceutical and vaccine quality is accepted on the basis of quality test certificates provided by manufacturers, and since most international OCB contracts for pharmaceuticals and vaccines are on a CIP or CIF basis, they require a visual pre-shipment inspection to be

undertaken to confirm that the quality and packaging method used appear to be satisfactory. Furthermore, in order to reinforce quality assurance, inspection agents should be periodically asked to collect samples from lots ready for shipment for independent testing at the manufacturer's cost. Shipment should not be authorized until the test results are evaluated and certified by the EA. This condition as well as the EA's right to conduct random tests at the successful bidder's cost should be incorporated in the Conditions of Contract if the Bank's SBDs are used or in the LA if other internationally recognized and Bank approved BDs are used for procurement.

L8.30. Recalls - Adverse Reactions: The information systems to monitor adverse reactions or international recalls of pharmaceuticals or vaccines may be weak in Borrowing RMCs and therefore BDs should require suppliers to inform the Borrower of any such event and to replace the affected items, if a similar action has been taken in the manufacturer's country of origin. This should be one of the conditions of the General Conditions of Contract in the Standard Bidding Documents. The FDRAs in Borrower countries should establish direct communication channels with FDRAs in developed countries such as the United States, Britain and other European countries to obtain information about recalls.

L9. Description of Pharmaceutical, Vaccine and Contraceptive Categories Procured under Bank Financing

L9.1. Pharmaceuticals: The following are the categories of pharmaceuticals and vaccines normally included in Bank-financed health projects:

- (a) Essential Drugs: These are the most common pharmaceutical or vaccines which are used to treat about 90 percent of the causes of morbidity in developing countries. Most of them are included in the World Health Organization (WHO) essential drug list (about 300 drugs) and are listed in acceptable international compendia. The majority are not covered by patents and are available from a number of manufacturers in developed and developing countries as generic drugs.
- (b) Proprietary Pharmaceuticals and Vaccines: These are newer pharmaceuticals or vaccines manufactured by either one or only a few companies which either hold the patent or manufacture under a license from the original patent holder. Most are used at the tertiary level of health care, i.e. in specialist hospitals.
- (c) Special Category Pharmaceuticals: *These include:*
 - **Drugs for Tropical Diseases:** These are pharmaceuticals and vaccines which are included in essential drug lists but are specially manufactured by a few companies to combat tropical diseases either based on in-house research or under license from the WHO. They are seldom used in the country of origin but extensively in

poorer countries to control major epidemic diseases. They include schistosomiasis, onchocerciasis *and anti - filarial drugs*;

- “Orphan” Pharmaceuticals and Vaccines: These are manufactured for certain rare diseases with a very limited market. They are covered by patents and also receive subsidies to offset research costs. These are produced *and sold in developed countries*;
- Anti-cancer pharmaceuticals: These are for cancer treatment, which are generally covered by patents and manufactured in a few developed countries where consumption of such items is high. The incidence of cancer in the developing countries appear to be low (perhaps due to poor diagnostic facilities or limited specialist manpower to treat such conditions) *and use of such items limited*;
- Specialized pharmaceuticals: These are used in developing countries at the tertiary level or in specialized institutions as a second line treatment. Consumption of such pharmaceuticals is small and sporadic *in developing countries primarily because of cost; and*
- Galenicals: They are out of vogue in developed countries but are still commonly used in developing countries at the primary and secondary level of health care (i.e. at village dispensaries and sub - district and district hospitals) for the preparation of mixtures, emulsions or ointments. There are very few manufacturers for galenicals. Normally sold in bulk (one liter plus), they require very heavy freight costs and are not financially attractive for developed country manufacturers because of low demand.

L9.2. Vaccines: Demand for vaccines is high in developing countries for use in mass immunization campaigns. Vaccines to prevent most childhood illnesses are usually named in essential drug lists. Vaccines, which in most cases are not covered by patent. Most vaccine procurement is either funded by donor agencies or procured directly from the warehouse of agencies like UNICEF (using their own procurement procedures) and supplied to developing countries for their immunization programs. Vaccine manufacture involves high technology, rigid production protocols, process controls and strict quality control. Vaccines have a very limited shelf life and large production volumes are needed for the manufacturer to break even. There is a trend leading to further consolidation and merger so as to enable these companies to manufacture global requirements economically while still meeting rigid WHO standards for manufacture and export. Some developing countries manufacture a limited number of vaccines for national consumption, but do not yet meet the standards for export.

L9.3. Vaccines are biological products -- being derived from living organisms -- and thus are very different from other pharmaceutical products. They require special quality considerations because of the biological nature of the starting materials, the manufacturing process and the test methods needed to characterize batches. They may include:

(a) Vaccines for Universal Immunization

- BCG;
- Diphtheria - pertussi - tetanus;
- Hepatitis B;
- Measles and measles - mumps - rubella;
- Poliomyelitis;
- Tetanus, and tetanus - diphtheria

(b) Vaccines for specific groups of high risk individuals

- Influenza;
- Meningococcal;
- Rabies;
- Rubella;
- Typhoid;
- Yellow fever.

L9.4. Contraceptives: Contraceptives take a number of different forms including pharmaceutical products and mechanical contraceptives, e.g. condoms and intra - uterine devices (“IUDs”), which are generally treated as drugs controlled by the local regulatory agency for quality control. These are included in the WHO essential drug list, which also includes hormonal contraceptives, both pill and injection form, copper - bearing intrauterine devices and condom and diaphragm barrier methods:

L9.5. Hormonal Contraceptives: Hormonal contraceptives are pharmaceutical products containing synthetic hormones and are available in these main forms:

- (a) Oral contraceptives (available in a number of doses and formulations);
- (b) Injectable contraceptives (three primary types are distinguished by the different periods of time for which they protect against pregnancy as well as formulation of hormones); and
- (c) *Implants*

L9.6. Intrauterine Devices: The majority of internationally marketed IUDs are plastic medical devices available in a variety of shapes and sizes. (Metal devices are manufactured in China for use in its national program). Plastic IUDs may be enhanced with copper - bearing or hormone-releasing components.

L9.7. Barrier Methods – Mechanical: The majority of mechanical barrier methods are latex or plastic products (condoms, diaphragm, and cervical cap).

- L9.8.** **Barrier Methods – Spermicides and Microbicides:** Spermicidal barrier methods consist of chemical agents available in alternative forms (creams and gels, foam or suppositories).
- L9.9.** **Nutritional Supplements:** Nutritional supplements are frequently considered for inclusion in Bank financed health and nutrition projects. A range of pharmaceutical products may be considered as nutritional supplements; micronutrients, oral hydration salts, vitamins, IV Solutions and minerals. WHO includes a number of such products in the Model Essential Drug list under the grouping Vitamins and Minerals (e.g. Retinol palmitate, riboflavin and Oral rehydration salts). Borrowers seeking Bank financing for the procurement of nutritional supplements should follow similar procurement procedures as for pharmaceuticals.
- L9.10.** **Medical Equipment:** The Bank primarily supports the financing of capital goods as opposed to medical consumables, however, including a start-up set of consumables (e.g., x-ray film, ultrasound gel) should be taken into consideration in project or programme design. Medical equipment that would generally be classified as capital goods consists of mechanical, electronic, diagnostic, and life-support products. Further, the local supply and pricing of consumables should be checked in parallel with the technical specification process. Medical equipment may be categorized by the level of the facility it is intended to be used at within the health system.
- L9.11.** The range of available medical equipment is extensive, but guidelines on the type of standard equipment that should be on site at primary, secondary, and tertiary facilities have been drafted on behalf of the Bank. TTLs, PSs, and PASs may refer to these “standard equipment lists” as the basis for discussion with borrowers on the acceptability of medical equipment for financing with Bank loans.

Box L3: Procurement Methods for Pharmaceuticals and Vaccines

Procurement Method		Pharmaceuticals	Vaccines	Contraceptives	Nutritional Supplements	Medical Equipment
Open Competitive Bidding (OCB) International	Use	For multisource products. Essential drugs not on patent.	Not recommended.	For multisource products. Condoms.	For multisource products. Larger contracts covering supplements with a longer shelf life (more than three months).	For multisource products.
	Market Situation	Multiple manufacturers or suppliers worldwide. Value of procurement sufficiently high to attract sufficient numbers of bids.	Too few reputable manufacturers.	Multiple manufacturers or suppliers worldwide. Value of procurement sufficiently high to attract sufficient numbers of bids.	Multiple manufacturers or suppliers worldwide. Value of procurement sufficiently high to attract sufficient numbers of bids.	Multiple manufacturers or suppliers worldwide. Value of procurement sufficiently high to attract sufficient

						numbers of bids.
	EA's procurement expertise required: High knowledge of sources, preparation and evaluation of bid; up to date knowledge of current world prices.					
Open Competitive Bidding (OCB) National	Use	Small volumes of essential drugs. Galenicals.	Unlikely to be an alternative as there are very few satisfactory manufacturers in borrowing RMCs	Limited use. Very few countries have even a single manufacturer of contraceptives.	Small contracts. For most processed nutritional supplements (which can have shelf life as short as three months).	Limited use.
	Market Situation	A number of qualified local manufacturers or authorized agents of international manufacturers or licensed wholesale importers.	Major difficulty in ensuring quality through in-country suppliers.	A number of qualified local manufacturers or authorized agents of international manufacturers or licensed wholesale importers.	A number of qualified local manufacturers or authorized agents of international manufacturers or licensed wholesale importers.	A number of qualified local manufacturers or authorized agents of international manufacturers or licensed wholesale importers.
	EA's procurement expertise required: High knowledge of sources, preparation and evaluation of bid; up to date knowledge of current world prices.					
Limited /Restricted Competitive Bidding (LCB) International	Use	Special pharmaceuticals (see attachment 1).	Recommended .	For those methods of contraception with only a few manufacturers; IUDs, some formulations of OCs.	Recommended	Acceptable
	Market Situation	Limited number of manufacturers worldwide.	Limited number of manufacturers worldwide.	Limited number of manufacturers worldwide.	Limited number of manufacturers worldwide.	Limited number of manufacturers worldwide
	EA's procurement expertise: High knowledge of sources; preparation and evaluation of bids; up to date knowledge of current world prices					
Limited /Restricted Competitive Bidding (LCB) National	Use	Smaller volume procurements. Specialized galenicals, proprietary, orphan, and special tropical disease drugs. Drugs with very limited shelf life (i.e., 12 months or less).	For small-volume procurements.	Injectable, some oral contraceptives.	For small-volume procurements.	Smaller volume procurements.
	Market Situation	Limited number of manufacturers.	Limited number of manufacturers.	Limited number of manufacturers.	Limited number of manufacturers.	Limited number of manufacturers.

EA's procurement expertise required: High knowledge of sources; preparation and evaluation of bids; up to date knowledge of current world prices						
Direct Contracting	Use	Single-source products	For single source vaccines. Vaccines with very limited life, i.e. 12 months or less	Single-source products. Implants	Single-source products.	Single-source products.
	Market Situation	Single manufacturer of products.	Single manufacturer of product worldwide	Single manufacturer	Single manufacturer	Single manufacturer
	EA expertise procurement required: Knowledge of sources and negotiating skills; up to date knowledge of current world prices					
UN Organization / Agency as Supplier	Use	Low/poor EA procurement capacity. UN Organization follows Bank regulations for procurement.	For emergency supply; cases where EA lacks procurement expertise; to take advantage of Vaccine Independence Initiative.	Low/poor EA procurement capacity. UN Organization follows Bank regulations for procurement.	Low/poor EA procurement capacity. UN Organization follows Bank regulations for procurement.	Low/poor EA procurement capacity. UN Organization follows Bank regulations for procurement.
	Market Situation	Existence of UN Organization undertaking regular drug procurement (UNICEF).	Existence of a UN Organization undertaking regular vaccine procurement.	Existence of a UN Organization undertaking regular contraceptive program.	Existence of UN Organization undertaking regular food supplement procurement (WHO, UNICEF).	Existence of UN Organization undertaking regular medical equipment procurement (UNICEF and UNFPA).
	EA expertise procurement required: High - Knowledge of sources /Straight forward contract management.					

Chapter M

Procurement of Pesticides

M1. Pesticide Selection, Formulation and Use

- M1.1.** Given the environmental implications, the procurement of any pesticide in a Bank financed project, should be contingent on an assessment of the nature and degree of associated risks of using the pesticide, taking into consideration the proposed use and the intended users²⁵. With respect to the classification of pesticides and their specific formulations the Bank refers to the World Health Organization's – Recommended Classification of Pesticides by Hazard and Health Guidelines to Classification (Geneva: WHO 1994-95).
- M1.2.** The following criteria apply to the selection and use of pesticides in Bank financed operations:
- (a) They must have negligible adverse human health effects;
 - (b) They must be shown to be effective against target species;
 - (c) They must have minimal effect on non-target species and the natural environment. The methods, timing and frequency of pesticide applications are aimed at minimizing damage to natural enemies;
 - (d) Pesticides used in public health programmes must be demonstrated to be safe for inhabitants and domestic animals in the treated areas, as well as for personnel applying them; and
 - (e) Their use must take into account the need to prevent the development of resistant pests.
- M1.3.** Borrowers should seek guidance in the periodic lists issued by the WHO, classifying pesticides by hazards. This lists technical products by their generic names tabulating them in categories ranging from extremely hazardous, to unlikely to present acute hazard in normal use. The list also gives guidance on the use of tables to assess the hazard of particular formulations. Apart from these requirements the following issues should be taken into consideration by the Borrower:
- (a) The safety and effectiveness of alternatives under the Borrower's local climatic and environmental condition;
 - (b) Their compatibility with Integrated Pest Management (IPM);
 - (c) The existence of national and international regulations or recommendations regarding use of particular materials for particular crops and the reliability of potential suppliers to deliver products of high quality;

²⁵ This assessment is made in the context of the project's environmental assessment and is recorded in the Project Appraisal Report (PAR) which also includes (in the text or as an annex) a list of pesticide products authorized for procurement under the project or an indication of when and how this list will be developed and agreed on. This authorized list is included by reference in the Financing Agreement (FA) with provisions for adding or deleting materials.

- (d) Appropriately packed and backed by well qualified technical advice and support; and
- (e) Indigenous capability for handling toxic materials and regulating their distribution.

M1.4. The Bank requires that Bidding Documents (BDs) should require suppliers to provide analysis by an independent and reputable laboratory showing the formulation of pesticides to be free of contaminant or that the component of such a contaminant meets internationally accepted limits for use of the formulation for specific purposes under close supervision, since both active ingredients and contaminants in pesticides may be harmful,. When pesticides are to be used on food crops, Borrowers should require as far as possible that FAO/WHO maximum residue limit recommendations will not be exceeded. In the case of crops which make a significant contribution to the diet, maximum residue levels must be viewed in the light of the need to ensure that acceptable daily intake levels are not exceeded. Where such materials are to be used on food crops for export, compliance with such acceptable residue limits or tolerances established by the importing country must be assured.

M1.5. BD should:

- (a) Indicate the process by which registration will be carried out where a supplier proposes to provide a pesticide that is not registered in the Borrower country;
- (b) Provide labelling requirements for the product and require the provision by the supplier/manufacturer of particular information on the pesticide's toxicity; and
- (c) Required information on the pesticide's chemical characteristics and possible results of its harmful breakdown in the environments if this information is not already available.

M1.6. Selection of pesticides should be based on careful evaluation of possible hazard to the environment and to important natural resources. For example, materials having high acute toxicity to fish or aquatic invertebrates should not be used where there are aquatic resources which could be affected by runoff, drift or soil erosion and those highly toxic to honeybees should not be used when they will present a threat to important pollinators. Information on toxicity to non-target organisms should be available from the manufacturer if it is not in published literature.

M1.7. Where pesticides are procured for supply to farmers, it is essential for the Borrower to select materials which can be applied safely and effectively without close supervision. Staff in the Executing Agency (EA) should also be adequately supported and trained in the use of the materials so that they may demonstrate the correct techniques and give appropriate advice, including

advice for on-farm storage of concentrates and eventual disposal of surplus pesticides and empty containers.

M2. Pesticides and Pest Management Practices

M2.1. Every effort should be made by Borrowers procuring pesticides in Bank financed projects to select and use pesticides which are compatible with an Integrated Pest Management (IPM) approach. IPM refers to a mix of pest control practices that seeks to avoid the excessive use of pesticides. The Bank's objective under the IPM approach includes the prudent use of pesticides when damage in agricultural activities reach unacceptable levels. Thus in procuring pesticides the Borrower should take into consideration three major points:

- (a) Pesticides should be seen as a short - term response to the build-up of a particular pest species to threshold levels, which have been found as a result of field trials and past experience by both the Bank and Borrowers to be economically damaging, i.e managing pests rather than eradicating them;
- (b) Relying to the extent possible, on non-chemical measures to keep pesticide populations low; and
- (c) whenever possible narrow spectrum pesticide materials should be selected which are effective against pest species, but cause minimum harm to other useful insects (especially the important predators and parasites of the pest species). This approach requires that one or more key target pest species and, if possible, their principal natural enemies first be properly identified by the Borrower.

M3. Technical Specifications

M3.1. Technical specifications for the procurement of pesticides should define all the critical characteristics in the formulation of the pesticide required. This should include aspects such as solvents, emulsifiers and surfactants in the case of emulcifiable concentrates, or particle size in the case of dusts or suspensions, which may affect the performance of the pesticide. To ensure effective competition among suppliers who formulate a particular active ingredient under one or more different trade names, BDs should use accepted generic names of the material or materials to be purchased.

M3.2. Foreign suppliers/manufacturers should be required to submit with their bids certification that the product is exactly the same (in terms of physical and chemical properties, formulating ingredients and manufacturing process) as that marketed and registered in the country of origin and state any deviations and provide rationale for them.

- M3.3.** Specifications should also indicate any special features of packaging and labelling which are necessary for product protection during handling and storage to ensure effective use. This includes requirement in BDs that materials used for seed treatment be formulated with warning colorants or dust which will persist under anticipated storage and handling conditions. Reference may also be made to internationally accepted packaging and labelling standards. In case of products which are not water soluble, BDs should require suppliers/manufacturers to recommend and provide a suitable solvent for washing application equipment and containers. Where available containers which discourage re - use for storing liquids should be specified.
- M3.4.** The Bank requires that any pesticides it finances be manufactured, packaged, labelled, handled, stored, disposed of and applied in accordance with Food and Agriculture Organization's (FAO) Guidelines for Packaging and Storage of Pesticides (Rome 1995), Guidelines on Good Labelling of Pesticides (Rome 1985), and Guidelines for the Disposal of Waste Pesticide and Pesticide Containers on the Farm (Rome 1985). This should be indicated in the BDs. The Bank does not finance formulated products that fall in WHO classes IA and IB, or formulations of products in Class II, if:
- (a) The Borrower lacks restrictions on their distribution and use; or
 - (b) The products are likely to be used by, or be accessible to lay personnel, farmers, or others without training, equipment and facilities to handle, apply and store these products properly.

M4. Handling, Storage and Application Safety

- M4.1.** BDs should specify the standards of packaging of pesticides, in order to ensure that they are adequate to withstand the considerable abuse which can occur during transport and storage. Clear and durable labelling of all packages to depict the hazardous nature of the contents should be mandatory. BDs should also require that the labels be in a specified language(s), and be consistent with internationally accepted standards.
- M4.2.** The Bank recommends that the Borrower should encourage suppliers to pack the pesticides in single dose packages or small containers to reduce the need for measuring concentrates. This alleviates some of the problems of on - farm storage of open pesticide containers. BDs can permit repackaging in properly licensed and inspected facilities meeting acceptable safety standards and preferably under the control of the supplier winning the bid, who should be fully responsible for the suitability of the new package including labelling and instructions for use, the quality of the repackaged product and the safety of the repackaging process.

- M4.3.** BDs should also require that manufacturers design containers which discourage reuse. This is because, although all empty containers should be destroyed, there may be countries in which adherence to regulations requiring their destruction is difficult to enforce due to a shortage of empty containers to store liquids. The Bank does not approve of re-use of pesticide containers and strongly recommends that all possible deterrent measures be taken. However, in instances where the only available and suitable package offered by suppliers is a non - returnable drum and where destruction of all empty containers cannot be ensured, their thorough washing with an appropriate solvent and numerous water rinses should be ensured by the Borrower. The latter can be done through requiring bidders to include detailed instructions in the containers to enable final users and the Executing Agency's (EA's) staff to carry out this process satisfactorily.
- M4.4.** Where pesticides are applied by contractors, they should be required in the BDs to take all necessary precautions to protect the public and the environment from damage due to spray drift or other accidental contamination. For particularly toxic materials, it may be expedient for BDs to require the supplier to supervise the correct handling and application of the materials in accordance with accepted safety standards.

M5. Procurement Methods

- M5.1.** Bank policy is always to encourage Borrowers to use OCB procedures to ensure that the Borrower's needs for achievement of VfM through application of risk-based FfP procurement are met. Where only a single product from a single manufacturer is effective in controlling a particular pest or where a single product has such outstanding advantages over other products on the market that it would not be technically justifiable to use anything else, the Bank may allow Borrowers to use LCB at the international or national level as this will represent the optimum FfP approach. Even in such instances the Borrower should make prudent inquiries to determine the prices paid by other recent purchasers of the same product in order to ascertain that prices being quoted by the approached supplier(s) are economic, taking into consideration the quantity being ordered and delivery requirements. Where quantities being purchased are so small that competitive bidding would not be an efficient means of procurement, application of the FfP approach will require that local shopping or request for quotations (RFQ) may be resorted to, with the Borrower obtaining quotations from at least three different suppliers.

M6. Evaluation of Bids

- M6.1.** Evaluation of bids for procurement of pesticide would be undertaken in accordance with the Bank's Procurement Policy. However, in the particular case of pesticides, in order for the Borrower to effectively evaluate bids from

different sources offering different materials for the control of the same pest, prior comparison of the different materials in field tests is necessary to evaluate their relative efficiencies.

M6.2. Where adequate information is available, efficiency weightings may be given to different materials and used in the evaluation of bids, but to do so, the weights must be made public in the BDs issued to potential bidders so that in preparing their bids they are aware of the conditions under which their product will be evaluated. Such weights may be used to reflect the advantage a particular material might offer by:

- (a) Controlling other pests besides the one for which the pesticide sought by the borrower is intended;
- (b) Being less harmful to predators; or
- (c) By being less dangerous to handle.

M6.3. Where data is insufficient to apply such efficiency factors, materials are compared on the basis of their cost per unit area when applied, in accordance with the local recommended practices in the Borrower country and taking account of the manufacturers recommendations, at the rate and frequency of control of the pest concerned. Where one material has been shown in trials and practice to offer a longer period of control than another, and thus requires fewer application the saving in the application cost should be taken into consideration in evaluating the bids.

Chapter N

Procurement Under Private Sector Operations

N1. General Principles

- N1.1.** The Bank's Procurement Policy covers public and private sector operations and highlights the vision to support Bank-financed operations and enhance the procurement systems of Regional Member Countries (RMCs) in order for them to obtain optimal Value for Money (VfM) based on mutually supporting and reinforcing principles of economy, efficiency, effectiveness and equity (the 4Es). This is achieved using processes and procedures that are competitive, fair and transparent. On the other hand, the Bank's role in private sector development, as stipulated in its policy document *"Private Sector Operations Policies"* is to catalyze the flow of domestic and external resources to help private sector enterprises in the implementation of technically, financially, economically, and environmentally viable projects. This search for VfM and the project's interests and overall viability are at the centre of the Bank's concerns with regard to procurement methods and procedures, and therefore, project expenditure should be undertaken in the most effective and efficient manner to meet these objectives. The Policy requires particularly that Procurement under Private Sector Operations financed by the Bank should conform to established commercial practices, follow appropriate procurement planning and methods and should result in fair market prices, which are three key specific considerations.
- N1.2.** The responsibility for implementation of a Bank-financed private sector project including for the procurement and administration of the related contracts lies with the private sector borrower. The Bank's role in private sector development is to catalyse the flow of domestic and external resources to help private enterprises in the implementation of technically, financially, economically and environmentally viable projects. The Bank ensures that "the proceeds from any loans made or guaranteed by it are used only for the purpose for which the loan was granted²⁶". In this context, the Bank expects that the interests and viability of the project are at the centre of its promoters' concerns.

N2. Specific Considerations

- N2.1. Established Commercial Practices:** Private sector enterprises²⁷ may achieve VfM by following established private sector and commercial practices other than formal open competitive bidding for their procurement. Private sector Borrowers should utilize procurement procedures in accordance with well-established private sector procurement methods or commercial practices acceptable to the Bank: The Bank normally accepts procedures that at least meet national requirements as established by the chamber of commerce, selected and established private sector enterprises, the central bank, or import licensing and customs authorities. Usually, the more flexible

²⁶ Article 17.1(h) of the Agreement Establishing the African Development Bank (2011 Edition).

²⁷ To be eligible for the Bank's private sector financing, an enterprise must be privately owned and managed, i.e. more than 50 percent of its voting shares must be held by private individuals or firms. Entities with more than 50 percent of their shares held by the government and/or government entities or agencies ("government owned entities") shall be ineligible for the Bank's private sector financing. In such situations, however, while the Bank's Policy Framework for public sector procurement will apply, the Bank may consider private sector financing on an exceptional basis in those circumstances in which the Bank's involvement is consistent with the basic objectives of private sector development and direct foreign investment.

and faster negotiated procedures (generally consisting of an international request for proposals, including by electronic means, among a limited number of suppliers or providers followed by negotiations) are considered to be effective by private sector enterprises. Nevertheless, wherever appropriate, the Bank encourages the use of competitive bidding methods by its private sector borrowers, particularly for large contracts.

- N2.2. Appropriate Procurement Planning and Procurement Methods:** Careful procurement planning that takes into account the particular needs of the enterprise is essential for achievement of VfM under private sector projects, and it dictates the Bank's successful appraisal of the project and agreement on the Loan. There is no need to specify in the Financing Agreement (FA) or Procurement Plan (PP) thresholds by value of contracts for their use regardless of the adopted specific procurement methods and commercial practices. Given the demand-driven nature of such projects, it may not even be always practical to prepare detailed procurement plans. Simplified procurement plans, where feasible and practical, should be prepared based on an indicative list of eligible procurement activities to be implemented.
- N2.3.** The specific nature and context of the different private sector operations determine the most appropriate method of procurement to be used. The Bank will satisfy itself that private sector borrowers' clients use appropriate procurement methods which ensure a sound selection of goods, works²⁸ and consulting services²⁹ at fair market prices and that they are making their capital investments in a cost effective manner. The Bank shall review the methods and procedures of procurement of goods and works and for acquisition of consulting services of the private sector and the commercial practices in the Borrower's country to determine their acceptability.
- N2.4. Fair Market Prices:** Through a thorough due diligence review, the Bank ensures the goods, works and consulting services are appropriate for the project, are procured at fair market prices³⁰, and that contracting conditions adequately protect and meet the needs of the project.
- N2.5.** Private sector entities often assess value for goods, works and services across multiple dimensions, including: price, quality, service, reliability, innovation, and other strategic considerations. In some cases they establish strategic partnerships with selected high quality suppliers/contractors as part of their overall supply chain and corporate strategy aimed at driving down enterprise level costs and increasing operating margins.
- N2.6.** Contracts awarded by private sector Borrowers shall be in the best financial interest of the client company as distinct from the sponsor(s). Where a shareholder of the client company or one of its affiliates, including parent companies and affiliates of such parent companies, is also a contractor or supplier to the project, the Bank will satisfy itself that the costs are in line with current market prices and the original cost estimates in the operation report,

²⁸ References to "goods" and "works" in this Policy Framework include related services such as transportation, insurance, installation, commissioning, training, and initial maintenance. It also includes non-consulting services which are bid and contracted on the basis of performance of a measurable physical output, such as drilling, aerial photography, satellite imagery, mapping, and similar operations. "Goods" includes commodities, raw material, machinery, equipment, and industrial plant.

²⁹ "Consulting Services" comprise services of an intellectual and advisory nature.

³⁰ Fair market price may be defined as an estimate of the market value of goods and services, based on what a knowledgeable, willing, and unpressured buyer would probably pay to a knowledgeable, willing, and unpressured seller in the market.

and that the contract conditions are fair and reasonable. The Bank will not finance costs that exceed market prices.

- N2.7. Procurement under private sector operations is subject to the Bank's eligibility, conflict of interest and prohibited practices and sanctions and these are considered hereunder.

N3. Eligibility

- N3.1. To be eligible for Bank financing under private sector operations, a borrower should be privately owned and managed, meaning that more than 50% (fifty percent) of its voting shares must be held by the private sector. Entities with more than 50% (fifty percent) of their shares held by the government and/or governmental entities or agencies ("government-owned entities") may be owners in this enterprise, provided that it has operational and managerial autonomy and is run on a commercial basis. Where government-owned entities hold, in the aggregate, more than 50% (fifty percent) of the voting shares of an enterprise, private sector financing may exceptionally be considered. This would be where the Bank's involvement is consistent with the basic objective of private sector development and direct foreign investment.
- N3.2. The Bank's Procurement Policy provides that firms and individuals offering goods, works and consulting services for contracts financed by the Bank will satisfy the country of origin requirements of the Bank. Presently while the African Development Fund provides for universal eligibility, the African Development Bank and the Nigeria Trust Fund, stipulate that the proceeds from any loan, investment or other financing within the context of Bank operations will be used to procure goods, works and services, provided by bidders, both from eligible Bank member countries. Bidders from non-member countries of the Bank are not eligible even if they offer the said goods, works and services from eligible member countries. Under a PPP arrangement under ADB financing therefore, the eligibility criteria must be met "upstream" concerning the concessionaire and "downstream" concerning the goods, works and services procured by the concessionaire. Any exception to this rule requires the approval of the Bank's Board of Directors in accordance with the provisions of Article 17.1(d) of the Agreement Establishing the African Development Bank³¹.

N4. Conflict of Interest

- N4.1. The Procurement Policy defines a situation of conflict of interest (COI) to be one in which a consultant/contractor/supplier may be perceived to provide biased services so that its own or its affiliates interests prevail over the interests of the client. Consultants recruited by Borrowers are required to provide professional, objective and impartial advice, and at all times hold the

³¹ Article 17.1(d) : "The proceeds of any loan, investment or other financing undertaken in the ordinary operations of the Bank shall be used only for procurement in member countries of goods and services produced in member countries, except in any case in which the Board of Directors determines to permit procurement in a non-member country or of goods and services produced in a non-member country in special circumstances making such procurement appropriate, as in the case of a non-member country in which a significant amount of financing has been provided to the Bank";.

Client's interests paramount, without any consideration for future work, and to strictly avoid conflicts with other assignments or their own corporate interests. Consultants shall not be hired for any assignment that would be in conflict with their prior or current obligations to other clients, or that may place them in a position of not being able to carry out their assignment in the best interest of the Borrower.

N4.2. Consequently contracts awarded by private sector borrowers should be negotiated on an arm's-length basis, taking into account the financial interests of the borrower rather than the interests of its parent firm. Situations may occur where conflicting interests exist between the borrowing project company and its shareholders, as may be determined by the Bank³². When a shareholder of a private sector borrower also acts as contractor to the borrower, it should be demonstrated to the Bank that the costs of the acquisition are approximately equivalent to budget estimates and market prices, and that the conditions of the contract are equitable and reasonable. Specific due diligence that may be required for such situations are described in paragraphs 19-25. The Bank will not finance acquisitions that exceed market prices.

N4.3. Private sector solicitation documents must clearly identify the risk of COI and stipulate the related provisions for avoidance or mitigation measures (such as disqualification, cooling-off periods, and corporate separations).

N5. Prohibited Practices and Sanctions

N5.1. In terms of fraud and corruption the Bank's Procurement Policy requires that borrowers and all beneficiaries of Bank-financed operations, including suppliers, contractors, service providers, consultants, concessionaires and their agents (whether declared or not), as well as sub-contractors, sub-consultants, and any personnel thereof, shall observe the highest standards of transparency, ethics and integrity during the procurement, execution and implementation of Bank-financed contracts and shall fully adhere to the Bank's Integrity Policy³³.

N5.2. The Bank will not provide its no objection to a proposal for award if it determines that the bidder recommended for award, has, directly or indirectly, engaged in prohibited or sanctionable practices³⁴ in competing for the contract in question. The Bank may also apply its remedies if a contractor, supplier or consultant has, directly or indirectly, engaged in prohibited or sanctionable practices during contract implementation. The Bank may declare misprocurement³⁵ if it determines at any time that representatives of the borrower or of a recipient of any part of the proceeds of Bank Financing engaged in prohibited practices during the procurement or the

³² Particular risks under a private sector operation would be "transfer pricing" and over-investment, where goods, works or services are expected to be procured from affiliates or subsidiaries of a shareholder in the project company. The price of goods, works or services, or the volume of investment might be inflated to ensure immediate profits for the affiliates or subsidiaries to the detriment of the project (or end-users).

³³ The Bank's Integrity Policy comprises the Sanctions Procedures of the African Development Bank Group, the Bank's Whistleblowing and Complaints Policy, this Procurement Policy and any other applicable policies and procedures including their updates.

³⁴ Sanctionable or prohibited practices are defined in Sanctions Procedures of the African Development Bank Group. August 2013.

³⁵ See Section 7.

implementation of the contract in question. However, the Bank will only take such action in the cases where the borrower has failed to take timely and appropriate action satisfactory to the Bank to address such practices when they occur, including failing to inform the Bank in a prompt manner at the time they knew of such practices. The Bank may cancel the portion of the Financing allocated to such contract in accordance with its remedies or reallocate the Financing to other contracts under the project.

N5.3. The Bank will sanction a firm or individual, at any time, in accordance with the Bank's prevailing sanctions procedures³⁶, including by publicly declaring such firm or individual ineligible either indefinitely or for a stated period of time, (i) to be awarded a Bank-financed contract; and (ii) to be a nominated³⁷ sub-contractor, consultant or sub-consultant, supplier, or service provider of an otherwise eligible firm being awarded a Bank-financed contract.

N5.4. In pursuance of the Bank's policy to prevent and combat fraud and corruption in its operations and to promote good governance, the Bank requires that the procurement activities carried out in private sector operations be free of fraud and corruption and in compliance with all applicable laws and regulations. Hence, in all steps of the private sector operation, it shall be established that applicable local and national laws and regulations have been followed and that the documents provide adequate protection against any corrupt practices. While the procurement process undertaken by the private sector borrower might not be reviewed by the Bank ex ante, the result of the procurement will still be subject to Section 6 of the Procurement Policy on Prohibited Practices and Sanctions.

N6. Procurement Under Public Private Partnerships

N6.1. Where the Bank provides funding to the public sector or private sector entity under a PPP³⁸ arrangement, the following principles apply:

- (a) Where the Bank is participating in financing a project or a contract procured under PPP arrangements, and the financing is provided either to the public sector entity or directly to a private sector entity implementing the PPP contract, procurement procedures acceptable to the Bank shall be used for the award of the contract. The Bank will ensure that the contract is awarded in compliance with prevailing laws and due process, ensure VfM is achieved, and that opportunities for fraud and corruption and other prohibited practices in the selection process are minimized.

³⁶ A firm or an individual may be declared ineligible to be awarded a Bank-financed contract (i) upon completion of the Bank's sanctions proceedings as per its sanctions procedures, including, inter alia, cross-debarment as agreed with other International Financial Institutions, including Multilateral Development Banks, or otherwise decided by the Bank; and (ii) as a result of temporary suspension or early temporary suspension in connection with an on-going sanctions proceeding.

³⁷ A nominated sub-contractor, consultant, sub-consultant, manufacturer, supplier, or service provider is one which has been either: (i) included by the bidder in its prequalification application, bid or proposal because it brings specific and critical experience and know-how that allow the bidder to meet the qualification requirements or are accounted for in the technical evaluation of the consultant's proposal, or (ii) appointed by the Borrower.

³⁸ A Public Private Partnership (PPP) is an exercise by the public sector to obtain execution (or operation) of public services over a prescribed period through a private provider, which undertakes efficient and value-for-money operation of such services through output or performance-based agreements. The public sector retains ultimate responsibility to the public for the service concerned.

- (b) If the private concessionaire or entrepreneur³⁹ under a BOO/BOT/BOOT⁴⁰, concession or similar type of contract was selected or will be selected under open competitive bidding procedures acceptable to the Bank⁴¹, which may include several stages in order to arrive at the optimal combination of evaluation criteria, such as the cost and magnitude of the financing offered, the performance specifications of the facility offered, the cost charged to the end user, other income generated for the concessionaire or entrepreneur by the facility, and the period of the facility's depreciation, the said concessionaire or entrepreneur selected in this manner shall then be free to procure the goods, works, and consulting and non-consulting services required for the facility from eligible sources, using its own procedures. In this case, the Project Appraisal Report (PAR), and the FA shall specify the types of expenditures to be incurred by the said concessionaire or entrepreneur towards which Bank Financing will apply.
- (c) However, if the said concessionaire was not selected under open competitive bidding procedures in accordance with paragraph 1.9 (a) above, the concessionaire shall nonetheless be allowed to procure the goods, works, and services required for the project and to be financed by the Bank, using its own procedures if it is established that the following three key principles are met:
- (i) the process for selecting the concessionaire has demonstrated sufficient fairness, transparency and the opportunity for competition;
 - (ii) the process for selecting the concessionaire is free of fraudulent, corrupt, collusive, coercive and obstructive practices, and in compliance with all applicable laws and regulations in the concerned country; and
 - (iii) the outcome of the concession contract is fair and reasonable under the specific circumstances of the project in terms of price, quality and risk allocation in relation to prevailing market practices.
- In the event that any of the three key principles (i) – (iii) listed above under paragraph 1.9 (c) is not met, any resulting concession shall not be financed by the Bank.
- (d) In cases where the Bank is providing financing to both the Public Sector entity as well as the private sector concessionaire in the same PPP project, it will take adequate care that both transactions are

³⁹ BOO: Build, Own, Operate; BOT: Build, Operate, Transfer; BOOT: Build, Own, Operate and Transfer.

⁴⁰ For projects such as toll roads, tunnels, harbours, bridges, power stations, waste disposal plants, and water distribution systems, open competitive bidding means: 1) international competitive bidding, or 2) national competitive bidding for contracts of an estimated value below thresholds set by the Bank. In addition, direct invitation such as Limited International Competition (LIC) procedures may be considered.

handled independently of each other and follow strict due-diligence procedures, including the requirement that the members of the Bank's team handling these two transactions are different.

N7. Assessment of Value for Money

- N7.1.** An assessment of the total costs in a procurement transaction and the value or benefits obtained at the level of procurement outcomes (based on project needs) is normally required for procurement to obtain VfM. At a project level, this will begin with initial procurement planning defining the overall procurement strategy to be followed and including consideration of bid-packaging and the timing of procurement transactions based on the specific markets and the development outcomes of the intervention. It will lead to the development of the detailed procurement plan that will incorporate, in addition to the above, the procurement method to be employed for a specific procurement transaction, a description of the criteria to be used for evaluation and how the Bank's fiduciary responsibility will be discharged. As the assessment of the VfM at a transactional level may, itself, require significant resources, it is normally not necessary to be done for all stages for relatively simple and low-value transactions that follow straight-forward processes.
- N7.2.** However, for those transactions, where a detailed analysis has been determined to be necessary, an assessment may need to be made for every stage of the procurement cycle. At a transactional level this approach will require, among others, critical review of whether the requirements (quantity and specifications) are optimally defined to achieve the required procurement outcomes. Overly rigid or loose specifications usually lead to higher overall costs. In particular, specifications should be contextual and should encourage effective competition, by being sufficiently objective. In the case of complex transactions, functional specifications usually provide incentives to the bidders to propose innovative solutions. In other cases, input technical specifications may be adequate. Bid packaging also requires special attention to ensure that it has been optimally undertaken taking adequate account of all the critical business and other elements, such as whether all the necessary requirement and inputs for evaluation following Life Cycle Costing (LCC), Merit Points or other approved evaluation procedures and associated requirements, have been included in the Solicitation Document (SD)⁴².
- N7.3.** VfM takes into account not only the initial and/or life cycle costs and quality but also factors such as, "fitness for purpose", risks, proportionality, predictability, sustainability, flexibility, innovation, timeliness and targeted outcome of procurement during the entire procurement cycle. However, the VfM approach is not intended to monetize benefits and cost for each procurement to determine whether or not VfM has been achieved, as for simple, standard purchases, the cost of this exercise will outweigh the potential benefits. Value in procurement should be measured by assessing whether procurement meets the "five rights" principle, i.e. 'right price, right quality, right quantity, right timing and right source –Provider' and whether the exercise delivers the desired outcomes in a cost effective manner.

⁴² Solicitation Documents (SDs) cover, prequalification documents, bidding documents (BDs) including contract forms, requests for quotations (RFQ) for goods, works and non-consulting services as well as request for proposals (RFPs) for consulting services.

- N7.4.** While achieving VfM is essential as a targeted output in procurement, it is equally important that the process followed be fair, equitable and transparent. This requires that the SDs are sufficiently clear and provide, in the requirements, bidding procedures, contract conditions and redress procedures, the optimum combination of whole-life cost and quality to meet the user's requirements. The qualification and evaluation criteria to achieve VfM in a procurement exercise can be divided into three broad categories namely; (i) criteria that are quantifiable in monetary Terms (where benefits and costs can be determined through LCC; (ii) criteria that are not quantifiable in monetary Terms because neither the Terms or Reference/Specifications nor the outputs can be precisely measured, including acquisition of consulting services or procurement of text books or IT Systems, which use the Merit Point System with factors such as quality, reliability, post sales service, user friendliness, to assess cost and benefits; and (iii) criteria mandated by country law or regulations addressing Borrower's sustainable policies based on economic, social and environmental considerations, such as preference margins and social and labour clauses.
- N7.5.** For private sector operations, the assessment of VfM may also involve taking into account, the level of government support where necessary, in addition to the costs and benefits of each proposal. Where government support is required, the kind of support must be previously defined in the SDs. The evaluation in this instance will be based on the amount of support that each bidder requires. In assessing the VfM, the government will in effect be selecting the bidder who offers the best commercial proposal (Box N1).

Box N1: Examples of Consideration of Level of Government Support in Evaluation of Proposals

Example 1: In a divestiture project in which bids are based on the price of shares or assets being sold by the government, bids are evaluated on the basis of the highest price offered.

Example 2: In concessions where the economic activity to be undertaken results in income to the government, the concession should be awarded to the bidder who offers the highest income to the government.

- N7.6.** In evaluating such bids the Borrower will also consider whether there is any difference between compliant bids in terms of charges the concessionaire will seek to impose in return for the services provided. It is appropriate in such cases to assess the cost to the government of the charges required by the concessionaire over the concession period. This can be done by calculating the net present value of the initial charges imposed by each bidder. The favoured bidder in this case will be the bidder who offers the lowest service fee.
- N7.7.** Where the concessionaire is required to bear demand risk, the calculation should be based on the government's own demand projections, in order for a consistent basis for comparison to be made between different bidders. The calculation should incorporate the bidder's proposed escalation regime or the government's proposed escalation regime as required in the bidding documents. For example for concessions where there are multiple customers, such as toll roads or water supply concessions, but where tariffs are regulated, the Borrower should undertake a comparative assessment of

bids based on the proposed charges of each bidder on this basis. In this instance the selected bidder should be the one who offers the largest discount on existing tariffs or the lowest new tariff.

N7.8. Where the environment is unregulated, it is not necessary for the Borrower to take toll levels into account, as it may be assumed that any concessionaire will eventually adopt a revenue maximizing strategy regardless of its initially proposed toll charges. If the bidding documents give bidders the freedom to propose factors that give rise to differences in costs and benefits of bids received, the net present value of such costs and benefits of each bid should be calculated. For a road project for example, the bids could differ in terms of the amount of road congestion relief each bid produces in the area where the road is to be built. For such projects the degree of congestion relief can be said to represent the net benefit of the proposal. This can be done by ascribing values to the various elements of congestion relief such as time savings to motorists and a reduction of the costs of dealing with accidents and computing a net present value of the aggregate of these individual elements for the period of the concession.

N7.9. Where no government support is necessary and all aspects of the project are prescribed in bidding documents except for the construction period, the best value for money could be said to be offered by the bidder proposing the shortest construction period.

N8. Unsolicited Proposals

N8.1. While transparency and good governance are paramount, the selection of a concessionaire based on an unsolicited proposal (i.e., a proposal for the development of a project in respect of which no selection process has been initiated), especially if it is sound on legal and technical grounds, may be justifiable under the condition that the terms and conditions of such unsolicited proposal have been “competitively validated” by methods that could include:

- a) *Offering cost reimbursement:* The government may allow reimbursement of the original project proponents for their project concept or project development costs. The advantage given to the original proponent in the bidding is usually intended to compensate for the use of the project concept. In addition, the bidding documents sometimes specify reimbursement for project development costs by the winning bidder or the government.
- b) *Bonus System:* Governments may support unsolicited proposals by awarding a bonus in a formal bidding procedure to the original proponent. The original proponent’s offer is then selected as long as it falls within a stipulated percentage of the best offer.
- c) *Swiss Challenge:* The Swiss challenge system, like the bonus system, allows third parties to make better offers (challenges) for a project during a designated period. The original proponent then has the right to counter-match any superior offers. Proprietary information contained in the original proposal is confidential and is not to be disclosed in the tender documents.

- d) In cases where no “competitive validation” of unsolicited proposals, as described above under (a) – (c), has been, or can be undertaken, the borrower is required to submit for the Bank review and no objection a sufficiently detailed justification, including the rationale for direct contracting instead of a competitive procurement process and the basis for recommending a particular firm in all such cases.

N8.2. To ensure the financial viability of the project, if the input costs (partly) determine the user charges/tariffs (e.g. input costs are passed through to the user), an independent cost accountant or engineer will be recruited to certify that the project payment or tariff is not higher than market price.

N9. Financial Intermediary Institutions and Entities

N9.1. The Bank recognises the role of medium to small scale enterprises in supporting the development of the economies of its RMCs and therefore its lending portfolio includes provision of funds to intermediary financial institutions, such as commercial banks, microfinance institutions, agricultural credit institutions, development finance companies, or other financial intermediaries. Such instruments are used to finance sub-loans either to public sector beneficiaries (such as autonomous commercial enterprises in the public sector for the partial financing of sub-projects), or to private beneficiaries (such as small and medium sized enterprises). Procurement of goods, works and acquisition of consulting services under the sub-loan is to be undertaken by the respective beneficiary in accordance with established commercial practices acceptable to the Bank. The Bank shall review the procurement and oversight policy of the financial intermediary and assess its acceptability.

N9.2. However, even in these situations, open competition may be the most appropriate procurement method for the purchase of large single items or in cases where large quantities of like goods can be grouped together for bulk purchasing.

N10. Bank Review of Procurement Procedures - Basic Due Diligence Requirements

N10.1. **Procurement Planning:** The Bank requires the achievement of VfM on all the operations that it finances. Therefore, as part of the project preparation, appraisal and approval procedures, for private sector projects, the Bank will examine the implementation conditions of the project, to ensure that it incorporates careful procurement planning. The borrower is normally expected to prepare a PP as part of the project appraisal exercise, for Bank review, reflecting the enterprise's particular needs, and showing (i) the procurement procedures designed to achieve economy, efficiency, effectiveness and equity; (ii) well defined contract packages, and (iii) the scheduling of procurement consistent with the project implementation programme. The PP must be given in the Project Implementation Manual (PIM), where there is one. However, there is no need to specify thresholds by value of contracts, and in fact, given the demand-driven nature of such

projects it may not even be practicable to prepare detailed PPs. Instead, simplified PPs based on indicative eligible procurement activities will suffice.

N10.2. Due Diligence Review and Verification: In any case where the mode of procurement is not through open competition, the Bank will examine and assess the justification of prices to ensure that they reflect; (i) quality in the item to be procured; (ii) fair market prices; and (iii) that the contractual terms proposed by the borrower are fair and balanced. In the event that; (i) the proposed prices are above market rates – due consideration being given to the specific quality requirements of the project; or (ii) the contractual conditions are not equitable; the Bank may request the borrower to adopt a different mode of procurement offering more competitive and equitable conditions. If procurement has already taken place at the time of project appraisal, the Bank may have to decline to finance the said procurement or the project altogether.

N10.3. In general, the Bank will verify, to its satisfaction, that goods, works and consulting services are appropriate for the project, are procured at fair market prices, and that contracting conditions adequately protect the project. The Bank will review the procurement process, focussing on the following areas:

- (a) Review of the Project Cost Assumptions: The Bank's review will cover the project cost assumptions, justifications, the grounds on which these have been determined and justified. It will also further confirm consistency with current market prices. This is to assure the Bank that the borrower is using Bank financing in a cost effective manner. Where applicable, the project may be further verified by an independent consultant engaged by the Bank.
- (b) Borrower's Procurement Organisation: A summary of the structure and size of the borrower's procurement organisation and their experience in managing similar projects or contracts should be provided.
- (c) Borrower's Procurement Planning: Information on any procurement planning which has been undertaken for the project should be provided. Careful procurement planning taking into account the particular needs of the enterprise is essential to ensure the most cost-effective approach and reduces the need for direct contracting arrangements.
- (d) Borrower's Procurement Practices: A summary of the procurement practices and methods to be followed by the borrower for the project expenditures should be provided. The borrower should demonstrate that these ensure a sound procurement of goods and works and acquisition of consulting services at fair market prices, to the satisfaction of the Bank.
- (e) The Contract Basis: Information should be provided on the contractual basis allowing for balanced contract conditions and acceptable levels of risk management. The use of internationally recognized forms of contract, such as FIDIC, or Bank standard contract forms is encouraged, wherever possible.
- (f) Performance and Completion: The impact of the estimated completion date on the loan period, and other financing implications should be reviewed and documented. Required performance guarantees are to be specified.

- (g) Monitoring: Detailed project supervision and monitoring arrangements with the Bank shall be documented to ensure that the borrower undertakes the procurement and implements the project as agreed with the Bank

N10.4. Bank Review in PPP Operations: The Bank will review the selection process of the concessionaire or entrepreneur, either under the prior review procedure, or the post review procedure depending on the timing of request for Bank financing in the selection process. If the concessionaire was selected under acceptable open competitive bidding procedures, or at least in compliance with the three principles set out under Section 9 (c) (i)–(iii) above, it shall be free to procure the goods, works, and services required, using its own procedures. No subsequent Bank review will be required.

Examples of Specific Situations:

N10.5. Certain projects by their very structure involve contracting and other arrangements which contain risks of conflict of interest or other risks, and therefore may not provide for ideally competitive practice. While these situations may be acceptable, they require more comprehensive due diligence of procurement, contracting and implementation arrangements in order to clearly identify and address the relevant risks to the project. The generally characteristics of such project situations may reflect any one or more of the following:

- (a) A sponsor is also a supplier or contractor;
- (b) Used or second-hand equipment is being supplied;
- (c) Works or utility concessions are involved;
- (d) Significant assets are sold or purchased during implementation; or
- (e) Implementation extends over a long period.

N10.6. The generally identifiable risks and mitigation measures are highlighted in Boxes N2-N7. Any such situation should be identified early and the mitigation measures to alleviate any identified risk of conflict of interest or other risks should be proposed during project preparation and appraisal, and should be documented in the PAR, PP and the FA. They should be followed up during implementation and supervision.

Box N2: A Sponsor is also a Supplier

1. This case may cause conflicts of interest. A company may have interests as a supplier which are different from those it may have as an investor. Contracting arrangements between affiliated companies therefore are often not established in a competitive way. The most common risks in this situation are related to:
 - (a) Sponsor's returns realised ahead of investors' or lenders';
 - (b) Diversion of project funds to sponsor's claims ahead of other vendors';
 - (c) Inflated contract price(s) ('market' prices may include significant commissions, fees, etc., which in the sponsor/supplier case may be retained as abnormal profits for the supplier);
 - (d) Inappropriate scope of supply (what is profitable to sell rather than what is profitable to install and use);
 - (e) Inadequate level of performance and quality (expensive, high-tech equipment where more simple, robust, possibly second-hand, equipment would do);
 - (f) Inadequate contract provisions, guarantees, specifications, cost control, etc.;
 - (g) Improper administration of the contract (excessive variations of quantities, unfounded scope, unnecessary revisions, failure to enforce contractual performance);
 - (h) Deficient monitoring and supervision (lack of independent control of implementation, no remediation of defaults and delays);
 - (i) Insufficient completion guarantees (amount or coverage); and
 - (j) Disbursements exceeding value of supplies delivered and work performed (excessive advances, front-loading of invoicing).
2. Where the sponsor (including parent or affiliated companies) is a supplier, the prices, specifications, contract terms and other items mentioned above (both proposed and actual) will normally require an independent review (at appraisal as well as during implementation) by an independent consultant retained by the Bank.

Box N3: A Sponsor is also Acting as a Contractor or Service Provider

1. The problems faced in such a case are of the same nature as where a sponsor is also a significant supplier as addressed in N2, and similar measures are recommended. However, some additional measures may be required as described below.
2. Where the sponsor (including parent or affiliated companies) is a construction company acting as contractor in the project, an "open book" contracting arrangement with a guaranteed maximum price may be most appropriate⁴³. In an "open-book" contracting arrangement, the activities to be carried out by the prime contractor (such as contract management) are independently verified, fixed price items. The prime contractor provides guaranteed target prices for all other sub-contracts. The selection, which is to follow a competitive tender, and the performance, of sub-contractors will normally be independently reviewed by a consultant retained by the Bank.
3. The "open-book" contract price is built up as follows:
 - (a) A fixed construction fee;
 - (b) Preliminary and general items, e.g. plant, consumables, temporary facilities, staff costs;
 - (c) Provisional sums in respect of specified items (e.g. duties, taxes, fees);
 - (d) Design and engineering contracts (if separate) to be tendered on a competitive basis⁴⁴; and
 - (e) Sub-contracts to be tendered on a competitive basis.
4. Cost savings on sub-contracts, design and engineering contracts (if tendered), and the second item above are often shared by the prime contractor⁴⁵ and the project company according to a formula which should be incorporated in the construction contract. To minimize conflicts of interest there should be a low cap for the amount of such savings paid back to the prime contractor. The prime contractor should be liable for cost overruns which are not the result of compensation events under the contract.

⁴³ A "lump sum" contract would be a very risky arrangement where the sponsor is a contractor. Several well documented projects undertaken with a construction company sponsor experienced significant cost overruns and financial difficulties despite the existence of a lump sum contract because of the inherent conflict of interest. A "lump sum" contract would require the Bank to carry out particular due diligence to satisfy itself that prices and conditions are appropriate and to ensure that administration, monitoring and supervision of the contract are independently controlled. A "lump sum" contract would be more acceptable if it results from a tender. A "turn-key" lump sum contract normally provides for full design, supply, erection and commissioning of the works by a single contractor at a fixed lump sum price.

⁴⁴ If design and engineering are not tendered separately, as with a « design/build » contractor, design and engineering fees should be assessed by an independent consultant.

⁴⁵ This provision and the « open-book » arrangement help ensure a net equity contribution from the construction company sponsor (after having taken out profit on the contract).

Box N4: Used or Second-Hand Equipment is being Supplied

Purchase of used equipment may often be a cost-effective way of acquiring or developing a functionally adequate production facility, typically with a labour/capital input ratio and a level of operation and maintenance skills required which are appropriate for the country concerned. A conflict of interest situation arises where second-hand equipment is being provided by the sponsor rather than sourced from the market. Important concerns in the context of second-hand equipment include:

- (a) Valuation of used equipment;
- (b) Quality of spare parts and consumables;
- (c) Availability of drawings, specifications, installation and operating manuals, etc.
- (d) Installation;
- (e) Training; and
- (f) Effects on timing of replacement investments (and thus on cash flow over project life and on debt servicing).

Box N5: Works or Utility Concessions

1. Concessions give rise to particular issues which may have a significant impact on the project. This is because the concessionaire has market power and may to some extent be able to determine the returns earned through negotiations with the government. There may in some circumstances be less market discipline on the procurement process. The most common issues from a procurement viewpoint are the following:
 - (a) Procedures for award of the concession (paragraph 1.9); and
 - (b) Fairness of the concession agreement and pricing formulae (they determine whether the concessionaire is incentivised, or not, to minimise investment and operation costs).
2. The Bank will normally hire specialised experts to assess the process of award of the concession as well as the nature and effects of the conditions of concession agreements on the viability of the operation. In addition, where goods might be expected to be procured from affiliates, subsidiaries, or shareholders of the concessionaire, the Bank normally requires an independent review of the procurement and contracting process for the sub-contracts.
3. In all cases, a review of the concession contract should be undertaken to identify any issues and confirm that the contract is considered substantially fair and balanced and covers at least the following key areas:
 - (a) Properly defined contract setting out the rights and obligations of both parties in a fair and balanced manner;
 - (b) Duration of reasonable length;
 - (c) Fee or payment schedule;
 - (d) Tariff setting mechanisms are included, where relevant;
 - (e) Performance criteria or performance standards, including guarantees;
 - (f) Environmental obligations are defined and acceptable under the Bank's Environmental Policy;
 - (g) Monitoring or verification arrangements for the contracting authority;
 - (h) Dispute resolution procedure;
 - (i) Force Majeure provision;
 - (j) Termination provisions are balanced on both sides; and
 - (k) Insurance requirements are specified.
4. The depth of the review will depend upon the contract size and complexity and the level of Bank financing.

Box N6: Sale or Purchase of Significant Assets During Implementation

The main concern is that fair market prices are both paid and received in any transaction involving the sale and purchase of assets and that the transaction is fair, transparent and free of corruption. Basic due diligence and, if applicable, independent Bank review should be undertaken where such transactions involve the sponsor, its subsidiaries or shareholders.

Box N7: Implementation Extends over a Long Period

5. Projects with long implementation periods typically involve construction of new facilities or extensive refurbishing of existing facilities. Risks discussed under other headings are of relevance as the exposure of the project remains high for a number of years. The points of particular concern are:
- (a) Exposure to contractor insolvency;
 - (b) Adequacy of completion and performance guarantees;
 - (c) Effectiveness of independent monitoring and supervision of the works;
 - (d) Payment streams (avoid cumulated disbursements exceeding value of work performed);
 - (e) Sensitivity to changes in the environment (e.g. product and market factors).
 - (f) Careful planning, including appropriate phasing and adequate fall-back provisions, and close monitoring are essential.

Addressing the Main Issues and Risks – Due Diligence Requirements

- N10.7. Costs/Prices:** Wherever possible, contracts should be awarded in a competitive manner and on an arm's length basis to obtain market prices for the goods, works and services required and ensure VfM.
- N10.8.** Prices should be confirmed as representing fair market prices. A high degree of cost overrun protection should be obtained from the borrowers. Where contract prices significantly exceed the cost estimates made at appraisal, an independent review should be carried out and a verification done of the project's financial viability (financial return, debt service coverage, etc.).
- N10.9.** Contracts should be either fixed price, lump sum, or incorporate binding guaranteed maximum price. Cost plus contracts should normally not be used.
- N10.10. Borrower's Procurement Organization:** The structure and size of the borrower's procurement organization (resources, number and qualifications of staff) as well as its experience and performance in managing similar projects or contracts should be assessed, described and summarized. An indication must be given as to whether the borrower's procurement organization is suitable for the project needs and recommendations formulated for strengthening, if necessary.
- N10.11. Borrower's Procurement Planning:** The procurement planning which has been undertaken for the project, if any, should be described and its suitability assessed. If necessary, recommendations for early procurement planning for the project should be formulated.
- N10.12. Borrower's Procurement Practices:** The procurement practices and methods to be followed by the borrower for the project should be assessed. And further, the suitability of such practices and methods, taking into account the borrower's experience, must be reviewed to ensure sound procurement of goods and works as well as acquisition of quality consulting services, all at fair market prices.
- N10.13. Contract Conditions:** The contract provisions which the borrower intends to use must be reviewed. This review should also indicate if the borrower is using internationally recognized contract conditions, and which ones. The essential elements to be clearly outlined in contract documents are given on Box N8:

Box N8: Essential Elements to be Clearly Stated in Contracts Documents

- (a) Scope, quality, timing and prices of the goods, works and services to be supplied, carried out or performed, and the rated capacity and quality of output from plant;
- (b) Rights and obligations, in particular of performance, of all parties to the contract;
- (c) Guarantees of performance, and warranties;
- (d) Acceptance;
- (e) Payment terms and procedures;
- (f) Variations and price adjustments;
- (g) Incentives and penalties (bonuses, liquidated damages, etc.);
- (h) Liability; insurance;
- (i) Modifications to the contract and termination;
- (j) Force majeure; and
- (k) Settlement of disputes and governing law.

- N10.14.** The roles of all parties involved in the execution and monitoring of the contract must be defined, including the role of the project manager and the Bank's (or other lenders') independent experts.
- N10.15.** Supply, completion and performance guarantees are crucial. The contractor shall provide an on-demand performance security. Provisions for liquidated damages in the event of delays or less than specified performance must be made. Caps on liquidated damages should be sufficiently high to avoid a contractor abandoning a project when problems arise. It should be very clear what protection is being provided to the project against failure to meet specifications for product quality, yield and output, against non-completion or delays, and whether the protection is adequate and appropriate. There must be an appropriate period after completion during which the contractor is liable for defects (defects liability period).
- N10.16.** Intellectual property rights shall be secured by appropriate licenses. In particular, all rights needed to use, maintain and possess updated software, procedures, processes, etc. should be covered by the contract. The contract should also provide protection from infringement of third party rights.
- N10.17.** Any advance payments must be secured by an advance payment guarantee. There should normally be some form of retention payment, the release of which being subject to the supplier or contractor having satisfied all contractual requirements.
- N10.18.** Provisions limiting the liability of the contractor must be carefully reviewed to ensure that the project, the Bank and the sponsor/client are adequately protected.
- N10.19. Monitoring of Project Implementation and Progress:** Details must be provided of the monitoring arrangements to be undertaken by the Bank and/or consultants to ensure that the borrower undertakes the procurement and implements the project as agreed with the Bank.
- N10.20.** Adequate independent monitoring and supervision of the project works must be provided for in the project. The Bank must receive progress reports as a matter of routine and should have access to all information needed to verify them, as well as the works, facilities, etc.
- N10.21. Contract Performance and Project Completion:** The ability of a project to generate revenue necessary to repay the Bank's financing largely depends on whether plant, facilities, buildings, etc. are completed, properly constructed, supplied and installed, ready and available for the intended use,

and performing as planned (i.e. producing cash flow). Managing the risks of failure comprises taking the following measures:

- (a) The borrower's proposed project procurement and implementation plan should be thoroughly checked to verify that it is viable and realistic. Hiring an industry expert is often essential in this respect.
- (b) Critical "off-project" items, such as planning and building permits, utility hook-ups, off site works, site availability etc. should be identified and closely monitored.
- (c) The contract documents should contain enforceable obligations for the contractor(s) or supplier(s) to perform (as the case may be) all the necessary work to deliver a working plant having passed all completion tests, and provide all services in relation to the project. However, if unusually stringent guarantee protection is required from a contractor or supplier it may involve extra costs, which should be duly evaluated.
- (d) The progress and development of the works and supplies should be monitored. Reasonable endeavors should be used to ensure the design, construction programmes and supply plans are adhered to. Factors causing or likely to cause delay of the works and supplies should be identified and if possible redressed.
- (e) A proper definition of completion must be agreed to at project preparation and included in the documentation.

N10.22. An adequate completion guarantee should normally be given by the project sponsor. Such guarantees should ensure, at the minimum that, the sponsor's obligations in the following areas are covered; (i) funding of cost overruns; (ii) performance (responsibility for execution of the works in the event of a default by the contractor); and (iii) repayment of the loan or the Bank's investment, if construction or project implementation is not completed by the agreed date or is abandoned.

N10.23. An independent expert is usually engaged to certify completion. Completion tests should be reviewed with a view to establishing, over an extended, continuous operating period (e.g. 30 days rather than 24 hours), that the plant is capable of performing at the rated capacity and of sustaining the production rates assumed in the financial projections.